

AMATERIALHUB
HUB OF ACCA MATERIAL

Visit
www.AMATERIALHUB.com
for Latest And Free ACCA Study Texts, Exam Kits, Notes, Mock Exams and other useful Material.

www.AMaterialHub.com

Foundations in Accountancy

PRACTICE & REVISION KIT

MA1

MANAGEMENT INFORMATION

Welcome to BPP Learning Media's Practice & Revision Kit for MA1. In this Practice & Revision Kit which has been reviewed by the **ACCA examining team**, we:

- Include **Do you know?** Checklists to test your knowledge and understanding of topics
- Provide you with **two** mock exams including the Specimen Exam
- We provide the **ACCA's exam answers** to the Specimen Exam as an additional revision aid

FOR EXAMS FROM 1 SEPTEMBER 2019 TO 31 AUGUST 2020

BPP LEARNING MEDIA

www.AMaterialHub.com

First edition May 2011
Seventh edition March 2019

ISBN 9781 5097 2539 7
Previous ISBN 9781 5097 1750 7

e-ISBN 9781 5097 2545 8

British Library Cataloguing-in-Publication Data
A catalogue record for this book
is available from the British Library

Published by

BPP Learning Media Ltd
BPP House, Aldine Place
London W12 8AA

www.bpp.com/learningmedia

Printed in the United Kingdom

Your learning materials, published by BPP Learning Media Ltd, are printed on paper obtained from traceable, sustainable sources.

All our rights reserved. No part of this publication may be reproduced, stored in a retrieval system or transmitted, in any form or by any means, electronic, mechanical, photocopying, recording or otherwise, without the prior written permission of BPP Learning Media Ltd.

We are grateful to the Association of Chartered Certified Accountants for permission to reproduce past examination questions. The suggested solutions in the practice answer bank have been prepared by BPP Learning Media Ltd, except where otherwise stated.

©
BPP Learning Media Ltd
2019

A note about copyright

Dear Customer

What does the little © mean and why does it matter?

Your market-leading BPP books, course materials and e-learning materials do not write and update themselves. People write them on their own behalf or as employees of an organisation that invests in this activity. Copyright law protects their livelihoods. It does so by creating rights over the use of the content.

Breach of copyright is a form of theft – as well as being a criminal offence in some jurisdictions, it is potentially a serious breach of professional ethics.

With current technology, things might seem a bit hazy but, basically, without the express permission of BPP Learning Media:

- Photocopying our materials is a breach of copyright
- Scanning, ripcasting or conversion of our digital materials into different file formats, uploading them to Facebook or emailing them to your friends is a breach of copyright

You can, of course, sell your books, in the form in which you have bought them – once you have finished with them. (Is this fair to your fellow students? We update for a reason.) Please note the e-products are sold on a single user licence basis: we do not supply 'unlock' codes to people who have bought them secondhand.

And what about outside the UK? BPP Learning Media strives to make our materials available at prices students can afford by local printing arrangements, pricing policies and partnerships which are clearly listed on our website. A tiny minority ignore this and indulge in criminal activity by illegally photocopying our material or supporting organisations that do. If they act illegally and unethically in one area, can you really trust them?

www.AMaterialHub.com

www.AMaterialHub.com

Contents

Page

Finding questions

Question index v

Helping you with your revision . vi

Using your BPP Practice and Revision Kit vii
Passing the MA1 exam viii
Approach to examining the syllabus viii
The Computer-based examination ix
Tackling Multiple Choice Questions x
Using your BPP products xi

Questions and answers

Questions 3
Answers 93

Exam practice

Mock exam 1 – Specimen Exam

- Questions 129
- Answers 143

Mock exam 2

- Questions 151
- Answers 163

Review form

A Material Hub

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Question index

	Marks	Time allocation	Page	
		Mins	Questions	Answers
Part A: The nature and purpose of cost and management accounting				
Business organisation and accounting				
Questions 1.1 to 1.17	34	40	5	93
Introduction to management information				
Questions 2.1 to 2.14	28	34	11	94
Part B: Cost classification and measurement				
Cost units, cost classification and profit reporting				
Questions 3.1 to 3.26	52	62	17	95
Management responsibility and performance measurement				
Questions 4.1 to 4.20	40	48	23	99
Part C: Source documents and coding				
Source documents and coding				
Questions 5.1 to 5.26	52	62	29	102
Part D: Cost accounting				
Materials and labour costs				
Questions 6.1 to 6.33	66	79	37	104
Overhead costs				
Questions 7.1 to 7.16	32	38	46	110
Job, batch and process costing				
Questions 8.1 to 8.24	48	58	53	112
Part E: The spreadsheet system				
The basics of using a spreadsheet				
Questions 9.1 to 9.30	60	72	61	117
Using spreadsheets to present information				
Questions 10.1 to 10.21	42	50	73	120
Mixed banks				
Mixed bank 1: Questions 11.1 to 11.23	46	55	81	121
Mixed bank 2: Questions 12.1 to 12.20	40	48	86	123
Mock exams				
Mock Exam 1 (Specimen Exam)	100	120	129	143
Mock Exam 2	100	120	151	163

www.AMaterialHub.com

Helping you with your revision

BPP Learning Media – ACCA Approved Content Provider

As an ACCA **Approved Content Provider**, BPP Learning Media gives you the **opportunity** to use revision materials reviewed by the ACCA examining team. By incorporating the ACCA examining team's comments and suggestions regarding the depth and breadth of syllabus coverage, the BPP Learning Media Practice & Revision Kit provides excellent, **ACCA-approved** support for your revision.

These materials are reviewed by the ACCA examining team. The objective of the review is to ensure that the material properly covers the syllabus and study guide outcomes, used by the examining team in setting the exams, in the appropriate breadth and depth. The review does not ensure that every eventuality, combination or application of examinable topics is addressed by the ACCA Approved Content. Nor does the review comprise a detailed technical check of the content as the Approved Content Provider has its own quality assurance processes in place in this respect.

Selecting questions

We provide signposts to help you plan your revision.

- A full **question index**

Attempting mock exams

There are two mock exams that provide practice at coping with the pressures of the exam day. We strongly recommend that you attempt them under exam conditions. **Mock exam 1** is the Specimen Exam. **Mock exam 2** reflects the question styles and syllabus coverage of the exam.

A Material Hub

www.AMaterialHub.com

www.AMaterialHub.com

Using your BPP Practice & Revision Kit

Aim of this Practice & Revision Kit

To provide the practice to help you succeed in the examinations for MA1 *Management Information.*

To pass the examination you need a thorough understanding in all areas covered by the syllabus and teaching guide.

Recommended approach

- Make sure you are able to answer questions on **everything** specified by the syllabus and teaching guide. You cannot make any assumptions about what questions may come up in your exam. The examining team aims to discourage 'question spotting'.
- Learning is an **active** process. Use the **DO YOU KNOW**? Checklists to test your knowledge and understanding of the topics covered in MA1 *Management Information* by filling in the blank spaces. Then check your answers against the **DID YOU KNOW**? Checklists. Do not attempt any questions if you are unable to fill in any of the blanks – go back to your **BPP Interactive Text** and revise first.
- When you are revising a topic, think about the mistakes that you know that you should avoid by writing down **POSSIBLE PITFALLS** at the end of each **DO YOU KNOW**? Checklist.
- You should attempt each bank of MCQs to ensure you are familiar with their styles and to practise your technique. Ensure you read **Tackling Multiple Choice Questions** on page x to get advice on how best to approach them.
- Once you have completed all of the questions in the body of this Practice & Revision Kit, you should attempt the **MOCK EXAMS** under examination conditions. Check your answers against our answers to find out how well you did.

A Material Hub

www.AMaterialHub.com

Passing the MA1 exam

The exam

All questions in the exam are compulsory. This means you cannot avoid any topic, but also means that you do not need to waste time in the exam deciding which questions to attempt. There are 50 MCQs in the exam. This means that the examining team are able to test most of the syllabus at each sitting, and that is what the examining team aims to do. So you need to have revised right across the syllabus for this exam.

Revision

This Practice & Revision Kit has been reviewed by the MA1 examining team and contains the Specimen Exam so if you just worked through it to the end you would be very well prepared for the exam. It is important to tackle questions under exam conditions. Allow yourself just the number of minutes shown next to the questions in the index and don't look at the answers until you have finished. Then correct your answer and go back to the Interactive Text for any topic you are really having trouble with. Try the same question again a week later – you will be surprised how much better you are getting. Doing the questions like this will really show you what you know, and will make the exam experience less worrying.

Doing the exam

If you have honestly done your revision you can pass this exam. There are certain points which you must bear in mind:

- Read the question properly.
- Don't spend more than the allotted time on each question. If you are having trouble with a question leave it and carry on. You can come back to it at the end.

Approach to examining the syllabus

MA1 is a two-hour exam.

The exam is structured as follows:

	No of marks
50 compulsory multiple choice questions of 2 marks each	100

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

The computer-based Examination

Computer-based examinations (CBEs) are available for most of the Foundations in Accountancy exams. The CBE exams for the first seven modules can be taken at any time, these are referred to as 'exams on demand'. The Option exams can be sat in June and December of each year, these are referred to as 'exams on sitting'. FAU and FFM are moving from paper-based exams to CBE format from the December 2019 exam sitting, and FTX will follow from the June 2020 exam sitting. There will be no parallel running of PBE and CBE exams.

Computer-based examinations must be taken at an ACCA CBE Licensed Centre.

How do CBEs work?

- Questions are displayed on a monitor.
- Candidates enter their answer directly onto the computer.
- Candidates have two hours to complete the examination.
- Candidates sitting exams on demand are provided with a Provisional Result Notification showing their results before leaving the examination room.
- The CBE Licensed Centre uploads the results to the ACCA (as proof of the candidate's performance) within 72 hours.
- Candidates sitting the Option exams will receive their results approximately five weeks after the exam sitting once they have been marked by an expert.
- Candidates can check their exam status on the ACCA website by logging into myACCA.

Benefits

- **Flexibility** as the first seven modules, exams on demand, can be sat at any time.
- **Resits** for the first seven modules can also be taken at any time and there is no restriction on the number of times a candidate can sit a CBE.
- **Instant feedback** for the exams on demand as the computer displays the results at the end of the CBE.
- Results are notified to ACCA **within 72 hours**.

See the ACCA website for further information on computer based exams.

www.accaglobal.com/gb/en/student/exam-entry-and-administration/computer-based-exams.html

www.AMaterialHub.com

Tackling Multiple Choice Questions

MCQs are part of all Foundations in Accountancy exams.

The MCQs in your exam contain four possible answers. You have to **choose the option that best answers the question**. The incorrect options are called distracters. There is a skill in answering MCQs quickly and correctly. By practising MCQs you can develop this skill, giving you a better chance of passing the exam.

You may wish to follow the approach outlined below, or you may prefer to adapt it.

Step 1	Skim read all the MCQs and identify what appear to be the easier questions.
Step 2	Attempt each question – **starting with the easier questions** identified in Step 1. Read the question **thoroughly**. You may prefer to work out the answer before looking at the options, or you may prefer to look at the options at the beginning. Adopt the method that works best for you.
Step 3	Read the four options and see if one matches your own answer. Be careful with numerical questions as the distracters are designed to match answers that incorporate common errors. Check that your calculation is correct. Have you followed the requirement exactly? Have you included every stage of the calculation?
Step 4	You may find that none of the options match your answer. • Re-read the question to ensure that you understand it and are answering the requirement. • Eliminate any obviously wrong answers. • Consider which of the remaining answers is the most likely to be correct and select the option.
Step 5	If you are still unsure make a note and continue to the next question.
Step 6	Revisit unanswered questions. When you come back to a question after a break you often find you are able to answer it correctly straight away. If you are still unsure have a guess. You are not penalised for incorrect answers, so **never leave a question unanswered!**

After extensive practice and revision of MCQs, you may find that you recognise a question when you sit the exam. Be aware that the detail and/or requirement may be different. If the question seems familiar read the requirement and options carefully – do not assume that it is identical.

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Using your BPP products

This Practice & Revision Kit gives you the question practice and guidance you need in the exam. Our other products can also help you pass:

- **Interactive Text** introduces and explains the knowledge required for your exam
- **Passcards** provide you with clear topic summaries and exam tips

You can purchase these products by visiting: www.bpp.com/learning-media

A Material Hub

www.AMaterialHub.com

A Material Hub

www.AMaterialHub.com

www.AMaterialHub.com

A Material Hub

Questions

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Do you know? – Business organisation and accounting

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- The office in an organisation is a centre for information and administration. The most common functions in an office are as follows.

  ……
  Personnel (…… ……)
  …… ……
  ……
  …… …… ……

- A …… …… should help to ensure that all personnel follow procedures and best practices.
- The main types of transactions that most businesses enter into are sales, purchases, paying expenses, paying employees and purchasing fixed assets. In order for management to control the transactions of the business there must be a system of …… of transactions in place.
- The basic principle of …… …… …… is that for every debit entry there must be a corresponding credit entry.
- Increases in assets or expenses and decreases in liabilities and income are …… entries in ledger accounts.
- Increases in liabilities and income and decreases in assets and expenses are …… entries in ledger accounts.
- Transactions are initially recorded in books of …… …… which are totalled and the totals posted to the ledger accounts.
- A system in which the cost accounting and financial accounting functions are combined in one system of ledger accounts is known as an …… system.
- A system in which there is a cost ledger for the cost accounting function and a financial ledger for the financial accounting function is known as an …… system.
- Computerised accounting systems allow much quicker and more accurate entries to the accounting system.
- **Possible pitfalls. Write down examples of mistakes you should avoid.**

A Material Hub

www.AMaterialHub.com

Did you know? – Business organisation and accounting

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- The office in an organisation is a centre for information and administration. The most common functions in an office are as follows.
  - Purchasing
  - Personnel (human resources)
  - General administration
  - Finance
  - Sales and marketing
- A **policy manual** should help to ensure that all personnel follow procedures and best practices.
- The main types of transactions that most businesses enter into are sales, purchases, paying expenses, paying employees and purchasing fixed assets. In order for management to control the transactions of the business there must be a system of **authorisation** of transactions in places.
- The basic principle of **double entry bookkeeping** is that for every debit entry there must be a corresponding credit entry.
- Increases in assets or expenses and decreases in liabilities and income are **debit** entries in ledger accounts.
- Increases in liabilities and income and decreases in assets and expenses are **credit** entries in ledger accounts.
- Transactions are initially recorded in books of **prime entry** which are totalled and the totals posted to the ledger accounts.
- A system in which the cost accounting and financial accounting functions are combined in one system of ledger accounts is known as an **integrated system**.
- A system in which there is a cost ledger for the cost accounting function and a financial ledger for the financial accounting function is known as an **interlocking** system.
- Computerised accounting systems allow much quicker and more accurate entries to the accounting system.
- **Possible pitfalls include the following (you may have thought of others)**.
  - Not understanding the principles of double entry bookkeeping
  - Not being able to distinguish between integrated and interlocking accounting systems
  - Getting confused between debit and credit entries in the ledgers
  - Not understanding the purpose of books of prime entry

AMaterialHub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Business organisation and accounting 40 mins

1.1 Which of the following will **NOT** be a function of the human resources department?

A Hiring employees
B Firing employees
C Paying employees
D Arranging training of employees **(2 marks)**

1.2 Which of the following statements relate to the policy manual of an organisation?

1 Policies should be in place to deal with the authorisation of the purchase of fixed assets.
2 Employees will need to know where to find the policy manual to refer to but need not have read it.
3 Strict adherence to the manual can lead to inflexibility.

A All three
B 1 and 2 only
C 1 and 3 only
D 2 and 3 only **(2 marks)**

1.3 Which of the following personnel in an organisation would **NOT** be involved in the sale of goods on credit?

A Warehouse manager
B Purchase ledger controller
C Credit controller
D Accountant **(2 marks)**

1.4 What is the double entry for a purchase of goods on credit?

A	Debit	Payables
	Credit	Materials control
B	Debit	Receivables
	Credit	Materials control
C	Debit	Materials control
	Credit	Payables
D	Debit	Materials control
	Credit	Receivables **(2 marks)**

1.5 What is the double entry for materials returned to a supplier which had been purchased on credit?

A	Debit	Payables
	Credit	Materials control
B	Debit	Receivables
	Credit	Materials control
C	Debit	Materials control
	Credit	Payables
D	Debit	Materials control
	Credit	Receivables **(2 marks)**

www.AMaterialHub.com

1.6 Which of the following statements, relating to the recording of accounting transactions in books of prime entry, are **TRUE**?

1 Credit notes from suppliers are recorded in the sales returns day book.
2 Invoices to customers are recorded in the sales day book.
3 Payments for expenses are recorded in the cash payments book.

A 1 and 2 only
B 1 and 3 only
C 2 and 3 only
D All three **(2 marks)**

1.7 Which of the following statements, relating to cost ledger accounting, are **TRUE**?

1 An integrated system is one where separate ledgers are kept for cost accounting and management accounting.

2 An interlocking system is one where there is just one system of ledger accounts for cost accounting and for management accounting.

A Both statements are correct
B Neither statement is correct
C Statement 1 is correct but statement 2 is incorrect
D Statement 2 is correct but statement 1 is incorrect **(2 marks)**

1.8 Which of the following describes the cost ledger control account?

A An account which can be used to reconcile creditor (supplier) balances
B An account which can be used to reconcile debtor (customer) balances
C An account in the cost ledger to record financial items
D An account in the financial ledger to record costing items **(2 marks)**

1.9 Purchase invoices are entered into an organisation's computer system at the end of each day.

What is this an example of?

A Batch processing
B Real time online processing
C File maintenance
D File updating **(2 marks)**

1.10 Which of the following is a disadvantage of batch processing?

A Information will not always be up-to-date
B It is not suitable for internal regular tasks
C A 'missing' record cannot be located
D Batches sent off for processing cannot be tracked **(2 marks)**

1.11 Which of the following statements about integrated accounts is/are correct?

(i) Integrated systems save time and administrative effort.

(ii) Integrated systems maintain two separate sets of accounts: one for financial accounts and one for cost accounts.

(iii) Integrated systems avoid the need for periodic profit reconciliations.

A (i) only
B (i) and (ii)
C (i) and (iii)
D (ii) and (iii) **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

1.12 What is the book of prime entry where invoices from credit suppliers are recorded?

A Sales day book
B Purchases day book
C Petty cash book
D Cash payments book **(2 marks)**

1.13 Which of the following statements about an organisation chart is **NOT** true?

A An organisation chart provides a summary of the structure of a business
B An organisation chart can improve internal communications within a business
C An organisation chart can improve employees' understanding of their role within a business
D An organisation chart cannot indicate authority within a business **(2 marks)**

1.14 Which of the following is an advantage of centralisation?

A It helps to develop the skills of junior managers
B It avoids overburdening top managers in terms of workload and stress
C Senior managers can take a wider view of problems and consequences
D Local factors can be taken into account when making decisions **(2 marks)**

1.15 A company's accounting system operates so that the cost accounts are independent of the financial accounts. The two sets of accounts are reconciled on a regular basis to keep them continuously in agreement.

What is this type of accounting system known as?

A Independent accounts
B Interlocking accounts
C Reconciled accounts
D Integrated accounts **(2 marks)**

1.16 When materials are purchased on credit and an interlocking costing system is in use what is the double entry for the purchase?

A	Debit	Materials control
	Credit	Payables
B	Debit	Materials control
	Credit	Cost ledger control
C	Debit	Payables
	Credit	Materials control
D	Debit	Cost ledger control
	Credit	Materials control **(2 marks)**

1.17 Which of the following describes how management controls the transactions of a business?

A Through a system of control of transactions
B Through a system of authorisation of transactions
C Through strict control of sales on credit made to new customers
D Through strict control of purchases of non-current assets **(2 marks)**

(Total = 34 marks)

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Do you know? – Introduction to management information

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- ..... is processed to produce information.
- The purpose of management information is to help managers to manage resources efficiently and effectively by planning and ....., and to take ..... .
- Good management information has the following characteristics. ....
- Producing useful management information such as a report depends on understanding the needs of the .... and of the ..... .
- There are many sources of information for management accounting, some of which are shared with financial accounting. Computer systems and .... help to sort the information into the categories and formats required for both financial and management accounting.
- Information sources can be either ..... or ....
- ..... are one of the primary sources of internal information.
- A growing source of external information is the ....
- There is a legal requirement to produce ..... accounts but not ..... accounts.
- The role of the .... in a cost and management accounting system is to provide answers to questions on costs and revenues.
- **Possible pitfalls. Write down examples of mistakes you should avoid**.

A Material Hub

www.AMaterialHub.com

Did you know? – Introduction to management information

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- **Data** is processed to produce information.
- The purpose of management information is to help managers to manage resources efficiently and effectively by planning and **control**, and to take **decisions**.
- Good management information has the following characteristics.
  - **Reliable**
  - **Timely**
  - **Relevant**
- Producing useful management information such as a report depends on understanding the needs of the **end user** and of the **organisation**.
- There are many sources of information for management accounting, some of which are shared with financial accounting. Computer systems and **coding structures** help to sort the information into the categories and formats required for both financial and management accounting.
- Information sources can be either **internal** or **external**.
- **Employees** are one of the primary sources of internal information.
- A growing source of external information is the **Internet**.
- There is a legal requirement to produce **financial** accounts but not **management** accounts.
- The role of the **trainee accountant** in a cost and management accounting system is to provide answers to questions on costs and revenues.
- **Possible pitfalls include the following (you may have thought of others)**
  - Not being able to distinguish between data and information
  - Not being able to describe the features of useful management information
  - Not being able to distinguish between management accounts and financial accounts
  - Not having a clear picture of the trainee accountant's role in a cost accounting system

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Introduction to management information 34 mins

2.1 How would facts and figures which have been processed and communicated to another party be best described?

A Data
B Statistics
C Information
D Coding **(2 marks)**

2.2 Which of the following is **NOT** an external source of information?

A Newspapers
B Internet
C Employees
D Industry report **(2 marks)**

2.3 Two statements follow about data and information:

1 Data is a scientific term for facts, figures and information.
2 Information is data which has been processed.

Which of the following is correct with regard to the above two statements?

A Both statements are false
B Both statements are true
C Statement 1 is true but statement 2 is false
D Statement 1 is false but statement 2 is true **(2 marks)**

2.4 Which of the following combinations describe the purposes of management information?

A Planning, negotiating and decision making
B Control, decision making and publication
C Decision making, negotiating and implementing
D Planning, control and decision making **(2 marks)**

2.5 The cost accountant has produced a report showing the hourly output from the factory floor for the last week.

Who in the organisation is most likely to require this information?

A The financial accountant
B The sales director
C The production manager
D The human resources manager **(2 marks)**

2.6 Which of the following is **NOT** a quality of good management information?

A Clarity
B Reliability
C Accuracy
D Computerised **(2 marks)**

2.7 The cost accountant has provided information about the actual and budgeted cost of the materials used in production in the last month.

In which of the following areas will the information above primarily aid management?

A Planning
B Implementing
C Control
D Decision making **(2 marks)**

---

www.AMaterialHub.com

2.8 Which of the following is **NOT** an example of internal information for the accounts department?

A Goods received note
B Time sheets for employees
C Materials requisitions from the factory
D Purchase invoices from suppliers **(2 marks)**

2.9 Which of the statements about management accounting are **TRUE**?

1 Management accounts are a legal requirement for a company.
2 Management accounts consider future data only.
3 Management accounts include financial and non-financial information.

A 1 and 3
B 2 and 3
C 2 only
D 3 only **(2 marks)**

2.10 Which of the following is **NOT** an attribute of management accounts?

A Based on historical data only
B Produced for internal use only
C Used for planning, decision making and control
D Presented according to management's requirements **(2 marks)**

2.11 Which of the following could be considered to be a limitation of cost and management accounting information?

A Affected by changing prices over time
B Includes non-financial as well as financial information
C Produced periodically
D Produced in the format required by management **(2 marks)**

2.12 Which is true of management information?

A It is the same as operating information
B It must be produced by a computer
C It should be completely accurate regardless of cost
D It should be produced if its cost is less than the increased revenue it leads to **(2 marks)**

2.13 Which of the following statements is correct?

A Cost accounting is only relevant to manufacturing organisations
B Management accounts must be presented in a regulated format
C Financial and management accounts are prepared from completely separate sets of data
D Management accounts are normally prepared for internal use within a company **(2 marks)**

2.14 Which of the following is **NOT** an example of a question that a trainee accountant may be asked in respect of a cost and management accounting system?

A Which revenue streams should the company seek to maximise in the next year?
B What have revenues for each stream been in the last period?
C What has the cost of goods produced or services provided been for the last period?
D What has the cost of operating a department been for the last period? **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

2.15 **This question has been taken from the July–December 2017 examining team report.**

Which of the following is **an essential feature of useful management information**?

A Completely accurate
B Appropriate for any purpose
C Cost effective
D Distributed regularly

(2 marks)

(Total = 30 marks)

A Material Hub

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Do you know? – Cost units, cost classification and profit reporting; management responsibility and performance measurement

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- A unit of product which has costs attached to it is known as a ……
- The ways in which costs are affected by changes in the level of activity are known as …… ……..
- Costs which are fixed in nature within certain levels of activity are known as ……-…… costs.
- Semi-variable/semi-fixed costs are partly fixed and partly variable and therefore only partly affected by changes in activity levels. They are also known as …… costs.
- Costs can also be analysed according to their ……., for example, production, distribution and selling, administration and financing costs.
- A function or department of an organisation that is headed by a manager who has direct responsibility for its performance is known as a(n) …… centre.
- A unit of an organisation to which costs can be separately attributed is known as a(n) …… centre.
- A unit of an organisation to which both revenues and costs are assigned is known as a profit centre. A profit centre whose performance is measured by its return on capital employed is known as a(n) …… centre.
- Performance measurement aims to establish how well something or somebody is doing in relation to a planned activity. Useful performance measurement techniques are as follows.

  ……
  ……
- Total costs ÷ number of units produced = ……
- The profit margin (profit to sales ratio) is calculated as (X ÷ Y) × 100% where:

  X = ……
  Y = ……
- The amount of profit made in relation to the amount of resources invested is known as the ……. …… or ……
- Residual income also measures the performance of an investment centre. It measures the centre's profits after deducing a …… interest cost.
- **Possible pitfalls. Write down examples of mistakes you should avoid**.

www.AMaterialHub.com

Did you know? – Cost units, cost classification and profit reporting; management responsibility and performance measurement

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- A unit of product which has costs attached to it is known as a **cost unit**.
- The ways in which costs are affected by changes in the level of activity are known as **cost behaviour patterns**.
- Costs which are fixed in nature within certain levels of activity are known as **stepped-fixed** costs.
- Semi-variable/semi-fixed costs are partly fixed and partly variable and therefore only partly affected by changes in activity levels. They are also known as **mixed** costs.
- Costs can also be analysed according to their **function**, for example, production, distribution and selling, administration and financing costs.
- A function or department of an organisation that is headed by a manager who has direct responsibility for its performance is known as a(n) **responsibility** centre.
- A unit of an organisation to which costs can be separately attributed is known as a(n) **cost** centre.
- A unit of an organisation to which both revenues and costs are assigned is known as a profit centre. A profit centre whose performance is measured by its return on capital employed is known as a(n) **investment** centre.
- Performance measurement aims to establish how well something or somebody is doing in relation to a planned activity. Useful performance measurement techniques are as follows.
  - **Ratios**
  - **Percentages**
- Total costs ÷ number of units produced = **cost per unit**.
- The profit margin (profit to sales ratio) is calculated as (X ÷ Y) × 100% where:

  X = **profit**
  Y = **sales**
- The amount of profit made in relation to the amount of resources invested is known as the **return on investment** or **return on capital employed**.
- Residual income also measures the performance of an investment centre. It measures the centre's profits after deducing a **notional** interest cost.
- **Possible pitfalls include the following (you may have thought of others)**.
  - Not being able to describe the variety of cost classifications used for different purposes
  - Not being able to illustrate the nature of variable, fixed and mixed costs
  - Not being able to prepare profit statements in absorption and marginal costing formats
  - Not being able to calculate the cost of a product or service

A Material Hub

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

Cost units, cost classification and profit reporting 62 mins

3.1 Which of the following would **NOT** be a cost unit in a hospital?

A Patient night
B Ward bed
C X-Ray department
D Canteen meal **(2 marks)**

3.2 Which of the following is the best description of a direct cost?

A A cost which is directly shared by one or more cost centres
B A cost that can be directly traced to a cost unit
C A cost that is paid for in cash
D A cost that is incurred by the factory **(2 marks)**

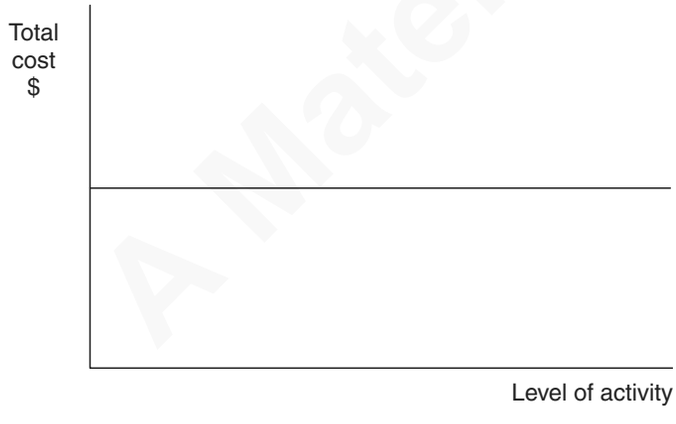
3.3 Which of the following is most likely to be treated as an indirect cost by a car manufacturer?

A Sheet metal for car body
B Wages of production line workers
C Lubricant for machinery
D Fabric for car seats **(2 marks)**

3.4 Which of the following is most likely to be treated as an indirect cost by a computer manufacturer?

A Production line worker wages
B Microchips
C Plastic housing for computer bodies
D Factory supervisor's wages **(2 marks)**

3.5 Which of the following costs would be most likely to be illustrated by the diagram given below?

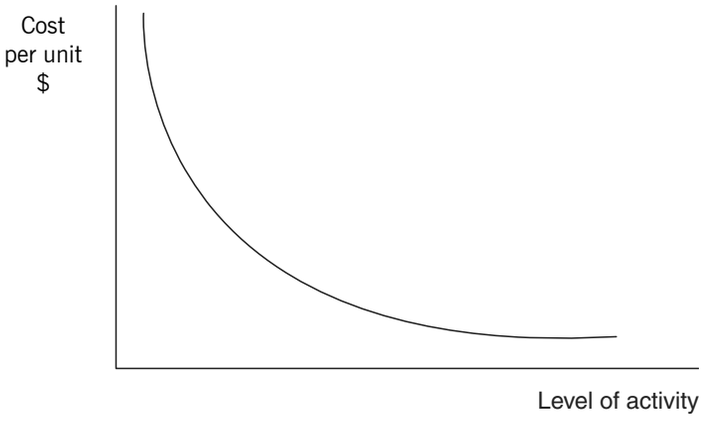


A Total materials cost
B Factory rent
C Total wages cost
D Telephone expense **(2 marks)**

A Material Hub

www.AMaterialHub.com

3.6 Which description best fits the cost curve shown below?

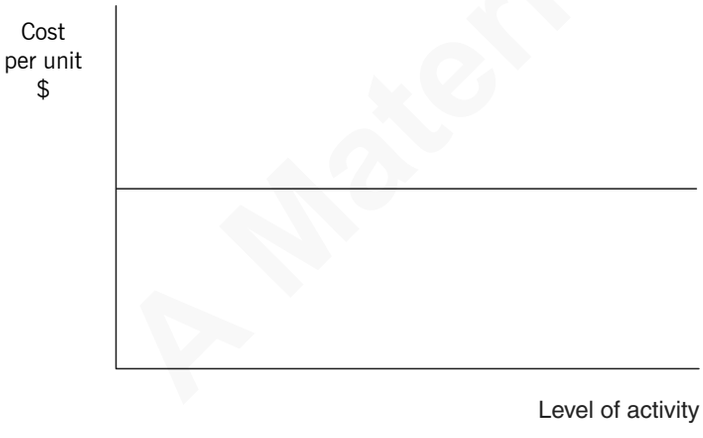


A Direct material cost per unit
B Direct labour cost per unit
C Variable production cost per unit
D Fixed production cost per unit **(2 marks)**

3.7 Which of the following is the best description of a stepped-fixed cost?

A A cost with both a fixed element and a variable element
B A cost which increases as the level of activity increases
C A cost which is fixed no matter what the level of activity
D A cost which is fixed for a certain level of activity and then increases **(2 marks)**

3.8 Which of the following would **NOT** be illustrated by the diagram shown below?



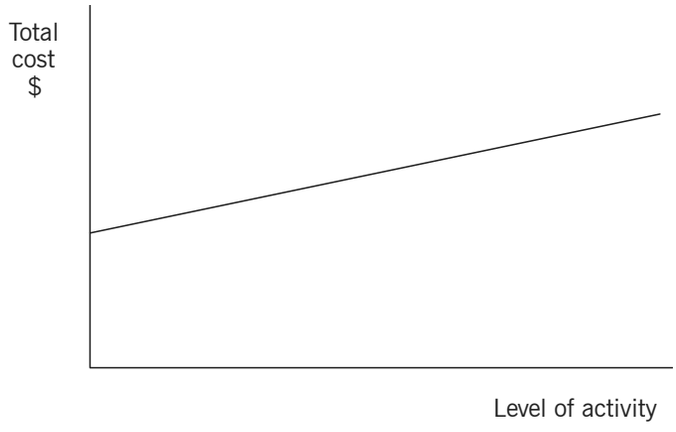
A Direct material cost per unit
B Direct labour cost per unit
C Fixed production cost per unit
D Variable production cost per unit **(2 marks)**

A Material Hub

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

3.9 Which of the following costs would be most likely to be illustrated by the diagram given below?



A Factory rent
B Telephone costs
C Materials cost
D Factory supervisors' salaries **(2 marks)**

Data for questions 3.10–3.12

A product that a company manufactures requires 3kg of material A costing $6.20 per kg and 4kg of material B costing $5.60 per kg. The product requires 2 hours of labour at a cost of $7.40 per hour. The product is sold in packs of 10 and the packaging for 10 units costs $22. Fixed production costs are $60,000 per annum and selling, distribution and administration costs are $24,000 per annum. The company makes 15,000 units of the product each year.

3.10 What is the prime cost of the product?

A $55.80
B $58.00
C $62.00
D $77.80 **(2 marks)**

3.11 What is the production cost of the product?

A $55.80
B $58.00
C $62.00
D $77.80 **(2 marks)**

3.12 What is the total cost of the product?

A $62.00
B $63.60
C $81.80
D $83.40 **(2 marks)**

3.13 Which of the following costs would **NOT** be included as part of the prime cost of a product?

A Hire charge for specialised machine required for product
B Rent and rates for factory
C Material input for product
D Direct labour cost of product **(2 marks)**

www.AMaterialHub.com

3.14 Which costs would **NOT** be included as a product cost in marginal costing?

A Direct materials costs
B Direct labour costs
C Variable production costs
D Fixed production costs **(2 marks)**

3.15 Which of the following statements, relating to absorption and marginal costing, are **TRUE**?

1 As inventory levels rise marginal costing profit will be higher than absorption costing profit.
2 Fixed production costs are treated as period costs under marginal costing.

A Both statements are incorrect
B Both statements are correct
C Statement 1 is correct but statement 2 is incorrect
D Statement 2 is correct but statement 1 is incorrect **(2 marks)**

Data for questions 3.16 and 3.17

A manufacturing company makes one product which uses 2kg of raw material per unit of product, at a cost of $3.80 per kg. Each unit of the product requires 2.5 hours of labour, which is paid at $7.80 per hour. The company incurs fixed production costs of $6,000 per month, and the factory produces 2,000 units of the product each month. There is no inventory of the product at 1 June 20X3 but only 1,600 units of the product were sold in June.

3.16 What is the closing inventory valuation at 30 June 20X3 under absorption costing?

A $10,840
B $12,040
C $12,340
D $48,160 **(2 marks)**

3.17 What is the closing inventory valuation at 30 June 20X3 under marginal costing?

A $10,840
B $12,040
C $43,360
D $54,200 **(2 marks)**

3.18 Which of the following would be classed as indirect labour?

A A coach driver in a transport company
B Machine operators in a milk bottling plant
C A maintenance assistant in a factory maintenance department
D Plumbers in a construction company **(2 marks)**

3.19 A production worker is paid a salary of $650 per month, plus an extra 5 cents for each unit produced during the month.

Which of the following best describes the labour cost?

A A variable cost
B A fixed cost
C A step cost
D A semi-variable cost **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

3.20 Which of the following would be an appropriate cost unit for a manufacturing company?

(i) 1 unit of product
(ii) 1 batch of product consisting of 1,000 units
(iii) The finance department
(iv) A member of the sales team

A (i) and (iv) only
B (i), (ii), and (iv)
C (iii) and (iv)
D (i) and (ii) only **(2 marks)**

3.21 Which of the following would **NOT** be a cost unit for a hotel?

A Guest per night
B Person employed in the hotel spa
C Meal served in hotel restaurant
D Bed occupied per night **(2 marks)**

3.22 **This question has been taken from the January–June 2014 examining team report.**

Supervisors' salaries and computer services are among the costs incurred in a factory. Costs expected at a range of activity levels are:

Activity (000 units)	125	150	175	200
Costs ($'000):				
Supervisors' salaries	60	66	66	72
Computer services	42	46	50	54

Which of the following classifications could describe the cost behaviour?

	Supervisors' salaries	Computer services
A	Semi-variable	Semi-variable
B	Semi-variable	Variable
C	Stepped-fixed	Semi-variable
D	Stepped-fixed	Variable

(2 marks)

3.23 **This question has been taken from the January–June 2014 examining team report.**

Company Z uses a marginal costing system as the basis for its profit statements for management. 4,660 units of the Company's single product were sold in Period 6 for a total revenue of $88,540. Production in the period was 4,730 units.

Unit costs of the product are:

	$ per unit	$ per unit
Direct costs	6.20	
Variable production overhead	0.90	
Fixed production overhead	4.60	11.70
Variable non-production overhead	1.40	
Fixed non-production overhead	2.90	4.30
Total costs		16.00

What is the total contribution in Period 6?

A $48,335
B $55,454
C $34,018
D $48,930 **(2 marks)**

---

www.AMaterialHub.com

3.24 **This question has been taken from the July–December 2014 examining team report.**

A company manufactures a single product with the following unit costs:

	$ per unit
Direct materials	7.45
Direct labour	5.20
Variable production overhead	1.75
Fixed production overhead	6.40
Variable non-production overhead	0.90
Fixed non-production overhead	3.25

In marginal costing, what amount would be deducted from sales to calculate the contribution per unit of the product?

A $14.40
B $20.80
C $12.65
D $15.30 **(2 marks)**

3.25 **This question has been taken from the July–December 2015 examining team report.**

Production costs of product X have been classified in various ways:

Prime costs	$50.80 per unit
Variable costs	$54.44 per unit
Fixed overheads	$15.20 per direct labour hour
Direct labour	2.6 hours per unit at $12.00 per hour
Variable overheads	$1.40 per direct labour hour
Direct materials	$19.60 per unit

What is the total production cost per unit of product X?

A $105.24
B $144.76
C $93.96
D $125.16 **(2 marks)**

3.26 **This question has been taken from the January–June 2016 examining team report.**

A company's single product has the following costs:

	$ per unit	$ per unit
Production costs:		
Direct	4.60	
Variable overhead	0.80	
Fixed overhead	2.70	8.10
Non-production costs:		
Variable overhead	0.50	
Fixed overhead	1.40	1.90
		10.00

Marginal costing is used for the preparation of profit statements. In the last period, sales were 8,400 units, at $11.20 per unit, and production was 8,530 units.

What was the total contribution in the period?

A $26,040
B $48,720
C $43,753
D $44,520 **(2 marks)**

(Total = 52 marks)

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

Management responsibility and performance measurement 48 mins

4.1 Which is the best description of responsibility accounting?

A Employees will be held responsible for all decisions they make
B Managers delegate responsibility for performance to employees
C Directors delegate responsibility for performance to managers
D Managers bear responsibility for the revenues and costs of their area of the business

(2 marks)

4.2 A manager has responsibility for both costs incurred and revenues earned by his area of the business.

Which of the following is the manager responsible for?

A A cost centre
B A revenue centre
C A profit centre
D An investment centre **(2 marks)**

4.3 A manager in a division has his performance measured on the basis of the amount of profit the division makes in relation to the capital employed in the division.

Which of the following is the manager responsible for?

A A cost centre
B A revenue centre
C A profit centre
D An investment centre **(2 marks)**

4.4 In May a manufacturing company produced 150,200 units of its single product, in June 183,300 units were produced and in July production was 190,400 units. The manufacturing costs incurred in May were $51,068 in June were $67,821 and in July were $74,321.

What was the increase (in cents) in cost per unit from May to June?

A 3c increase
B 5c increase
C 51c increase
D 58c increase **(2 marks)**

4.5 If sales are $25,500, and cost of sales are $21,250, what is the gross profit percentage?

A 16.67%
B 20.00%
C 83.33%
D 120.00% **(2 marks)**

4.6 A business operates on a gross profit margin of 33.3%. Gross profit on a sale was $800, and expenses were $680.

What is the net profit percentage?

A 3.75%
B 5%
C 11.25%
D 22.67% **(2 marks)**

---

www.AMaterialHub.com

4.7 A business has credit sales of $150,000 and cash sales of $50,000. The production costs are $120,000 with selling costs of $35,000 and administration costs of $25,000.

What is the gross profit margin (to the nearest one decimal place)?

A 10.0%
B 20.0%
C 22.5%
D 40.0% **(2 marks)**

4.8 A business has credit sales of $150,000 and cash sales of $50,000. The production costs are $120,000 with selling costs of $35,000 and administration costs of $25,000.

What is the operating profit margin (to the nearest one decimal place)?

A 10.0%
B 20.0%
C 22.5%
D 40.0% **(2 marks)**

4.9 You are given the following information about a business.

Gross profit margin	30%
Gross profit	$240,000
Operating expenses	$106,000

What is the operating profit margin (to two decimal places)?

A 14.72%
B 16.75%
C 33.97%
D 55.83% **(2 marks)**

4.10 A manufacturer makes three very different products, the X, Y and Z. The standard time allowed for each unit of each product is as follows.

X 1 hour
Y 1.5 hours
Z 1.75 hours

During April the following units were produced:

800 units of Y, 1,400 units of Z and 2,000 units of X.

What are the standard hours of output for April?

A 4,200 standard hours
B 6,400 standard hours
C 5,500 standard hours
D 5,650 standard hours **(2 marks)**

4.11 What are the three main labour control ratios?

A Efficiency, capacity utilisation, production volume
B Rate, efficiency, capacity
C Rate, idle time, production volume
D Capacity, idle time, efficiency **(2 marks)**

AMaterialHub

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

4.12 During quarter 2, a manufacturing business had budgeted for 12,000 labour hours to be worked. The actual hours worked were 11,400 and the standard hours of production were 10,800.

What is the labour efficiency ratio (to one decimal place)?

A 90.0%
B 94.7%
C 95.0%
D 105.6% **(2 marks)**

Data for questions 4.13 and 4.14

During quarter 2, a manufacturing business had budgeted for 12,000 labour hours to be worked. The actual hours worked were 11,400 and the standard hours of production were 10,800.

4.13 What is the labour capacity utilisation ratio (to one decimal place)?

A 90.0%
B 94.7%
C 95.0%
D 105.6% **(2 marks)**

4.14 What is the labour production volume ratio (to one decimal place)?

A 90.0%
B 94.7%
C 95.0%
D 105.6% **(2 marks)**

4.15 Which of the following is the best description of residual income?

A Profits after interest and tax but before depreciation
B Profit before interest, tax and depreciation
C Profit before tax less a notional interest charge
D Profit after tax, interest and depreciation **(2 marks)**

4.16 An investment centre has non-current assets with a value of $300,000 and net current assets totalling $40,000 as at 31 December 20X3. It made a profit before tax of $40,000 and the tax charge for the year was $10,000.

What is the return on investment for the investment centre for the year (to one decimal place)?

A 8.8%
B 11.5%
C 11.8%
D 15.4% **(2 marks)**

4.17 For which of the following would an information system use cost centres, rather than revenue centres, in order to provide useful information?

A A manager of a shop in a retail chain
B One of three departmental managers for a trading company
C The personnel manager of a manufacturing company
D The manager of a company's service division providing after sales service

(2 marks)

www.AMaterialHub.com

4.18 **This question has been taken from the July–December 2015 examining team report**

Which of the following could be examples of cost centres?

1 Administration department
2 Output from a manufacturing process
3 Group of production machines
4 Materials store

A 2, 3 and 4
B 1 and 4 only
C 1, 3 and 4
D 1, 2 and 3 **(2 marks)**

4.19 **This question has been taken from the July–December 2015 examining team report**

The following ratios were calculated for a period:

Production volume	98%
Efficiency	105%

On the basis of the above ratios, which of the following statements are true or false?

(1) Actual hours were more than budgeted hours
(2) Standard hours of production were more than actual hours
(3) Budgeted hours were less than standard hours of production

	True	False
A	2	1 and 3
B	2 and 3	1
C	1 and 3	2
D	1 and 2	3

(2 marks)

4.20 **This question has been taken from the January–June 2016 examining team report**

Direct labour hours worked in a cost centre in a period were 360 hours above the budget of 5,670 hours. The efficiency ratio in the period was 97%.

Would the capacity and production volume ratios in the period be above or below 100%?

	Capacity ratio	Production volume ratio
A	Below 100%	Below 100%
B	Below 100%	Above 100%
C	Above 100%	Below 100%
D	Above 100%	Above 100%

(2 marks)

(Total = 40 marks)

AMaterialHub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Do you know? – Source documents and coding

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- When goods are required by a business the person requiring the goods must normally complete a …… form which must be authorised by an appropriate manager.
- The supplier will then provide a quotation and the purchasing department will then send a …….. to the supplier.
- The goods sent will usually be accompanied by a ……. note and when the business receives the goods, a …….. note will be completed. The supplier will later send a …….. …… to the supplier detailing the amounts due.
- The physical quantity of inventory is often recorded on a …… card in the stores department. A similar document known as the …….. will be kept by the accounts department.
- Materials issued to production must be classified as either …….. or ……. materials.
- Hours worked are often recorded on ……., ……. or time sheets.
- …….. helps to sort data for analysis, as well as helping to reduce data storage requirements.
- Coding systems can be sequential, block, ……., …….. or …… .
- Sales invoices should be coded …… of sales tax and any trade discounts.
- **Possible pitfalls. Write down examples of mistakes you should avoid**.

A Material Hub

www.AMaterialHub.com

Did you know? – Source documents and coding

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- When goods are required by a business the person requiring the goods must normally complete a **purchase requisition** form which must be authorised by an appropriate manager.
- The supplier will then provide a quotation and the purchasing department will then send a **purchase order** to the supplier.
- The goods sent will usually be accompanied by a **delivery** note and when the business receives the goods, a **goods received** note will be completed. The supplier will later send a **purchase invoice** to the supplier detailing the amounts due.
- The physical quantity of inventory is often recorded on a **bin** card in the stores department. A similar document known as the **stores ledger account** will be kept by the accounts department.
- Materials issued to production must be classified as either **direct** or **indirect** materials.
- Hours worked are often recorded on **clock cards**, **job cards** or time sheets.
- **Coding** helps to sort data for analysis, as well as helping to reduce data storage requirements.
- Coding systems can be sequential, block, **faceted**, **mnemonic** or **hierarchical**.
- Sales invoices should be coded **net** of sales tax and any trade discounts.
- **Possible pitfalls**:
  - Not understanding the importance of correct coding
  - Not being able to describe the material control cycle
  - Not understanding the purpose of source documents
  - Not knowing the order of documents in the materials ordering process

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Source documents and coding 62 mins

5.1 The non-current assets of a business are coded within the numerical range of 3000 to 3055. The third digit in the code represents the type of non-current asset as follows.

1 Land and buildings
2 Plant and machinery
3 Motor vehicles
4 Office equipment and fittings
5 Intangible assets

The final digit in the code represents the department of the organisation where the non-current asset is used as follows.

1 Factory
2 Stores
3 Warehouse
4 Accounts
5 General administration

What would be the code given to the purchase of a new desk for the chief accountant?

A 3045
B 3054
C 3044
D 3055 **(2 marks)**

5.2 Which of the following documents in the purchases cycle would be generated by the supplier?

A Purchase order
B Credit note
C Purchase requisition
D Goods received note **(2 marks)**

5.3 Which of the following documents in the purchases cycle would be generated by the purchaser?

A Delivery note
B Invoice
C Purchase requisition
D Credit note **(2 marks)**

5.4 Which of the following would **NOT** appear as an addition or deduction on the face of a purchase invoice received from a supplier?

A Cash discount
B Trade discount
C Net cost of goods
D Sales tax **(2 marks)**

5.5 Which of the following is the correct sequential flow of documents in the purchase of goods on credit?

A Purchase order, purchase requisition, goods received note, delivery note, invoice
B Purchase requisition, purchase order, goods received note, delivery note, invoice
C Purchase requisition, purchase order, delivery note, goods received note, invoice
D Purchase order, purchase requisition, invoice, delivery note, goods received note **(2 marks)**

5.6 When a purchase invoice is received from a supplier which documents should it be checked to?

A Purchase requisition and delivery note
B Purchase order and goods received note
C Advice note and delivery note
D Purchase requisition and goods received note **(2 marks)**

---

www.AMaterialHub.com

5.7 Which member of staff is most likely to raise a materials requisition?

A Stores manager
B Cost accountant
C Purchasing manager
D Production manager **(2 marks)**

5.8 Which member of staff is most likely to raise a goods received note?

A Delivery driver
B Finance director
C Sales ledger clerk
D Warehouse clerk **(2 marks)**

The following information relates to questions 5.9 and 5.10

The overhead expenses of a company are coded using a five digit coding system, an extract from which is as follows:

Cost centre	*Code no*	*Types of expense*	*Code no*
Machining	10	Indirect materials	410
Finishing	11	Depreciation of production machinery	420
Packing	12	Indirect wages	430
Stores	13	Maintenance materials	440
Maintenance	14	Machine hire costs	450
		Depreciation of non-production equipment	460

The coding for the hire costs of a packing machine is 12450

5.9 What is the coding for the depreciation of maintenance equipment?

A 10460
B 14420
C 14440
D 14460 **(2 marks)**

5.10 What is the coding for the issue of indirect materials issued from stores to the machining department?

A 10410
B 10440
C 13410
D 13440 **(2 marks)**

5.11 When ABC Co returns goods to DEF Co (a credit supplier), which of the following documents should ABC expect to receive?

A Invoice
B Credit note
C Receipt
D Remittance advice **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

The following information relates to questions 5.12 and 5.13

Wilmshurst (a furniture company) makes its sales through three outlets: Dopham, Nutley and Jenson and uses the following system of coding:

First two digits	01 represents a COST CENTRE	
	02 represents a PROFIT CENTRE	
Second two digits	Dopham profit centre	10
	Nutley profit centre	11
	Jenson profit centre	12
Third two digits	This depends upon the type of sale	
	– 1.5m dining table	11
	– 1.75m dining table	12
	– round coffee table	13
	– square coffee table	14
	– dining chair	15
	– 2-drawer chest	16
	– 3-drawer chest	17
	– 1.5m wardrobe	18
	– 1.75m wardrobe	19

5.12 Which of the following codes should be used for dining chairs sold from Dopham?

A 011011
B 011015
C 021012
D 021015 **(2 marks)**

5.13 Which of the following codes should be used for a 1.5m dining table sold from Nutley?

A 021112
B 021111
C 011111
D 011112 **(2 marks)**

5.14 A company uses the following coding system.

000062	Salaries
000063	Postage
000064	Stationery

Which type of coding system is this?

A Block
B Mnemonic
C Sequential
D Hierarchical **(2 marks)**

www.AMaterialHub.com

5.15 A company uses the following coding system. (X indicates another digit in the code)

4XXXXX	Copper
5XXXXX	Steel
6XXXXX	Labour

Which type of coding system is this?

A Hierarchical
B Sequential
C Block
D Mnemonic **(2 marks)**

5.16 A company uses the following coding system.

3	=	Wood
32	=	Hard wood
31	=	Soft wood
322	=	Oak hard wood

Which type of coding system is this?

A Sequential
B Hierarchical
C Mnemonic
D Block **(2 marks)**

5.17 Which document is sent to a supplier following the receipt of a quotation?

A Purchase order
B Goods received note
C Purchase requisition
D Delivery note **(2 marks)**

5.18 Which document may be sent with products delivered to a customer?

A Goods received note
B Delivery note
C Receipt
D Quotation **(2 marks)**

5.19 A company has 7,500 kgs of a raw material in inventory. 1,250 kgs has been committed for future use and a further 3,000 kgs have been ordered.

What is the free inventory?

A 7,500 kgs
B 10,500 kgs
C 5,750 kgs
D 9,250 kgs **(2 marks)**

5.20 Which of the following is a materials requisition **NOT** used for?

A Updating the bin card in stores
B Charging the job, overhead or department that is using the materials
C Recording employee time
D Updating the stores ledger account in the costing department **(2 marks)**

5.21 Which of the following is **NOT** a use for a jobcard?

A Ensuring that time recorded is accurate
B Agreeing a labour rate
C Assisting the coding of employee time
D Authorisation of overtime payments **(2 marks)**

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

5.22 Which of the following defines free inventory?

A Inventory on hand + inventory on order – inventory scheduled for use
B Inventory on hand – inventory on order – inventory scheduled for use
C Inventory on hand + inventory on order + inventory scheduled for use
D Inventory on hand – inventory on order + inventory scheduled for use **(2 marks)**

5.23 Which of the following statements are **TRUE**?

1 A bin card records the quantity of inventory on hand whereas a store ledger account records the monetary value as well as the quantity of the inventory on hand.

2 A perpetual inventory system is one where each receipt or issue of material is recorded as it takes place.

A Both statements are correct
B Both statements are incorrect
C Statement 1 is correct but statement 2 is incorrect
D Statement 1 is incorrect but statement 2 is correct **(2 marks)**

5.24 Which of the following documents is **NOT** part of the purchasing system?

A Purchase requisition
B Goods received note
C Delivery note
D Purchase invoice **(2 marks)**

5.25 Which of the following is **NOT** a purpose of a timesheet?

A Provide management with information for analysis
B To use as a record of hours spent
C To be used as a basis for billing for services
D Authorising holiday time **(2 marks)**

5.26 **This question has been taken from the July–December 2014 examining team report.**

Are each of the following statements, about documents used in the materials control cycle, true or false?

(1) A materials requisition will be completed when materials are needed from stores by a production department

(2) A purchase order is sent to the purchasing department to request that materials be ordered from a supplier

(3) A goods received note is sent to the supplier to confirm that goods have been received.

	True	False
A	(1) and (2)	(3)
B	(2) and (3)	(1)
C	(1)	(2) and (3)
D	(1) and (3)	(2)

(2 marks)

(Total = 52 marks)

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Do you know? – Materials, labour costs and overhead costs

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- There are four different methods of valuing inventory: FIFO, ……, cumulative …….. …… and …….. …….. …… .
- In a period of rising prices, inventory will be valued higher under ……. rather than ……. .
- Where employees are paid according to the number of units of good production, this is known as a …….. system.
- Employers must deduct the following from gross pay before paying net pay to employees.

  ……
  ……

- Overheads are made up of the following.

  ……
  ……
  ……

- The first stage of absorption costing is the …… of specific overheads to specific cost centres – then joint overheads are …… to each cost centre on an appropriate basis. The overheads of the ……. cost centres must then be reapportioned to the production cost centres on an appropriate basis.
- Once all of the overheads have been apportioned to the production cost centres a(n) …… …… is determined normally based upon direct labour hours or machine hours.
- **Possible pitfalls. Write down examples of mistakes you should avoid**.

A Material Hub

www.AMaterialHub.com

Did you know? – Materials, labour costs and overhead costs

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- There are four different methods of valuing inventory: FIFO, **LIFO**, cumulative **weighted average** and **periodic weighted average**.
- In a period of rising prices, inventory will be valued higher under **FIFO** rather than **LIFO**.
- Where employees are paid according to the number of units of good production, this is known as a **piecework** system.
- Employers must deduct the following from gross pay before paying net pay to employees.
  - **Income tax**
  - **Employee's benefit contributions**
- Overheads are made up of the following.
  - **Indirect materials**
  - **Indirect labour**
  - **Indirect expenses**
- The first stage of absorption costing is the **allocation** of specific overheads to specific cost centres – then joint overheads are **apportioned** to each cost centre on an appropriate basis. The overheads of the **service** cost centres must then be reapportioned to the production cost centres on an appropriate basis.
- Once all of the overheads have been apportioned to the production cost centres a(n) **overhead absorption rate** is determined normally based upon direct labour hours or machine hours.
- **Possible pitfalls**:
  - Not being able to analyse gross earnings
  - Not being able to apportion and absorb indirect costs
  - Not being able to calculate net pay from gross figures
  - Not knowing the bookkeeping for over or under-absorbed overheads

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Materials and labour costs 79 mins

6.1 A business buys and sells a finished product. At 1 March 20X3 there are 120 units of this product in inventory. The estimated sales over the next three months of this product are:

March	500 units
April	600 units
May	540 units

The stores manager wishes there to be 150 units in inventory at the end of May.

How many units of this product should be ordered now?

A 1,370 units
B 1,610 units
C 1,640 units
D 1,670 units **(2 marks)**

6.2 During week 14 a manufacturing business issued $19,600 of direct materials to the factory and $3,200 of indirect materials.

What is the double entry for these issues of materials?

A	Debit	Materials control	$22,800	
	Credit	Work in progress	$19,600	
	Credit	Production overhead control	$3,200	
B	Debit	Work in progress	$19,600	
	Debit	Production overhead control	$3,200	
	Credit	Materials control	$22,800	
C	Debit	Work in progress	$3,200	
	Debit	Production overhead control	$19,600	
	Credit	Materials control	$22,800	
D	Debit	Materials control	$22,800	
	Credit	Work in progress	$3,200	
	Credit	Production overhead control	$19,600	**(2 marks)**

6.3 An employee is paid on a piecework basis as follows.

Up to 100 units per week	$2.40 per unit
101 to 120 units per week	$2.70 per unit
121 units or more per week	$3.00 per unit

Only the additional units qualify for the higher rate and rejected units do not qualify for payment.

In a week when the employee produced 133 units of which 11 were rejected what would be the employee's gross pay for the week?

A $297
B $300
C $333
D $366 **(2 marks)**

6.4 A manufacturing organisation has 24 employees who are paid a basic hourly rate of $6.00 for a standard 38 hour week with any overtime hours being paid at a rate of time and a half. In a typical week the employees all work 4 hours of overtime and produce a total 2,500 units of the organisation's product.

What is the total unit labour cost for the product?

A $2.19
B $2.30
C $2.42
D $2.53 **(2 marks)**

---

www.AMaterialHub.com

6.5 A manufacturing organisation operates a piecework system of wage payment whereby each employee is paid $7.40 per unit for the first 25 units produced in a week and $8.20 per unit for any units in excess of this amount. There are 33 employees and it is expected that each will produce 29 units per week.

What is the total unit labour cost?

A $6.60
B $7.40
C $7.51
D $8.20 **(2 marks)**

6.6 A manufacturing organisation employs 100 factory workers who are all paid at an hourly rate of $7.00 for a 38 hour week. Any overtime hours are paid at time and a half. On average each unit of the product the factory makes takes 4 hours and in an average week each employee works 4 hours of overtime.

The management has recently installed new machinery which it is estimated should reduce the time taken to produce one unit of the product to 3.5 hours. The employees will continue to work the same amount of overtime.

What will be the increase in the number of units made each week now the machinery has been installed?

A 35 units
B 135 units
C 150 units
D 250 units **(2 marks)**

Data for questions 6.7 and 6.8

An employee is paid an hourly rate of $6.80 for a 40 hour week with overtime paid at a rate of time and a half. In one week the employee worked for 45 hours.

The income tax to be deducted for the week is $58, the employees' benefit contribution is $31 and the employer's benefit contribution is $34.

6.7 What is the employee's net pay for the week?

A $183
B $200
C $234
D $323 **(2 marks)**

6.8 What is the wages cost to the employer for this employee's work for the week?

A $268
B $306
C $323
D $357 **(2 marks)**

Data for questions 6.9 and 6.10

These are all elements of payroll costs.

1 Gross pay
2 PAYE (income tax)
3 Employer's benefit contributions
4 Employee's benefit contributions

A Material Hub

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

6.9 Which of the above affect the employee's net pay?

A 1, 2 and 4 only
B 1, 2 and 3 only
C 1 and 2 only
D 1, 2, 3 and 4 **(2 marks)**

6.10 Which of the above costs are costs to the employer?

A 1 and 3 only
B 1 and 4 only
C 2, 3 and 4 only
D 1, 2, 3 and 4 **(2 marks)**

6.11 A business sells a product called the Bozo and each unit of Bozo requires 4.5kg of material Alif. Inventory of material Alif are 1,100kg at the start of August and the following production is planned for the next three months.

	August	*September*	*October*
Production in units of Bozos	1,200	900	1,700

The stores manager is about to place an order for material Alif and he requires there to be enough inventory at the end of October of material Alif in order to produce 200 Bozos.

What is the size of the order he must place in order to ensure that there is enough material Alif for the three months of the production and for the closing inventory requirements?

A 16,900kg
B 17,100kg
C 16,000kg
D 17,300kg **(2 marks)**

6.12 During the month of September 20X3 the following labour hours were worked.

Direct production workers – 2,300 basic hours plus 500 hours of overtime.

Indirect workers – 640 hours including 120 hours of overtime.

The direct workers are paid a basic rate of $7.20 per hour and the indirect workers $6.20 per hour. Overtime hours are paid at time and a half. The overtime premium for direct labour is classed as an indirect cost. Of the hours paid to the direct production workers 100 of these were idle time hours.

What is the direct labour cost for the month?

A $16,560
B $16,740
C $19,440
D $20,160 **(2 marks)**

6.13 During the month of June the following labour hours were worked.

Direct production workers – 1,700 basic hours plus 250 hours of overtime

Indirect workers – 760 hours including 90 hours of overtime

The direct workers are paid a basic rate of $8.00 per hour and the indirect workers $7.60 per hour. Overtime hours are paid at time and a half. The overtime premium for direct labour is classed as an indirect cost. Of the hours paid to the direct production workers 80 of these were idle time hours.

What is the indirect labour cost for the month?

A $5,092
B $6,118
C $7,118
D $7,758 **(2 marks)**

---

www.AMaterialHub.com

6.14 At the end of week 23 a business made a payment for wages. Of the gross amount of $23,700, $3,700 was for indirect wages and the remainder was for direct workers' wages.

What is the double entry for the labour costs for the week?

A	Debit	Wages control	$23,700	
	Credit	Work in progress	$20,000	
	Credit	Production overhead	$3,700	
B	Debit	Wages control	$23,700	
	Credit	Work in progress	$3,700	
	Credit	Production overhead	$20,000	
C	Debit	Work in progress	$20,000	
	Debit	Production overhead	$3,700	
	Credit	Wages control	$23,700	
D	Debit	Work in progress	$3,700	
	Debit	Production overhead	$20,000	
	Credit	Wages control	$23,700	**(2 marks)**

6.15 During the month of July 20X3 the gross pay of the direct production workers in a manufacturing business was $32,000 with deductions for PAYE (income tax) and benefit contribution of $10,600. Three quarters of the wages bill is for direct production workers.

What is the amount to be debited to the work in progress account?

A $5,350
B $8,000
C $16,050
D $24,000 **(2 marks)**

Data for questions 6.16 and 6.17

In week 23 the direct production workers of an organisation worked for 740 hours including 110 hours of overtime. The indirect workers worked for 200 hours which included 40 hours of overtime. Included in the direct workers' hours were 50 hours of idle time. The direct production workers have a basic rate of $8.40 per hour and the indirect workers have a basic rate of $6 per hour. All overtime is paid at time plus one third. Overtime premiums are treated as indirect costs.

6.16 What is the amount to be debited to the work in progress account?

A $2,008
B $5,796
C $6,216
D $6,524 **(2 marks)**

6.17 What is the amount to be debited to the production overhead control account?

A $1,280
B $1,588
C $2,008
D $5,796 **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

6.18 A company operates an integrated accounting system.

What would the accounting entries for the return of unused direct material from production be?

	Debit	*Credit*
A	Work in progress account	Stores control account
B	Stores control account	Work in progress account
C	Stores control account	Overhead control account
D	Finished goods inventory account	Work in progress account

(2 marks)

6.19 A company operates an integrated accounting system.

What would the accounting entries for the issue to production of indirect materials from inventory be?

	Debit	*Credit*
A	Work in progress account	Stores control account
B	Stores control account	Overhead control account
C	Overhead control account	Stores control account
D	Cost of sales account	Stores control account

(2 marks)

6.20 In a period of continual price inflation for material purchases, which of the following statements is true?

A The LIFO method will produce lower profits than the FIFO method, and lower closing inventory values

B The LIFO method will produce lower profits than the FIFO method, and higher closing inventory values

C The FIFO method will produce lower profits than the LIFO method, and lower closing inventory values

D The FIFO method will produce lower profits than the LIFO method, and higher closing inventory values

(2 marks)

6.21 A firm has a high level of inventory turnover and uses the FIFO (First In First Out) issue pricing system.

In a period of rising purchase prices, the closing inventory valuation is which of the following?

A Close to current purchase prices
B Based on the prices of the first items received
C Much lower than current purchase price
D The average of all goods purchased in the period **(2 marks)**

The following information relates to questions 6.22 and 6.23

G Co makes the following purchases and sales.

1 January	Purchases	4,000 units for $10,000
31 January	Purchases	1,000 units for $2,000
15 February	Sales	3,000 units for $13,000
28 February	Purchases	1,500 units for $3,750
14 March	Sales	500 units for $1,200

6.22 At 31 March which of the following closing inventory valuations using FIFO is correct?

A $8,000
B $7,500
C $7,000
D $6,500 **(2 marks)**

www.AMaterialHub.com

6.23 At 31 March which of the following closing inventory valuations using LIFO is correct?

A $6,500
B $7,000
C $7,500
D $8,000 **(2 marks)**

6.24 The data relating to a specific inventory item for the month of June is as follows

Inventory item 2362 X

Date		*Units*	*Receipts price per unit* $	*Value* $	*Units*
1 June	Opening inventory	100	5.00	500	
3 June	Receipts	300	4.80	1,440	
5 June	Issues				220
12 June	Receipts	170	5.20	884	
24 June	Issues				300

Using the cumulative weighted average price method of inventory valuation, what is the cost of the materials issued on 5 June?

A $1,056
B $1,067
C $1,078
D $1,100 **(2 marks)**

6.25 A wholesaler had opening inventory of 300 units of product Emm valued at $5 per unit at the beginning of January. The following receipts and issues were recorded during January.

Date		*Units*	*Receipts price per unit* $	*Value* $	*Units*
2 Jan	Receipts	250	4.80	1,200	
12 Jan	Issues				400
21 Jan	Receipts	200	5.20	1,040	
29 Jan	Receipts	80	4.90	392	

Using the periodic weighted average method of valuation, what is the value of closing inventory at the end of January? (to the nearest $)

A $646
B $2,141
C $2,152
D $2,168 **(2 marks)**

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

6.26 A business makes one product only. The following data relates to the total labour cost of making 500 units in a one week period.

	Number of employees	*Number of hours per employee*	*Rate per hour* $	*Total cost* $
Basic wage	12	35	5.00	2,100
Overtime	12	5	7.50	450
Total labour cost				2,550

Management are thinking of changing the remuneration method to a piecework system where employees are paid $4.10 per unit for each unit they produce for the first 40 units and $4.70 per unit for any units produced over and above 40. Employees are expected to produce 45 units per week under this system.

What is the change in unit labour cost from the current system to the proposed piecework system?

A $4.17 increase
B $0.93 decrease
C $4.17 decrease
D $492 decrease **(2 marks)**

6.27 Employees in a factory are paid at a basic hourly rate of $5.50 for a 35 hour week. Overtime is paid at a rate of $7.50 per hour. It takes one employee 3 hours to produce one unit of the sole product. On average employees work 4 hours of overtime in a week.

Management are considering automating part of the production process which will reduce unit production time by 30 minutes. It is expected that overtime will not be needed under this system.

What would be the effect of the new system on the per unit labour cost?

A $3.37 increase
B $2.31 decrease
C $3.37 decrease
D $2.31 increase **(2 marks)**

6.28 A business currently uses a piecework scheme to pay its direct labour. Employees are paid $3.50 per unit for the first 50 units and $4.00 per unit for every unit above 50 produced in a week.

On average an employee produces 60 units in a 38 hour working week.

Management are considering changing to a per hour labour remuneration scheme, where employees would be paid a basic wage of $5.00 per hour for a 36 hour working week with overtime paid at a premium above basic wage of $2.40. There is not expected to be a change in the level of productivity.

What is the change in unit labour cost from the piecework system to the proposed hourly rate system?

A $0.41 increase
B $0.33 decrease
C $0.41 decrease
D $0.50 decrease **(2 marks)**

6.29 Which of the following are indirect costs?

(i) The depreciation of maintenance equipment.
(ii) The overtime premium incurred at the specific request of a customer.
(iii) The hire of a tool for a specific job.

A Item (i) only
B Items (i) and (ii) only
C Items (ii) and (iii) only
D All of them **(2 marks)**

---

www.AMaterialHub.com

6.30 **This question has been taken from the January–June 2014 examining team report**

The following transactions relate to Material MM3 for a period:

Day	Transaction	Quantity (kgs)	Price ($ per kg)
1	Balance	276	6.20
5	Issue	181	
8	Purchase	630	5.80
15	Issue	215	

What is the value of the issues for the period (to the nearest $) using the periodic weighted average pricing method?

A $2,297
B $2,380
C $2,376
D $2,345 **(2 marks)**

6.31 **This question has been taken from the July–December 2014 examining team report**

260kgs of Material M are required to produce 1,000 units of Product P. Budgets for the next period include:

Sales of Product P	6,400 units
Inventory of Product P:	
Opening	2,600 units
Closing	3,000 units
Inventory of Material M:	
Opening	540kg
Closing	480kg

What is the budgeted usage of Material M in the next period?

A 1,768kg
B 1,560kg
C 1,828kg
D 1,708kg **(2 marks)**

6.32 **This question has been taken from the January–June 2015 examining team report**

Which of the following payments to direct workers in a factory would be charged as indirect labour?

(1) Overtime premiums resulting from a general increase in sales demand
(2) Time spent training on the operation of new equipment
(3) Idle time caused by machine breakdown

A 1 and 2 only
B 1 and 3 only
C 2 and 3 only
D 1, 2 and 3 **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

6.33 **This question has been taken from the January–June 2016 examining team report**

Product P3 requires 0.4 litres of material M5 per unit. Inventories are planned to change during period 6 as follows:

Product P3: decrease of 200 units
Material M5: increase of 150 units

6,000 units of product P3 are planned to be produced in period 6.

What is the planned usage of material M5 in the production of product P3 in period 6?

A 2,400 litres
B 2,550 litres
C 2,250 litres
D 2,320 litres **(2 marks)**

(Total = 66 marks)

A Material Hub

www.AMaterialHub.com

Overhead costs 38 mins

7.1 A company operates an integrated accounting system.

What would be the accounting entries for manufacturing overhead over absorbed?

	Debit	*Credit*
A	Overhead control account	Income statement
B	Income statement	Overhead control account
C	Work in progress account	Overhead control account
D	Overhead control account	Work in progress account

(2 marks)

7.2 A manufacturing company uses an integrated accounting system. The production overhead absorption rate is $3 per direct labour hour. Production overhead incurred last period was $85,000 and 27,000 direct labour hours were worked.

What would be the accounting entry to record the under or over absorption of production overhead for the period?

	Debit		*Credit*	
A	Income statement	$4,000	Overhead control account	$4,000
B	Overhead control account	$4,000	Income statement	$4,000
C	Work in progress account	$4,000	Overhead control account	$4,000
D	Overhead control account	$4,000	Work in progress account	$4,000

(2 marks)

7.3 There are two production cost centres and two service cost centres in a factory. Production overheads have been allocated and apportioned to cost centres and now require re-apportionment from service cost centres to production cost centres. Relevant details are:

	Service cost Centre A	*Service cost Centre B*
Total overhead	$42,000	$57,600
% to Production Cost Centre X	40	55
% to Production Cost Centre Y	60	45

What is the total re-apportionment to Production Cost Centre Y?

A $42,720
B $48,480
C $51,120
D $56,880

(2 marks)

7.4 What is the term that is used to describe the process of charging an entire expense to a single cost centre?

A Allocation
B Apportionment
C Absorption
D Re-apportionment

(2 marks)

7.5 What is the term used to describe the process of sharing an expense amongst a number of cost centres?

A Allocation
B Apportionment
C Absorption
D Re-apportionment

(2 marks)

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

7.6 A factory has two production cost centres, assembly and finishing, as well as two service cost centres, maintenance and stores. The rent and rates for the next period is anticipated to be $40,000. The floor area occupied by each of the cost centres is:

Assembly	2,000 m^2
Finishing	1,400 m^2
Stores	1,000 m^2
Maintenance	600 m^2

What amount should be apportioned to the stores cost centre for rent and rates?

A Nil
B $8,000
C $11,200
D $16,000 **(2 marks)**

7.7 In a factory the stores cost centre overheads are to be reapportioned to the three production cost centres.

What is the most appropriate basis for reapportionment?

A Number of employees
B Value of machinery
C Number of materials requisitions
D Machine hours **(2 marks)**

7.8 A factory has two production cost centres, assembly and finishing, as well as two service cost centres, maintenance and stores. After the allocation and apportionment of overheads the following totals have been established:

	Assembly	*Finishing*	*Maintenance*	*Stores*
	$	$	$	$
Allocated and apportioned overheads	52,400	41,300	18,590	15,200

The maintenance department is estimated to spend 400 hours in the assembly cost centre and 250 hours in the finishing cost centre. The assembly cost centre will make 140 materials requisitions during the next period but the finishing cost centre will only make 60 materials requisitions.

What is the total production overhead for the assembly department?

A $22,080
B $52,400
C $53,010
D $74,480 **(2 marks)**

Data for questions 7.9 and 7.10

You are given the following budgeted details about the two production cost centres of a business.

	Manufacturing	*Finishing*
Overheads	$245,600	$185,400
Labour hours	38,000	88,000
Machine hours	80,000	20,000

The manufacturing cost centre is a largely machine based department whereas the finishing cost centre is very much labour based.

7.9 What is the overhead absorption rate in the manufacturing cost centre per machine hour (to the nearest cent)?

A $2.11
B $3.07
C $6.46
D $9.27 **(2 marks)**

---

www.AMaterialHub.com

7.10 What is the overhead absorption rate per labour hour in the finishing cost centre (to the nearest cent)?

A $2.11
B $3.07
C $6.46
D $9.27 **(2 marks)**

7.11 One of the products that a factory makes spends three machine hours in the assembly department and two labour hours in the packaging department. The overhead absorption rates for each department are as follows.

Assembly $2.66 per machine hour
Packaging $1.75 per labour hour

What is the total amount of overhead to be absorbed into the cost of the product?

A $4.41
B $8.82
C $10.57
D $11.48 **(2 marks)**

7.12 A factory produces a product called the ZZ which has direct materials costs per unit of $4.20 and a direct labour cost per unit of $4.65. Each unit of the ZZ spends half an hour in the assembly department and quarter of an hour being packaged. The overhead absorption rates are $4.80 per hour in the assembly department and $3.60 per hour in the packaging department.

What is the total production cost of one unit of the ZZ?

A $3.30
B $8.40
C $8.85
D $12.15 **(2 marks)**

7.13 Consider the following statements.

1 All expenses are overheads
2 Service cost centre overheads should be apportioned to production cost centres

Which of the following is correct with regard to the above statements?

A Both are correct
B Both are incorrect
C Statement 1 is correct but statement 2 is incorrect
D Statement 1 is incorrect but statement 2 is correct **(2 marks)**

7.14 A business has two production departments, manufacturing and finishing. Details of the overhead absorption rates used in these two departments are as follows:

Manufacturing overhead absorption rate = $1.47 per machine hour

Finishing overhead absorption rate = $3.04 per labour hour

One product, the Gant, has the following details.

	Manufacturing	*Finishing*
Labour hours per unit	4	2
Machine hours per unit	6	1

How much total overhead would be included in the cost of one unit of the Gant (to the nearest cent)?

A $11.76
B $11.90
C $11.96
D $14.90 **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

7.15 A factory has two production departments, assembly and packaging. Details of the departments are given below.

	Assembly	*Packaging*
Budgeted overhead	$104,300	$64,500
Budgeted machine hours	50,000	10,000
Budgeted labour hours	25,000	30,000

Overheads are absorbed on the machine hour basis in the assembly department and on the labour hour basis in the packaging department.

What are the budgeted overhead absorption rates per relevant hour?

	Assembly	*Packaging*
A	$4.17	$6.45
B	$4.17	$2.15
C	$2.09	$6.45
D	$2.09	$2.15

(2 marks)

7.16 **This question has been taken from the January–June 2015 examining team report**

The following data relate to a production cost centre for the period just ended:

Budgeted overhead expenditure	$53,900
Predetermined overhead absorption rate	$24.50 per machine hour
Actual activity	2,070 machine hours
Actual overhead expenditure	$54,670

What was the overhead over/under absorption in the period?

A $770 over absorbed
B $770 under absorbed
C $3,185 under absorbed
D $3,955 under absorbed

(2 marks)

(Total = 32 marks)

A Material Hub

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Do you know? – Job, batch and process costing

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- Job costing is the costing method used where each cost unit is separately identifiable. Costs for each job are collected on a …….. or …… Overhead is absorbed into the cost of jobs using the …….. rate.
- The usual method of fixing prices within a jobbing concern is ……..
- Batch costing is similar to job costing in that each batch of similar articles is separately identifiable. The cost per unit manufactured in a batch is calculated by dividing the …….. by the …….. in the batch.
- Process costing is a costing method used where it is not possible to identify separate units of production usually because of the continuous nature of the production processes involved.
- Three reasons why losses occur include the following.

  (1) ……
  (2) ……
  (3) ……

- loss is the loss expected during a process and it is not given a cost.
- When dealing with process costing questions, the following four-step approach should be used.

  Step 1

  Step 2

  Step 3

  Step 4

- When there is closing work in progress at the end of a period, it is necessary to calculate the …… of production in order to determine the cost of a completed unit.
- **Possible pitfalls**. **Write down the mistakes you know you should avoid**.

A Material Hub

www.AMaterialHub.com

Did you know? – Job, batch and process costing

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- Job costing is the costing method used where each cost unit is separately identifiable. Costs for each job are collected on a **job cost sheet** or **job card**. Overhead is absorbed into the cost of jobs using the **predetermined overhead absorption** rate.
- The usual method of fixing prices within a jobbing concern is **cost plus pricing**.
- Batch costing is similar to job costing in that each batch of similar articles is separately identifiable. The cost per unit manufactured in a batch is calculated by dividing the **total batch cost** by the **number of units** in the batch.
- Process costing is a costing method used where it is not possible to identify separate units of production usually because of the continuous nature of the production processes involved.
- Three reasons why losses occur include the following.

  (1) **Wastage**
  (2) **Spoilage**
  (3) **Evaporation**

- **Normal** loss is the loss expected during a process and it is not given a cost. If it has a scrap value then it is valued at this amount.
- When dealing with process costing questions, the following four-step approach should be used.

Step 1	**Determine output and losses**
Step 2	**Calculate cost per unit of output**
Step 3	**Calculate total cost of completed output and WIP (not required if no WIP)**
Step 4	**Complete accounts**

- When there is closing work in progress at the end of a period, it is necessary to calculate the **equivalent units** of production in order to determine the cost of a completed unit.
- **Possible pitfalls**
  - Not including all necessary costs when calculating a job or a batch price
  - Forgetting that losses do not have a cost
  - Not using the suggested four-step approach when answering process costing questions
  - Not calculating the equivalent units correctly

AMaterialHub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Job, batch and process costing 58 mins

8.1 Which of the following statements is incorrect?

A Job costs are collected separately, whereas process costs are averages

B In job costing, the direct cost of a job can be ascertained from materials requisitions notes and job cost cards or timesheets

C In process costing, information is needed about work passing through a process and work remaining in each process

D In both process costing and job costing, the cost of normal loss will be incorporated into normal product costs **(2 marks)**

8.2 Which of the following is a feature of job costing?

A Production is carried out in accordance with the wishes of the customer
B Associated with continuous production of large volumes of low-cost items
C Product costs are charged using the variable production costs only
D Costs are charged over the units produced in the period **(2 marks)**

8.3 Which of the following statements is/are correct?

(i) A materials requisition note is used to record the issue of direct material to a specific job.

(ii) A typical job cost will contain actual costs for material, labour and production overheads, and non-production overheads are often added as a percentage of total production cost.

A (i) only
B Both (i) and (ii)
C (ii) only
D Neither statement is correct **(2 marks)**

8.4 The following information relates to job 2468, which is being carried out by AB Co to meet a customer's order.

	Department A	*Department B*
Direct materials consumed	$5,000	$3,000
Direct labour hours	400 hours	200 hours
Direct labour rate per hour	$4	$5
Production overhead per direct labour hour	$4	$4
Total administration and other overheads		$2,600

What is the total cost of the job?

A $13,000
B $13,200
C $15,400
D $15,600 **(2 marks)**

---

www.AMaterialHub.com

The following information relates to questions 8.5 to 8.7

A firm makes special assemblies to customers' orders and uses job costing.

The data for a period are:

	Job number AA10	*Job number BB15*	*Job number CC20*
	$	$	$
Opening WIP	26,800	42,790	0
Material added in period	17,275	0	18,500
Labour for period	14,500	3,500	24,600

The budgeted overheads for the period were $126,000 and should be absorbed based on labour hours. Details of budgeted labour hours for each job, in this period, are as follows.

	Budgeted labour hours
AA10	580
BB15	140
CC20	984

8.5 What overhead should be added to job number CC20 for the period (to the nearest $)?

A $42,887
B $10,352
C $72,761
D $126,000 **(2 marks)**

8.6 Job number BB15 was completed and delivered during the period.

What is the total cost of job number BB15?

A $13,852
B $46,290
C $56,642
D $119,051 **(2 marks)**

8.7 Job numbers AA10 and CC20 remained incomplete at the end of the period.

What was the value of closing work-in-progress at the end of the period of Job AA10?

A $58,575
B $79,687
C $101,462
D $86,962 **(2 marks)**

Data for questions 8.8 and 8.9

A firm uses job costing and recovers overheads on direct labour.

Three jobs were worked on during a period, the details of which are as follows.

	Job 1	*Job 2*	*Job 3*
	$	$	$
Opening work in progress	8,500	0	46,000
Material in period	17,150	29,025	0
Labour for period	12,500	23,000	4,500

The overheads for the period were exactly as budgeted, $140,000.

A Material Hub

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

8.8 Jobs 1 and 2 were the only incomplete jobs at the end of the period.

What was the value of closing work in progress?

A $90,175
B $124,250
C $214,425
D $230,175 **(2 marks)**

8.9 Job 3 was completed during the period and consisted of 2,400 identical circuit boards.

What is the cost per unit of a circuit board?

A $8.44
B $21.04
C $27.60
D It cannot be calculated without more information **(2 marks)**

8.10 P Co manufactures ring binders which are embossed with the customer's own logo. A customer has ordered a batch of 300 binders. The following data illustrate the cost for a typical batch of 100 binders.

	$
Direct materials	30
Direct wages	10
Machine set up (Fixed batch cost)	3
Design and artwork (Fixed batch cost)	15
	58

Direct employees are paid on a piecework basis.

P Co absorbs production and selling overheads at a rate of 20 per cent of direct wages cost.

What is the total cost for a batch of 300 binders? (to the nearest cent)

A $60.00
B $193.20
C $144.00
D $156.00 **(2 marks)**

8.11 A small management consultancy has prepared the following information.

Overhead absorption rate per consulting hour	$12.50
Salary cost per consulting hour (senior)	$20.00
Salary cost per consulting hour (junior)	$15.00

Assignment number 652 took 86 hours of a senior consultant's time and 220 hours of junior time.

What is the total cost for assignment number 652?

A $5,020
B $8,845
C $9,515
D $28,215 **(2 marks)**

8.12 What is an equivalent unit?

A A unit of output which is identical to all others manufactured in the same process
B Notional whole units used to represent uncompleted work
C A unit of product in relation to which costs are ascertained
D The amount of work achievable, at standard efficiency levels, in an hour **(2 marks)**

---

www.AMaterialHub.com

8.13 Process B had no opening inventory 13,500 units of raw material were transferred in at $4.50 per unit. Additional material at $1.25 per unit was added in process. Labour and overheads were $6.25 per completed unit and $2.50 per unit incomplete.

If 11,750 completed units were transferred out, what was the closing inventory value in Process B?

A $6,562.50
B $12,250.00
C $14,437.50
D $25,375.00

(2 marks)

8.14 A company manufactures Chemical X, in a single process. At the start of the month there was no work-in-progress. During the month 300 litres of raw material were input into the process. At the end of the month 250 litres of Chemical X were transferred to finished goods inventory. The remaining work-in-progress was 100% complete with respect to materials and 50% complete with respect to conversion costs. There were no losses in the process.

What were the equivalent units for closing work-in-progress at the end of the month?

	Material	*Conversion costs*
A	25 litres	25 litres
B	25 litres	50 litres
C	50 litres	25 litres
D	50 litres	50 litres

(2 marks)

8.15 A company produces a certain food item in a manufacturing process. On 1 November, there was no opening inventory of work in process. During November, 500 units of material were input to the process, with a cost of $9,000. Direct labour costs in November were $11,520. The equivalent units at the end of November were as follows:

			Equivalent units				
Input	*Output*	*Total*	*Materials*		*Labour*	
Units		Units	Units	%	Units	%
	Finished units	400	400	100	400	100
500	Closing inventory	100	100	100	80	80
500		500	500		480	

What is the full production cost of completed units during November?

A $17,100
B $16,416
C $16,800
D $20,520

(2 marks)

8.16 340 litres of Chemical X were produced in a period. There is a loss of 10% of material input into the process.

How many litres have been input in the month (to the nearest litre)?

A 370 litres
B 374 litres
C 378 litres
D 380 litres

(2 marks)

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

8.17 A company uses process costing for its only process which produces Product Z. No losses occur in the process. There was no work-in-progress at the start of a period. During the period 550 kgs of raw material were input to the process. In the same period 150 kgs of the finished product were output from the process. The work-in-progress remaining was 75% complete with respect to materials and 50% complete with respect to conversion costs.

What were the equivalent units for costing work-in-progress at the end of the period?

	Material	*Conversion costs*
A	400kg	200kg
B	200kg	400kg
C	300kg	200kg
D	300kg	400kg

(2 marks)

8.18 Raw materials costing $12,800 were input to a process during a period. Conversion costs totalled $18,430. There was no work-in-progress at the beginning of the period and no process losses during the period. 3,600 units of the product were completed in the period with 400 units remaining in the process at the end of the period, complete for materials and with 70% of the conversion costs applied.

What was the production cost per unit?

A $7.81
B $7.95
C $8.05
D $8.68

(2 marks)

8.19 In a production process the percentage completion of the work-in-progress (WIP) at the end of a period is found to have been understated.

When this is corrected what will be the effect on the cost per unit and the total value of WIP?

	Cost per unit	*Total value of WIP*
A	Decrease	Decrease
B	Decrease	Increase
C	Increase	Decrease
D	Increase	Increase

(2 marks)

8.20 A company has one manufacturing process and uses process costing. During a period the cost of raw materials input into the process was $30,000. There was no opening work in progress. 1,000kg of materials were used and losses are 5% of input. Conversion costs were $6,000. There is no closing work in progress.

What is the cost per kg during this period?

A $30.00
B $31.58
C $36.00
D $37.89

(2 marks)

8.21 A company has one finishing process and uses process costing. During a period 500 units costing $27,800 were input to the process. Losses are 15% of input. There is no opening or closing work in progress.

Which of the following is the cost per unit?

A $55.60
B $65.41
C $61.78
D $58.53

(2 marks)

www.AMaterialHub.com

8.22 Which of the following defines batch costing?

A A costing method used where each cost unit is separately identifiable, where production may not take place for inventory.

B A costing method used where there are separately identifiable processes, where production may take place for continuous jobs.

C A costing method used where each cost unit is separately identifiable, where production may take place for inventory.

D A costing method used where there are continuous processes. **(2 marks)**

8.23 A company manufactures table football tables, and has the following budgeted overheads for the next month.

Department	*Budgeted overheads*	*Budgeted activity*
	$	
Welding	6,000	1,200 labour hours
Assembly	8,000	1,000 labour hours

Selling and administrative overheads are 20% of production cost. Production of 250 tables, type Garlandi 1, made as Batch 8008, incurred the following costs.

Materials	$10,000
Labour	100 hours welding shop at $7/hour
	250 hours assembly shop at $10/hour

The cost of hiring special X-ray equipment for testing the welds was $600.

What is the cost per unit for Batch 8008?

A $81.60
B $78.24
C $75.36
D $65.20 **(2 marks)**

8.24 In which of the following areas of production would process costing **NOT** be used?

A Food processing
B Paper milling
C Car manufacture
D Milk treatment **(2 marks)**

8.25 **This question has been taken from the September 2017–June 2018 examining team report**

2,700kg of material, costing $9.00 per kg, was input to a manufacturing process in a period. 10% of input is lost through wastage. Conversion costs totalled $18,640 in the period. There was no work-in-progress at the start or end of the period

What was the cost per kg of output in the period?

A $15.90
B $16.67
C $17.67
D $16.90 **(2 marks)**

(Total = 50 marks)

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Do you know? – The spreadsheet system

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise.

- A spreadsheet is basically an electronic piece of paper divided into **r**..... and **c**..... The intersection of a row and a column is known as a **c**.....
- Essential basic skills include how to move around within a spreadsheet, how to enter and edit data, how to fill cells and how to **i**..... and **d**..... columns and rows.
- A spreadsheet should be given a **t**..... which clearly defines its purpose. The contents of rows and columns should also be clearly **l**.....
- Formulae can be used in spreadsheets to perform calculations ..... and ..... There is a wide range of formulae available in Excel.
- Errors can occur where formulae have not been set up correctly. Each error has its own solution, which can sometimes be discovered by the use of **t**..... **p**..... .
- Numbers can be **f**..... in several ways, for instance with commas, as percentages, as currency or with a certain number of decimal places.
- All access to the spreadsheet can be prevented by the use of .....
- ..... cell references (B3) change when you copy formulae to other locations or move data from one place to another. ..... cell references ($B$3) stay the same.
- **Possible pitfalls**. **Write down examples of mistakes you should avoid**.

A Material Hub

www.AMaterialHub.com

Did you know? – The spreadsheet system

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- A spreadsheet is basically an electronic piece of paper divided into **rows** and **columns**. The intersection of a row and a column is known as a **cell**.
- Essential basic skills include how to move around within a spreadsheet, how to enter and edit data, how to fill cells and how to **insert** and **delete** columns and rows.
- A spreadsheet should be given a **title** which clearly defines its purpose. The contents of rows and columns should also be clearly **labelled**.
- Formulae can be used in spreadsheets to perform calculations **quickly** and **efficiently**. There is a wide range of formulae available in Excel.
- Errors can occur where formulae have not been set up correctly. Each error has its own solution, which can sometimes be discovered by the use of **trace precedents**.
- Numbers can be **formatted** in several ways, for instance with commas, as percentages, as currency or with a certain number of decimal places.
- All access to the spreadsheet can be prevented by the use of **passwords**.
- **Relative** cell references (B3) change when you copy formulae to other locations or move data from one place to another. **Absolute** cell references ($B$3) stay the same.
- **Possible pitfalls include the following (you may have thought of others)**:
  - Not knowing the causes of spreadsheet errors
  - Failing to learn and understand the workings of spreadsheets
  - Insufficient knowledge of appropriate formatting techniques
  - Being unable to recommend the best graph to show particular information
  - Not being able to understand the formula in a cell
  - Not being able to correct a formula with errors in it

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

The basics of using a spreadsheet 72 mins

Data for questions 9.1–9.3

You have acquired a spreadsheet package, Excel. You want to use it to devise a monthly schedule of your firm's income and expenditure over the past three months, in a format as shown below. The schedule is to be updated every month.

You decide that columns should represent months, with one column containing a three month total. Each row represents an item of income or expenditure, with a final profit figure for the month at the bottom of each column, as in the illustration below. You also want to list the amount owing to your firm by its clients at the end of each month.

	A	*B*	*C*	*D*	*E*
1	*Item*	*Total 3 months*	*June*	*May*	*April*
2					
3		$	$	$	$
4	Fees		21500	22000	22500
5					
6					
7	Salaries		13500	12500	12500
8	Postage		200	200	200
9	Telephone		200	200	200
10	Stationery		200	200	200
11	Rent		1500	1500	1500
12	Accountancy		300	200	
13	Bank charges		–	400	
14	Rates		600	600	600
15	Other		1000	1200	1300
16					
17	Net		4000	5000	6000
18					
19	Owed by clients		7170	10995	9000
20					
21					
22					
23					

9.1 What should you enter in cell B4 when you construct the model, to make best use of the spreadsheet's facilities?

A =66000
B =21500 + 22000 + 22500
C =SUM(C4:E4)
D =(C:E)*4 **(2 marks)**

9.2 In Microsoft Excel, which of the following would **NOT** correctly perform the calculation required in cell B17 (assuming the remainder of the spreadsheet is complete)?

A =B4-SUM(B7:B15)
B =SUM(C17:E17)
C =B4-B7-B8-B9-B10-B11-B12-B13-B14-B15
D =SUM(C4:E4)-SUM(C7:E16) **(2 marks)**

www.AMaterialHub.com

9.3 You now wish to make your model more sophisticated, to include the percentage change in revenue month by month is required.

Which of the following alternatives best expresses how you would input this requirement into your spreadsheet?

A =(C4-D4)/D4 formatted as a percentage
B =C4-D4/D4 formatted as a percentage
C =((C4-D4)/D4)x100
D =C4/D4 formatted as a percentage **(2 marks)**

Questions 9.4–9.6 refer to the spreadsheet shown below.

	A	B	C	D	E	F	G	H	I
1				**Income and Costs forecast for Smith and Peters**					
2									
3				Month 1	Month 2	Month 3	Month 4	Month 5	Month 6
4				$	$	$	$	$	$
5	**Opening position**			0	1,430	2,860	4,290	5,720	7,150
6									
7	**Income**			15,000	15,000	15,000	15,000	15,000	15,000
8									
9	**Costs**								
10	Staff costs								
11	Project manager			2,500	2,500	2,500	2,500	2,500	2,500
12	Senior developer			1,900	1,900	1,900	1,900	1,900	1,900
13	Developer 1			1,600	1,600	1,600	1,600	1,600	1,600
14	Developer 2			1,500	1,500	1,500	1,500	1,500	1,500
15	Developer 3			1,500	1,500	1,500	1,500	1,500	1,500
16	Support staff			1,200	1,200	1,200	1,200	1,200	1,200
17	National insurance @		10%	1,020	1,020	1,020	1,020	1,020	1,020
18	**Total staff costs**			11,220	11,220	11,220	11,220	11,220	11,220
19									
20	Insurances			50	50	50	50	50	50
21	Telephone			250	250	250	250	250	250
22	Hardware/Software			500	500	500	500	500	500
23	Rent			800	800	800	800	800	800
24	Stationery			100	100	100	100	100	100
25	Accounting			300	300	300	300	300	300
26	Marketing			100	100	100	100	100	100
27	Other costs			250	250	250	250	250	250
28	**Total other costs**			**2,350**	**2,350**	**2,350**	**2,350**	**2,350**	**2,350**
29									
30	**Total costs**			**13,570**	**13,570**	**13,570**	**13,570**	**13,570**	**13,570**
31									
32	**End month position**			1,430	2,860	4,290	5,720	7,150	8,580

9.4 The cell F5 (column F row 5) shows the opening position for month 3. The value in this cell is a formula.

Which of the following would **NOT** be a correct entry for this cell?

A =E7-E30+D32
B =E5+E7-E30
C =E32
D =2860 **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

9.5 The formula in D17 (column D row 17) adds a percentage national insurance charge to the sub total of staff costs.

Which of the formulae shown below would be a suitable formula for cell D17?

A =SUM(D11:D17)*0.1
B =SUM(D11:D16)+10%
C =SUM(D11:D16)*10%
D =SUM(D11:D17)*C17 **(2 marks)**

9.6 The cell D30 (column D row 30) shows the total costs. Which of the following is the correct formula for this cell?

A =D28+D18
B =SUM(D11:D28)
C =SUM(D7:D28)
D D18+D28 **(2 marks)**

9.7 Which of the following data can be entered onto a spreadsheet?

A Text and numbers only
B Formulae, text and numbers
C Numbers and formulae only
D Text and formulae only **(2 marks)**

9.8 This spreadsheet shows the target sales for each employee (column C) and the amount that they actually sold (column D). The bonus value is calculated by subtracting the actual sales from the target sales. If the employee has failed to achieve their target level, then there is no bonus. The target figure for next month (column F) is calculated by multiplying the target figure by a defined growth rate (cell B15).

	A	B	C	D	E	F	G
1							
2	Employment targets and bonuses						
3							
4	Employee No		Target	Actual	Bonus	Next month	
5	345	Rianne	2,100.00	2,000.00	0.00	2,121.00	
6	567	Sian	4,300.00	4,400.00	100.00	4,343.00	
7	543	Claire	2,345.00	2,300.00	0.00	2,368.45	
8	231	Mark	5,680.00	5,600.00	0.00	5,736.80	
9	890	Danny	345.00	500.00	155.00	348.45	
10							
11			14,770.00	14,800.00		14,917.70	
12	Sales staff	5					
13	Income/staff	2,960					
14							
15	Growth rate	1.00%					

In the spreadsheet what is the formula in C11 (column C row 11)?

A =SUM(C5:C9)
B =AVERAGE(C5:C9)
C =SUM(C5:C11)
D =AVERAGE(C5:C11) **(2 marks)**

9.9 Which of the following is **NOT** a formatting option available in Excel?

A Use of colour or shading
B Multisheet (3D) spreadsheets
C Formatting numbers
D Removing gridlines **(2 marks)**

www.AMaterialHub.com

9.10 Which of the following does the formula bar display?

A The formula in the active cell and no other information
B The location of the active cell and the formula in the active cell
C The formula in the active cell and the result of the formula
D The location of the active cell, the formula in the active cell and the result of the formula

(2 marks)

9.11 The following spreadsheet can be used to investigate the inter-relationship between advertising expenditure and sales.

	A	B	C	D	E
1	*Monthly advertising*	*Sales*			
2	*Expenditure*				
3	X	Y	X^2	Y^2	XY
4	1.2	132.5	1.44	17556.25	159
5	0.9	98.5	0.81	9702.25	88.65
6	1.6	154.3	2.56	23808.49	246.88
7	2.1	201.4	4.41	40561.96	422.94
8	1.6	161.0	2.56	25921.00	257.6
9	**7.4**	**747.7**	**11.78**	**117549.95**	**1175.07**

The cell E9 shows the total of the XY values. Which of the following would be a correct entry for this cell?

A =A9*B9
B =SUM(E4:E8)
C =SUM(A9:D9)
D =C9*D9 **(2 marks)**

9.12 The following statements relate to spreadsheet formulae

I The formula =C4*5 multiplies the value in C4 by 5
II The formula =C4*117.5% reduces the value in C4 by 17.5%
III The formula =C4*B10-D1 multiplies the value in C4 by that in B10 and then subtracts the value in D1 from the result

Which statements are correct?

A I and II only
B I and III only
C II and III only
D I, II and III **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

Question 9.13 refers to the spreadsheet shown below

	A	B	C
1	**Monthly production**		
2			
3	Month	Units	
4	Jan	149	
5	Feb	247	
6	Mar	382	
7	Apr	451	
8	May	300	
9	Jun	298	
10	Jul	187	
11	Aug	361	
12	Sep	85	
13	Oct	394	
14	Nov	322	
15	Dec	400	
16			
17	Total	3576	
18			
19	Average	298	

9.13 Which of the following formulae would **NOT** produce the correct answer in cell B19?

A =AVERAGE(B4:B15)
B =AVERAGE(B4:B16)
C =SUM(B4:B15)/12
D =SUM(B4:B16)/13 **(2 marks)**

9.14 Which of the following statements is true regarding the automatic positioning of items within a cell, before any editing?

A Text is right aligned
B Numbers are right aligned
C Text is centred
D Numbers are centred **(2 marks)**

9.15 If a cell contains ####, what does this mean?

A There is not enough room to display the required number in the cell
B There is not enough room to display the required text in the cell
C There is not enough room to display either the required number or text in the cell
D The result of the formula cannot be displayed as the formula is nonsensical **(2 marks)**

9.16 A cell in a spreadsheet is displaying #VALUE!

Which of the following may have caused this?

A A formula is attempting to divide by zero
B The cell is too small to display the required text or number
C A formula refers to a cell containing text
D A formula is referring to a cell that is not valid **(2 marks)**

www.AMaterialHub.com

9.17 A cell in a spreadsheet is displaying #DIV/0!

Which of the following may have caused this?

A A formula is attempting to divide by zero
B The cell is too small to display the required text or number
C A formula refers to a cell containing text
D A formula is referring to a cell that is not valid **(2 marks)**

9.18 Which of the following steps will correct a #NULL! error?

A Checking that the formula does divide by zero
B Making the column wider
C Check that the formula doesn't refer to cells containing text
D Ensure that the cell references in the formula are separated properly **(2 marks)**

9.19 Which of the following are ways in which numbers can be formatted in a spreadsheet?

I Commas
II Percentages
III Currency

A I and II only
B I and III only
C II and III only
D I, II and III **(2 marks)**

9.20 A spreadsheet cell contains the formula =C4*B10-D1.

What does this formula do?

A Multiplies the value in C4 by B10 and then subtract the value in D1.
B Multiplies the value in C4 by the value of D1 subtracted from the value of B10.
C Divides the value in C4 by B10 and then subtract the value in D1.
D Displays the value of D1 subtracted from B10 in cell C4. **(2 marks)**

9.21 The following spreadsheet shows net sales figures for a three month period.

	A	B	C	D	E
1		January	February	March	Total
2	Net sales	375	418	390	1,183
3	Tax				
4	Gross sales				

What formula can you use to calculate the sales tax for January sales (assume the sales tax rate is 17.5% and is applied to sales before tax)?

A =B2*0.175
B =375*0.0175
C =B2*17.5
D =C2*0.175 **(2 marks)**

9.22 If a cell contains a formula that includes an invalid cell reference, what will be displayed in the cell?

A #VALUE!
B #REF!
C ####
D #NULL **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

9.23 Which spreadsheet facility allows the column and row reference to remain the same when the formula is copied to another cell?

A Absolute cell referencing
B Highlighted cell referencing
C Relative cell referencing
D Range cell referencing **(2 marks)**

9.24 When you copy a formula in a spreadsheet, the program automatically changes the reference to any cells affected by this. What is this function known as?

A Absolute cell referencing
B Relative cell referencing
C A macro
D An 'IF' statement **(2 marks)**

9.25 There are a number of printing options than can be used to make a spreadsheet more visually appealing.

Which of the following statements is **INCORRECT**?

A The default printing option in Excel is to print with a landscape orientation on A4 paper
B Altering the print margins will affect how much of a spreadsheet will fit onto a single page
C Under the default printing option in Excel, gridlines from the spreadsheet are not shown on the printout
D Page breaks show where the content of the spreadsheet will be split onto another page
(2 marks)

9.26 Company Y will qualify for a 5% bulk purchase discount when material purchases exceed $1,600 in any month. The following is part of a spreadsheet used to produce the cash budget for Company Y.

	A	B	C	D	E	F
66						
67						
68				Jan	Feb	
69				$	$	
70	Material purchases			1504	1664	
71						
72	Bulk purchase discount			0	83.2	
73						
74						

Which of the following is a correct formula for cell E72?

A =IF(E70<1600,(0·05*E70),0)
B =IF(E70>1600,0,(0·05*E70))
C =IF(E70<1600, 0,(0·05*E70))
D =IF(E70>1600,(0·05*E70),0) **(2 marks)**

www.AMaterialHub.com

9.27 The following spreadsheet is used to calculate the cost of material usage. There are 1,000kg in a tonne.

	A	B	C	D
40				
41				
42		kg per unit	Production (units)	
43	Product X	2	60000	
44	Product Y	5	25000	
45	Product Z	4	20000	
46				
47	Cost per tonne	$260		

To calculate the total cost of material, the accountant uses the formula:

=B43*C43+B44*C44+B45*C45*B47/1000

Which amendment will correct the error in the formula?

A Place an absolute reference ($) in all of the C column
B Place brackets ( ) around B43 to C45
C Remove division by 1000 (/1000)
D Place brackets ( ) around B47/1000 **(2 marks)**

Questions 9.28 and 9.29 refer to the spreadsheet shown below

A company offers its customers a 5% discount on orders of 1000 units or more of material P.

	A	B	C	D
1	**Sales of material P**			
2				
3	Customer	Order	Price	Sales
4		quantity	$	$
5				
6	Smith	500	245.00	1225.00
7	Brown	1200	232.75	2793.00
8	Jones	1000	232.75	2327.50
9	Hamdy	2000	232.75	4655.00
10	Campbell	400	245.00	980.00
11				11980.50
12				
13	Price per hundred units	$245.00		
14	Bulk discount%	5		
15				

9.28 Which of the following formulae is in cell C6?

A =IF(B6>=1000,$B$13,$B$13*0.05)
B =IF(B6<1000,$B$13,$B$13*0.05)
C =IF(B6>=1000,$B$13,$B$13*(100-$B$14)/100)
D =IF(B6<1000,$B$13,$B$13*(100-$B$14)/100) **(2 marks)**

9.29 Which of the following formulae is in cell D8?

A =B8/100*B13
B =B8*245
C =(C8/100)*B8
D =C8*B8 **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

9.30 **This question has been taken from the January–June 2015 examining team report**

Which of the following statements, about relative cell references in spreadsheets, is/are TRUE?

(1) $C$6 is an example of a relative cell reference
(2) A relative cell reference in a formula changes when the formula is copied to another location

A Both 1 and 2
B Neither 1 nor 2
C 1 only
D 2 only **(2 marks)**

9.31 **This question has been taken from the July–December 2017 examining team report**

Data relating to five direct workers in a production cost centre are listed in worker reference order on the spreadsheet below:

	A	B	C
1	Direct worker	Average output	
2	(reference)	(units per hour)	
3	DW06	24.6	
4	DW15	26.2	
5	DW17	22.9	
6	DW21	23.3	
7	DW22	22.4	
8			

Which of the following will result in the data being sorted by average output per hour with the most productive direct worker listed first?

A Select the range A3:B7 and sort by column B descending
B Select the range B3:B7 and sort by column B ascending
C Select the range B3:B7 and sort by column B descending
D Select the range A3:B7 and sort by column B ascending **(2 marks)**

9.32 **This question has been taken from the July–December 2017 examining team report**

Which of the following statements, regarding the printing of spreadsheets on multiple pages, is/are correct?

(1) The page break feature enables the contents of a page to be changed by dragging the automatic page break to a different location

(2) The scaling feature, on the page layout tab, can be used to reduce text size to fit spreadsheet contents onto a specified number of pages

A Both 1 and 2
B 1 only
C 2 only
D Neither 1 nor 2 **(2 marks)**

(Total = 64 marks)

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Do you know? – The spreadsheet system

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise.

- Spreadsheet packages permit the user to work with multiple sheets that refer to each other. This is also known as …….. …….. …….. .
- Spreadsheets can be **l**…… to, and exchange data with, word processing documents – and vice versa.
- Spreadsheets can be used in a variety of accounting contexts. You should practise using spreadsheets, **h**……**– o**… experience is the key to spreadsheet proficiency.
- Management accountants will use spreadsheet software in activities such as budgeting, forecasting, reporting performance and variance analysis. They are often used to perform **w**….. **i**.. analysis so that different scenarios can be investigated.
- There are a number of printing options that can be used to make a spreadsheet more ……. ……. . Spreadsheet output will often be printed. Printed output should be inspected before circulation to ensure it contains what was intended and presents information clearly.
- …….. and …….. and tables are often excellent ways of communicating information.
- Spreadsheet packages permit the user to work with ……. ……. that refer to each other.
- **Possible pitfalls**. **Write down examples of mistakes you should avoid**.

A Material Hub

www.AMaterialHub.com

Did you know? – The spreadsheet system

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- Spreadsheet packages permit the user to work with multiple sheets that refer to each other. This is also known as **three dimensional spreadsheets**.
- Spreadsheets can be **linked** to, and exchange data with, word processing documents – and vice versa.
- Spreadsheets can be used in a variety of accounting contexts. You should practise using spreadsheets, **hands-on** experience is the key to spreadsheet proficiency.
- Management accountants will use spreadsheet software in activities such as budgeting, forecasting, reporting performance and variance analysis. They are often used to perform **what if** analysis so that different scenarios can be investigated.
- There are a number of printing options that can be used to make a spreadsheet more **visually appealing**. Spreadsheet output will often be printed. Printed output should be inspected before circulation to ensure it contains what was intended and presents information clearly.
- **Charts** and **graphs** and tables are often excellent ways of communicating information.
- Spreadsheet packages permit the user to work with **multiple sheets** that refer to each other.
- **Possible pitfalls include the following (you may have thought of others)**:
  - Not knowing the causes of spreadsheet errors
  - Failing to learn and understand the workings of spreadsheets
  - Insufficient knowledge of appropriate formatting techniques
  - Being unable to recommend the best graph to show particular information
  - Confusion over the most appropriate types of charts to use for particular data

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Using spreadsheets to present information 50 mins

10.1 Which of the following tasks is a spreadsheet **NOT** able to perform?

A The presentation of numerical data in the form of graphs and charts
B The application of logical tests to data
C The application of 'What If' scenarios
D Automatic correction of all data entered by the operator into the spreadsheet **(2 marks)**

10.2 Which of the following statements about spreadsheets is **NOT** true?

A Spreadsheets can import information from documents created in other applications
B A spreadsheet cannot contain more than one worksheet
C It is possible to use a spreadsheet to sort data in a variety of ways
D Spreadsheet packages usually include a facility to graph numeric data **(2 marks)**

Questions 10.3–10.5 refer to the following spreadsheet

	A	B	C	D	E	F	G
1							
2	Analysis of markers: Information Systems Development – 20X3						
3							
4		Marker Code	Marker Name	Highest mark	Lowest mark	Range	Average
5							
6		1	Field	76	13	63	41.22
7		7	Warhurst	79	5	74	42
8		9	Singh	60	23	37	41.14
9		12	Lang	75	21	54	44
10		14	Yip	58	13	45	43.5
11		15	El Gerouge	75	15	60	45.4
12		17	Finley	69	30	39	50
13		19	Chen	87	32	55	46.4
14		23	Holmes	67	40	27	45.43
15		25	Chan	87	7	80	45.67
16		27	Cameron	90	30	60	42
17		29	Walsh	89	15	74	39
18		31	Menzies	70	20	50	43.7
19		32	Smith	70	9	61	43
20		35	Yonnie	67	30	37	43.7
21		36	Zammett	78	25	53	41.3
22		37	Caragher	70	30	40	43.6
23		38	O'Doyle	60	3	57	40
24		40	Blair	59	15	44	43.6
25		52	Craig	65	12	53	42.76
26							
27							
28	Number of markers		20				
29	Highest mark		90				
30	Lowest mark		3				

www.AMaterialHub.com

10.3 Column F shows the range between the highest and lowest marks for each marker. The value in cell F6 (column F row 6) is a formula.

What is the likely formula in cell F6?

A =E6–D6
B =D6–E6
C =76–13
D =E6+D6 **(2 marks)**

10.4 A chart showing each marker and the range of their marks is to be produced in Excel. Which of the following chart would be suitable for this purpose?

A Simple bar chart
B Scatter chart
C Component bar chart
D Pie chart **(2 marks)**

10.5 The examining team wish to arrange the markers on the spreadsheet into descending order of average mark.

What should the command used be? On the Data tab then

A FILTER
B FORM
C TABLE
D SORT **(2 marks)**

10.6 A chart wizard can be used to generate graphs.

Which type of chart would be best used to track a trend over time?

A A pie chart
B A line graph
C A multiple bar chart
D A radar chart **(2 marks)**

A Material Hub

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

Questions 10.7–10.9 refer to the spreadsheet shown below

The cost card below shows how the cost of producing each unit of the component 214X is built up. Each individual cost in the total column is found by multiplying the quantity (kg or hours) by the cost per kg or hour. In other words column D cells contain formulae of the type =BX*CX, except for the total in D16 which is a sum of the cells above in column D.

	A	B	C	D
1	**Cost Card : Component 214X**			
2				
3				Total
4	**Material**	kg	$	$
5				
6	mat A	2	2.80	5.60
7	mat S	3	3.60	10.80
8				
9	**Labour**	hours	$	
10				
11	skilled	2.4	9.40	22.56
12	unskilled	5.3	6.35	33.66
13				
14	**Overheads**	2.4	12.40	29.76
15				
16	**Total cost per unit of component 214X**			102.38
17				
18				
19	Rates per hour:		$	
20	-skilled labour		9.40	
21	-unskilled labour		6.35	
22	-overhead		12.40	
23	absorption			

10.7 If the skilled labour rate were to change from $9.40 to $9.50 per hour, the values in which cells would change?

A C20 only
B C20 and C11 only
C C20, C11 and D11 only
D C20, C11, D11 and D16 **(2 marks)**

10.8 Overheads are absorbed into product costs by charging $12.40 for each skilled labour hour worked on the component.

If the skilled labour hours needed for each unit increased to 2.5 hours, the values in which cells would change?

A B11 and B14 only
B B11, C11 and D16
C B11, B14, D11, D14 and D16
D B11, B14, C11, C14, D11, D14 and D16 **(2 marks)**

www.AMaterialHub.com

10.9 The text in cells A22 and A23 currently occupies two lines. Which of the following options would keep the text on one line within cell A22?

I Use a smaller font size
II Increase the row height
III Increase the column width

A I only
B I and II only
C I and III only
D I, II and III **(2 marks)**

10.10 Which of the following would a management accountant **NOT** use a spreadsheet for?

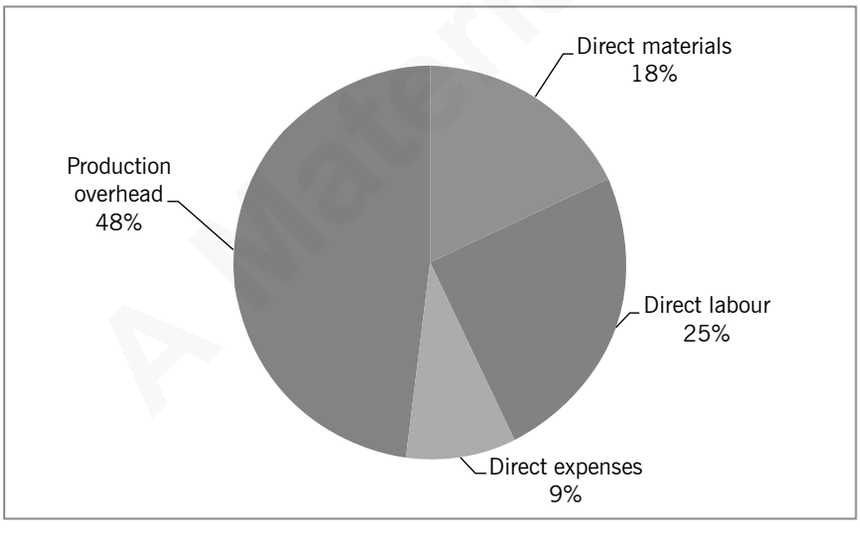
A Reconciliations
B What if analysis
C Cost coding
D Calculating depreciation **(2 marks)**

10.11 Peter works in a confectionery firm. He has cost data that shows total costs for each of the four different chocolate bars produced by the company during the period.

Which type of chart or graph is most suitable for the presentation of Peter's data?

A Line graph
B Scatter graph
C Pie chart
D Tablet **(2 marks)**

10.12 A spreadsheet includes the following pie chart to analyse a company's total manufacturing costs for a period. The company's direct materials cost in the period was $63,000.



What are the direct labour costs?

A $15,750
B $31,500
C $51,660
D $87,500 **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

10.13 Which of the following statements about bar charts is correct?

A Bar charts are used to identify trend lines.

B Bar charts are used to show data to compare the way in which two variables vary with each other.

C Bar charts cannot be produced in Excel.

D Bar charts are useful for demonstrating and comparing amounts or numbers of items.

(2 marks)

10.14 Which of the following are common applications of spreadsheets used by management accountants?

I Variance analysis
II Cash flow budgeting and forecasting
III Preparation of financial accounts

A I and II only
B I and III only
C II and III only
D I, II and III **(2 marks)**

10.15 Which of the following statements is **INCORRECT**?

A Spreadsheets make the calculation and manipulation of data easier and quicker.
B Spreadsheets are very useful for word processing.
C Spreadsheets can be used to produce management accounts.
D Spreadsheets can be used for budgeting and forecasting. **(2 marks)**

10.16 The following data extract from a spreadsheet is shown below.

1	A	B	C	D
2		January	February	March
3	Sales	18,000	17,500	21,000
4	Cost of sales	12,500	14,750	16,700
5	Gross profit	5,500	2,750	4,300
6	Expenses	3,250	1,875	2,805
7	Net profit	2,250	875	1,495

Which formula can be used to get the net profit for February?

A C5-C6
B =C5-C6
C =SUM(C3:C6)
D =SUM(C5:C6) **(2 marks)**

---

www.AMaterialHub.com

10.17 The following spreadsheet is used to investigate the relationship between advertising expenditure and sales.

	A	B	C	D	E
1	Monthly advertising	Sales			
2	expenditure				
3	**X**	**Y**	**XX**	**YY**	**XY**
4	1.1	123	1.21	15,129	135.3
5	0.8	90	0.64	8,100	72
6	0.9	97	0.81	9,409	87.3
7	1.2	131	1.44	17,161	157.2
8	1.3	143	1.69	20,449	185.9
9	**5.3**	**584**	**5.79**	**70,248**	**637.7**

The cell E9 shows the total of the XY values. Which of the following formulae would be a correct entry for this cell?

A =SUM(E9)
B =SUM(E4:E8)
C =SUM(A9:D9)
D =SUM(E5:E8) **(2 marks)**

10.18 For which of the following tasks is a spreadsheet unlikely to be used?

A Cashflow forecasting
B Monthly sales analysis by market
C Writing a memo
D Calculation of depreciation **(2 marks)**

A Material Hub

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

Question 10.19 and 10.20 refer to the spreadsheet shown below.

	A	B	C	D	E	F	G	H	I
1				**Income and Costs forecast for Smith and Peters**					
2									
3				Month 1	Month 2	Month 3	Month 4	Month 5	Month 6
4				$	$	$	$	$	$
5	**Opening position**			0	1,430	2,860	4,290	5,720	7,150
6									
7	**Income**			15,000	15,000	15,000	15,000	15,000	15,000
8									
9	**Costs**								
10	Staff costs								
11	Project manager			2,500	2,500	2,500	2,500	2,500	2,500
12	Senior developer			1,900	1,900	1,900	1,900	1,900	1,900
13	Developer 1			1,600	1,600	1,600	1,600	1,600	1,600
14	Developer 2			1,500	1,500	1,500	1,500	1,500	1,500
15	Developer 3			1,500	1,500	1,500	1,500	1,500	1,500
16	Support staff			1,200	1,200	1,200	1,200	1,200	1,200
17	National insurance @		10%	1,020	1,020	1,020	1,020	1,020	1,020
18	**Total staff costs**			11,220	11,220	11,220	11,220	11,220	11,220
19									
20	Insurances			50	50	50	50	50	50
21	Telephone			250	250	250	250	250	250
22	Hardware/Software			500	500	500	500	500	500
23	Rent			800	800	800	800	800	800
24	Stationery			100	100	100	100	100	100
25	Accounting			300	300	300	300	300	300
26	Marketing			100	100	100	100	100	100
27	Other costs			250	250	250	250	250	250
28	**Total other costs**			**2,350**	**2,350**	**2,350**	**2,350**	**2,350**	**2,350**
29									
30	**Total costs**			**13,570**	**13,570**	**13,570**	**13,570**	**13,570**	**13,570**
31									
32	**End month position**			1,430	2,860	4,290	5,720	7,150	8,580

10.19 The cell F5 (column F row 5) shows the opening position for month 3. The value in this cell is a formula.

Which of the following would **NOT** be a correct entry for this cell?

A =E7-E30+D32
B =E5+E7-E30
C =E32
D =2860 **(2 marks)**

10.20 The formula in D17 (column D row 17) adds a percentage national insurance charge to the sub total of staff costs. Which of the formulae shown below would be the **BEST** formula for cell D17?

A =SUM(D11:D16)*0.1
B =SUM(D11:D16)*$C17
C =SUM(D11:D16)*10%
D =SUM(D11:D16)*C17 **(2 marks)**

www.AMaterialHub.com

10.21 Excel can be used to generate graphs. Which type of chart would be best used to show the relative size of component elements of a total?

A A pie chart
B A line graph
C A simple bar chart
D A component bar chart **(2 marks)**

(Total = 42 marks)

A Material Hub

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

Mixed bank 1 55 mins

11.1 What is the scientific term for facts, figures and measurement?

A Analysis
B Data
C Processing
D Statistics **(2 marks)**

11.2 In a spreadsheet, which of the following is data entered into?

A A column
B A row
C A cell
D A formula **(2 marks)**

11.3 Which of the following can be protected by passwords?

A An individual cell on a spreadsheet
B A worksheet only
C A workbook only
D A cell, a worksheet or a workbook **(2 marks)**

11.4 What is the most appropriate definition of an office?

A A centre for exchanging information between businesses
B A centre for information and administration
C A place where information is stored
D A room where many people using IT work **(2 marks)**

11.5 What is the main purpose of prime entry records?

A To calculate the cash received and spent by a business
B To prevent a large volume of unnecessary detail in the ledgers
C To provide a monthly check on the double-entry bookkeeping
D To separate the taxable and exempt sales tax transactions **(2 marks)**

11.6 Which of the following departments is **NOT** a service cost centre in a manufacturing company?

A Accounting
B Assembly
C Maintenance
D Personnel **(2 marks)**

11.7 A diagram/chart showing how production costs vary with levels of output is to be drawn in Excel. Which of the following would be suitable for this purpose?

A Simple bar chart
B Scatter diagram
C Component bar chart
D Pie chart **(2 marks)**

www.AMaterialHub.com

11.8 A company employs 20 direct production operatives and 10 indirect staff in its manufacturing department. The normal operating hours for all employees is 38 hours per week and all staff are paid a basic rate of $5 per hour. Overtime hours are paid at time and a half. During a particular week all employees worked for 44 hours to meet the company's general production requirements.

What amount would be charged to production overhead?

A $300
B $450
C $2,350
D $2,650 **(2 marks)**

11.9 When different parts of a worksheet need to be viewed at the same time, which of the following Excel tools is most appropriate?

A Ranking
B Filtering
C Splitting screen
D Linking **(2 marks)**

11.10 The purchase price of raw materials is increasing. The company uses the LIFO method of valuing inventory.

Which of the following statements about the value of closing inventory is correct?

A Close to current purchase prices
B Higher than current purchase prices
C Based on the prices of the latest items received
D Based on the prices of the earliest items received **(2 marks)**

11.11 Business X hires a machine which is used in the final packaging process in its warehouse. A basic fixed monthly amount is paid for the machine with an additional charge for each unit packaged. The number of units packaged varies from period to period.

Which of the following is/are true about the cost of the machine hire to Business X?

(1) The total cost per unit packaged will vary from period to period
(2) The total cost per unit packaged will increase as packaging activity rises
(3) The total cost per unit packaged will decrease as packaging activity rises

A 2 only
B 3 only
C 1 and 2
D 1 and 3 **(2 marks)**

11.12 The following purchases and issues from inventory occurred in September.

1 September	Opening inventory	500 units	$5.10
3 September	Receipts	150 units	$5.60
9 September	Issue	325 units	
14 September	Receipts	204 units	$5.25
26 September	Issue	175 units	

What is the value of the closing inventory under the periodic weighted average method?

A $1,805
B $1,848
C $1,911
D $1,982 **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

11.13 A pie chart will be created from the following data in Excel showing number of faults discovered in batches of produced goods.

	A	B	C	D
1		Number of faults	Frequency	
2		0	52	
3		1	84	
4		2	150	
5		3	76	
6		More than 3	32	
7		Total	394	

Which range should be selected to create the pie chart?

A B2:B7
B B2:C7
C B2:C6
D None of the above **(2 marks)**

11.14 Which of the following are features of an efficient and effective coding system?

(1) Codes need to be complex to include all items.
(2) Each code must have a combination of alphabetic and numeric characters.
(3) Codes for a particular type of item should be consistent in length and structure.

A 1 only
B 3 only
C 1 and 2
D 2 and 3 **(2 marks)**

11.15 A company produces goods in batches. One batch produced in May was batch B6, to which the following information relates:

Direct material P: 500 litres were issued from stores at a cost of $4.50 per litre.

Direct material Q: 750 litres were issued from stores at a cost of $5.50 per litre.

70 litres of material Q were returned.

320 labour hours were worked at a cost of $8 per hour.

What is the direct materials cost of batch B6?

A $8,935
B $5,990
C $6,375
D $8,550 **(2 marks)**

11.16 The cost accounts of a business are kept separate from the financial accounts, but the two sets of accounts are reconciled each period.

Which accounting system is being described?

A Cost control accounts
B Cost ledger accounts
C Integrated accounts
D Interlocking accounts **(2 marks)**

---

www.AMaterialHub.com

11.17 A company produced 6,200 units of a product in a period. The product uses 0.8kg of material per unit of output. The inventory of the material fell by 380kg in the period.

How much of the material was purchased in the period?

A 4,580kg
B 4,960kg
C 5,340kg
D 7,370kg **(2 marks)**

11.18 The following documents are used in the process of purchasing and using materials:

(1) Purchase order
(2) Goods received note
(3) Purchase requisition
(4) Materials requisition
(5) Delivery note

Which of the documents would be used to update the stores ledger accounts?

A (2), (3) and (5)
B (1) and (2)
C (2) and (4)
D (3), (4) and (5) **(2 marks)**

11.19 In which of the following would job costing be most appropriate?

A College
B Hospital
C Car repairer
D Chemical manufacturer **(2 marks)**

11.20 An extract from the list of accounts of a car manufacturer are as follows.

	Cost codes
Direct materials	1000 - 1999
Indirect materials	2000 - 2999
Direct labour	3000 - 3999
Indirect labour	4000 - 4999

Which of the following items is coded **INCORRECTLY**?

	Description	Code
A	Wages of canteen staff	4131
B	Wages of stores supervisor	4252
C	Car engines	1536
D	Cleaning material	1786

(2 marks)

11.21 Which of the following is a reason why profit for a period for a manufacturer will differ depending upon whether absorption costing or marginal costing is used?

A Changes in raw material inventory during the period
B Over-absorption of fixed production overhead
C Closing finished goods inventory higher than opening inventory
D Expenditure on variable manufacturing costs in excess of budget **(2 marks)**

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

The following information relates to questions 11.22 and 11.23

	A	B	C	D
1	Product	List price (net)	Sales tax	Gross
2	Line	$	$	$
3				
4	Buster	294.00	51.45	345.45
5	Crusty	362.50	63.44	425.94
6	Dibble	88.20	15.44	103.64
7				

11.22 Which of the following formulae would calculate the sales tax in cell C4?

A =B4*1.175
B =B4+17.5%
C =B4+0.175
D =B4*0.175 **(2 marks)**

11.23 Which of the following formulae would **NOT** calculate the gross figure in cell D5?

A =B5*1.175
B =B5+C5
C =B5*0.175
D =SUM(B5:C5) **(2 marks)**

(Total = 46 marks)

A Material Hub

www.AMaterialHub.com

Mixed bank 2 — 48 mins

12.1 Which type of chart would be most appropriate for comparing numbers of things?

A Pie chart
B Bar chart
C Scatter graph
D Line graph **(2 marks)**

12.2 Which of the following is a disadvantage of office manuals?

A Strict interpretation of instructions creates inflexibility
B The quality of service received from suppliers is reduced
C They create bureaucracy and demotivate staff
D They do not facilitate the induction and training of new staff **(2 marks)**

12.3 The following relate to batch processing or to real-time processing of data:

(1) Audit trails are easily made since the processing of data occurs at pre-determined times.
(2) Customer queries can be responded to immediately.
(3) Processing can be performed during the evening when the computer is not being used interactively.
(4) The data is always up-to-date.

Which of the above are advantages of real-time processing?

A 1 and 2 only
B 1 and 3 only
C 2 and 4 only
D 1, 3 and 4 only **(2 marks)**

12.4 A company operates a retail supermarket chain selling a range of grocery and household products. It has branches throughout the country and is reviewing the range of goods to be stocked in each of these branches.

How might the company best analyse its profitability for this purpose?

A By area of the country
B By contract with each supplier
C By customer payment method
D By product line stocked **(2 marks)**

12.5 Which of the following items is **MOST** likely to be treated as an indirect cost by a furniture manufacturer?

A Fabric to cover the seat of a chair
B Metal used for the legs of a chair
C Staples to fit the fabric to the seat of a chair
D Wood used to make the frame of a chair **(2 marks)**

12.6 With which costs is absorption costing concerned?

A Direct labour costs only
B Direct material costs only
C Fixed costs only
D Variable and fixed costs **(2 marks)**

12.7 Which of the following is **NOT** a formatting option available in Excel?

A Use of colour or shading
B Multisheet (3D) spreadsheets
C Formatting numbers
D Alignment of text or values within cells **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

12.8 The following is an extract from a list of data concerning production overheads in a factory.

Output (units)	35,000	40,000	45,000	50,000
Management cost ($)	75,000	80,000	80,000	85,000
Utilities cost ($)	31,000	34,000	37,000	40,000

What types of cost behaviour are indicated by the data above?

	Management	*Utilities*
A	Fixed	Semi-variable
B	Fixed	Variable
C	Stepped-fixed	Semi-variable
D	Stepped-fixed	Variable

(2 marks)

12.9 Which of the following documents records the issuing of materials to production?

A Goods received note
B Materials returned note
C Materials requisition
D Quotation **(2 marks)**

12.10 A company has sales in a period of $10,000 and cost of sales of $6,000.

What is the gross profit margin?

A 40%
B 60%
C 67%
D 167% **(2 marks)**

12.11 The following purchases and issues from inventory occurred in July.

1 July	Opening inventory	250 units	$3.00
5 July	Purchase	100 units	$3.05
9 July	Issue	50 units	
14 July	Purchase	100 units	$3.08
26 July	Issue	200 units	

What is the value of the closing inventory under the cumulative weighted average method?

A $600
B $606
C $609
D $610 **(2 marks)**

12.12 A job cost estimate includes 630 productive labour hours. In addition, it is anticipated that idle time will be 10% of the total hours paid for the job. The wage rate is $12 per hour.

What is the total estimated labour cost?

A $6,804
B $7,560
C $8,316
D $8,400 **(2 marks)**

www.AMaterialHub.com

12.13 An extract from the list of accounts of a chemical processor is shown below.

	Cost codes
Direct materials	001 - 099
Direct labour	100 - 199
Indirect materials	200 - 299
Indirect labour	300 - 399

Which of the following items is coded **INCORRECTLY**?

	Description	Code
A	Chemical used in process	058
B	Wages of process supervisor	103
C	Chemicals used for cleaning	238
D	Wages of maintenance engineer	368

(2 marks)

12.14 Which of the following describes the term 'cost unit'?

A A basis for cost classification
B A production or service department
C A unit of product or service
D The cost of a unit of output **(2 marks)**

12.15 In a factory, a team of six maintenance staff are paid a guaranteed salary.

Which of the following is the most appropriate cost classification for their labour cost?

A Direct labour cost
B Indirect labour cost
C Semi-variable cost
D Variable overhead cost **(2 marks)**

12.16 Production cost centre X absorbs overheads on a machine hours basis and the following data is available for the most recent period.

	Budget	Actual
Overheads	$24,760	$18,950
Machine hours	450	400

What is the predetermined production overhead absorption rate (to two decimal places)?

A $42.11
B $47.38
C $55.02
D $61.90 **(2 marks)**

12.17 Which of the following best describes a profit centre?

A Part of a business where management makes investment decisions
B Part of a business that provides a service to other parts of the business
C Part of a business where finished products are manufactured
D Part of a business where management is responsible for revenues and costs **(2 marks)**

12.18 A company manufactures a finished product from one raw material. 5kg of the raw material are required per unit of output. Opening inventory at the start of a period was 1,250kg. During the period 3,000 units were produced and closing inventory of the raw material was 1,500kg.

How much material was purchased in the period?

A 3,250kg
B 14,750kg
C 15,000kg
D 15,250kg **(2 marks)**

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

12.19 What is an interlocking bookkeeping system?

A A single, combined system containing both cost accounting and financial accounting records
B A system combining cost accounting and management accounting
C A system supported by prime entry records
D A system where separate accounts are kept for cost accounting and financial accounting

(2 marks)

12.20 Which of the following are uses for a multi-sheet (3D) spreadsheet?

I Construction of a model with separate input and output sheets
II Consolidation of data from different sources
III Constructing different views of the same data

A I only
B I and II only
C II and III only
D I, II and III **(2 marks)**

(Total = 40 marks)

A Material Hub

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

A Material Hub

Answers

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Business organisation and accounting

1.1 C

1.2 C Employees would be expected to have read the parts of the policy manual relevant to their role in the organisation.

1.3 B

1.4 C

1.5 A

1.6 C

1.7 B An **integrated system** is one where the cost accounting and financial accounting functions are combined in one set of ledger accounts. An **interlocking system** is one where separate ledgers are kept for cost accounting and for financial accounting.

1.8 C

1.9 A

1.10 A Information is not up to date under a batch processing system.

1.11 C Statement (i) is correct because **only one set of accounts is kept in an integrated system.** Statement (ii) is incorrect because in a system of integrated accounts the financial and cost accounts are **combined** in one set of accounts. Statement (iii) is correct because **profit differences do not arise with an integrated system.**

1.12 B Goods on credit (either purchased or returned) are recorded in the purchases day book.

1.13 D Authority is shown by an organisation chart.

1.14 C If all decisions are made in the same place then it will be easier for the decision-makers to see the 'bigger picture' and therefore understand the consequences of their decisions.

1.15 B The question describes interlocking accounts, where the cost accounts are distinct from the financial accounts.

With integrated accounts, Option D, a single set of accounting records provides both financial and cost accounts.

1.16 B

1.17 B Option A does not describe how management controls transactions, but merely rephrases the question. Options C and D are examples of particular areas where controls are needed, not descriptions of how transactions in general should be controlled.

www.AMaterialHub.com

Introduction to management information

2.1 C

2.2 C

2.3 B

2.4 D

2.5 C

2.6 D

2.7 C Comparison of actual costs with budgeted costs allows management to control the operations of the business.

2.8 D The other three are all internally generated.

2.9 D Management accounts are not a legal requirement whereas financial accounts are. Management accounts look at past data as well as future data.

2.10 A

2.11 A

2.12 D All information should bring greater benefits than the cost of producing it – otherwise it is not worth producing.

2.13 D Management accounts are usually prepared to be used internally by the company management.

2.14 A Options B, C and D are specific requests for information, which the trainee accountant should be able to extract from the accounting records. Option A, however, requires the use of judgement about a matter that would not normally fall within the trainee accountant's role – it is a decision that is more likely to be taken by senior management.

2.15 C

ACCA examining team comments

The majority of candidates incorrectly selected Option A, that useful management information has to be completely accurate. Although accuracy would be preferred, it is not essential.

Management information needs to be useful for the purpose it was requested for. It should be communicated in the style, format, detail and complexity which address the needs of users of the information. It does not have to be appropriate for any purpose as per Option B.

Management information does not need to be distributed regularly as in Option D, but communicated in time so that receiver of the information has enough time to decide appropriate actions based on the information received.

Only a few chose the correct answer of C that an essential feature of useful management information is that it must be cost effective. Information needs to be analysed for its benefits against the cost of obtaining it.

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Cost units, cost classification and profit reporting

3.1 C This is a cost centre not a cost unit.

3.2 B

3.3 C

3.4 D

3.5 B A fixed cost

3.6 D

3.7 D

3.8 C

3.9 B Telephone costs are most likely to consist of a fixed standing charge and a variable element for the usage.

3.10 B

	$
Direct material cost A 3kg × $6.20	18.60
B 4kg × $5.60	22.40
Direct labour – 2 hours × $7.40	14.80
Packaging costs ($22/10)	2.20
Prime cost	58.00

3.11 C

	$
Prime cost	58.00
Fixed production overheads ($60,000/15,000)	4.00
Production cost	62.00

3.12 B

	$
Production cost	62.00
Selling, distribution etc costs ($24,000/15,000)	1.60
Total cost	63.60

3.13 B

3.14 D Fixed production costs are not included in product costs in marginal costing. They are deducted from contribution instead.

3.15 D As inventory levels rise absorption costing profit will be higher than marginal costing profit.

3.16 B Absorption cost

	$
Direct materials (2kg × $3.80)	7.60
Direct labour (2.5 hours × $7.80)	19.50
Production costs ($6,000/2,000)	3.00
	30.10
Closing inventory (400 units × $30.10)	$12,040

3.17 A Marginal cost

	$
Direct materials (2kg × $3.80)	7.60
Direct labour (2.5 hours × $7.80)	19.50
	27.10
Closing inventory (400 units × $27.10)	$10,840

3.18 C The maintenance assistant is not working directly on the organisation's output but is performing an indirect task. All the other three options describe tasks that involve working directly on the output.

www.AMaterialHub.com

3.19 D The salary is part fixed ($650 per month) and part variable (5 cents per unit). Therefore it is a semi-variable cost and answer D is correct.

If you chose Options A or B you were considering only part of the cost.

Option C, a step cost, involves a cost which remains constant up to a certain level and then increases to a new, higher, constant fixed cost.

3.20 D A cost unit is a unit of product or service to which costs can be related. A cost unit is not always a single item, however. It may be a batch of 1,000 units, if that is how the individual items are made. The finance department and a member of the sales team are examples of cost centres.

3.21 B A person employed in the hotel spa is not considered to be a cost unit. If the employee provided a spa treatment, then that spa treatment would be the relevant cost unit.

3.22 C

ACCA examining team comments

For each of the elements of cost in the question, candidates had two choices. In the case of the cost of supervisors' salaries it had to be decided whether it was a semi-variable cost or a stepped-fixed cost. Majority of the candidates correctly identified that it was a stepped-fixed cost. This was the correct classification (rather than as a semi-variable cost) because, although there were increases in cost with increased activity which is also a feature of semi-variable costs, an increase did not occur at each activity increment. The same cost was incurred at both 150,000 units and 175,000 units. This fact identified supervisors' salaries as a stepped-fixed cost (increases in cost at particular stages of activity expansion) rather than as a semi-variable cost (continuous increase in cost with activity expansion).

In the case of the cost of computer services, candidates had to decide whether it was a variable cost or a semi-variable cost. A few candidates correctly identified that it was a semi-variable cost and therefore selected the correct answer, Option C. Looking at the data for computer services, it can be identified that there is a variable element to the cost because the cost increases by $4,000 for each increase in activity of 25,000 units. This works out at a cost of $0.16 ($4,000 ÷ 25,000 units) per unit of activity. If computer services was a variable cost the total cost, for example, at activity of 125,000 units would be $20,000 (125,000 units × $0.16 per unit). The fact that the total cost at 125,000 units is $42,000 indicates that there is also a $22,000 ($42,000 - $20,000) fixed element to the cost and thus the cost is semi-variable not variable.

3.23 D

ACCA examining team comments

The correct answer is Option D. Candidates need to recognise that contribution is the difference between sales revenue and the total of all of the variable costs, whether incurred in production or not. In a marginal costing system the total contribution reported for a period will be the total sales revenue less the total variable costs of the products sold. If more or less product is produced than sold then this is adjusted in the inventory valuation which will be at the variable production cost per unit. In this question the total contribution for the period is $48,930 {$88,540 – [4,660 units × ($6.2 + $0.9 + $1.4)/unit]}.

Selecting Option B is believing that contribution is calculated as sales revenue less variable production costs only, rather than all variable costs {$88,540 – [4,660 units × ($6.2 + $0.9)/unit]}. Candidates who selected Option A, believed that the contribution for a period is the total sales revenue less the variable costs per unit multiplied by the production units {$88,540 – [4,730 units × ($6.2 + $0.9 + $1.4)/unit]}, rather than the sales units, for a period. Selecting Option C means candidates believed that contribution is calculated as sales revenue less the production cost of sales {$88,540 – [4,660 units × ($6.2 + $0.9 + $4.6)/unit]}. This is the gross profit not the contribution.

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

3.24 D

ACCA examining team comments

A marginal costing system introduces the concept of a contribution towards meeting the costs of fixed overheads. Contribution is selling price less all variable costs (ie both production and non-production variable costs).

In answer to this question, the variable costs per unit are $15.30 (Option D). This is the sum of the direct materials, direct labour, variable production overhead and variable non-production overhead costs (7.45 + 5.20 + 1.75 + 0.90 = 15.30).

The most common error made by candidates is to deduct only the variable production costs from selling price when calculating contribution. This is Option A (7.45 + 5.20 + 1.75 = 14.40). Option C includes direct costs only (7.45 + 5.20 = 12.65) whilst Option B is the total production costs (7.45 + 5.20 + 1.75 + 6.40 = 20.80). This latter figure would be used to calculate gross profit, not contribution. All of the incorrect options have been demonstrated to be popular with candidates which indicates a serious lack of knowledge in this area.

3.25 C

ACCA examining team comments

Prime cost is the sum of the direct costs. Hence the figure of $50.80 per unit is the sum of the direct labour of $31.20 per unit (2.6 hours @ $12.00) and the direct materials of $19.60 per unit. Option D was incorrect because it included the direct labour as well as the prime costs. This error was made by a relatively small proportion of students.

The most popular option for students was Option A. The figure of $105.24 is the sum of the prime costs ($50.80) and the variable costs ($54.44). This was incorrect for two reasons. Firstly, the variable costs are the sum of the prime costs and the variable overheads and so the figure of $50.80 was duplicated. Secondly, the fixed overheads of $39.52 (2.6 hours @ $15.20) were not included in the figure of $105.24.

Option B ($144.76), which was also popular, included the same mistake as Option A regarding the duplication of direct/prime costs but did correctly include the fixed overheads.

Option C ($93.96) was the correct answer. The simplest way of determining the total production cost per unit from the data in the question was to add the variable costs of $54.44 and the fixed overheads of $39.52. The prime cost, direct labour, direct materials and variable overhead figures could all be disregarded because they were already included in the variable costs.

www.AMaterialHub.com

3.26 D

ACCA examining team comments

Contribution is the difference between sales revenue and variable costs (both production and non-production). It is the contribution towards covering fixed costs and providing some profit.

Contribution per unit is $5.30 [sales revenue $11.20 – (variable production costs $5.40 + variable non-production overhead $0.50)]. This then needs to be multiplied by the units sold to calculate the total contribution for the period which is $44,520 (8,400 units sold @ $5.30 per unit contribution). The correct answer is Option D.

A common misconception amongst a significant proportion of students is that contribution is calculated by deducting only the variable production costs from sales revenue ($11.20 – $5.40 = $5.80 per unit). This was Option B (8,400 × $5.80 per unit = $48,720) which was as popular as the correct option.

Option C was also equally as popular as Options B and D. The error here is that the total variable costs per unit are multiplied by the production units, rather than by the sales units, before being deducted from the sales revenue [(8,400 units × $11.20) – (8,530 units × $5.90) = $43,753]. This fails to match the variable cost of sales with the sales revenue which is a fundamental accounting concept.

Option A was also selected by a significant proportion of students. This option calculates the gross profit (sales revenue less production cost of sales) rather than the contribution. The gross profit per unit is $3.10 ($11.20 – $8.10) and the total gross profit is $26,040 (8,400 units @ $3.10 per unit).

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Management responsibility and performance measurement

4.1 D

4.2 C

4.3 D

4.4 A

Cost per unit in May	$\frac{\$51,068}{150,200}$ =	\$0.34
Cost per unit in June	$\frac{\$67,821}{183,300}$ =	\$0.37
Increase		\$0.03

If you got 51c you divided the increase in costs by the increase in units.
If you got 5c you worked out the increase from May to July.
If you got 58c you divided the increase in costs by the increase in units from May to July.

4.5 A Gross profit is \$51,000 – \$42,500 = \$8,500, which is 16.67% of \$51,000.

4.6 B

	%	$
Sales	100	2,400
Cost of sales	66 2/3	1,600
Gross profit	33 1/3	800
Expenses	28 1/3	680
Net profit	5	120

4.7 D Gross profit margin = $\frac{\$150,000 + 50,000 - 120,000}{\$150,000 + 50,000} \times 100$

= 40%

4.8 A Operating profit = \$150,000 + 50,000 – 120,000 – 35,000 – 25,000

= \$20,000

Operating profit margin = $\frac{\$20,000}{\$150,000 + 50,000} \times 100$

= 10%

4.9 B Sales = \$240,000 × 100/30

= \$800,000

Net profit = $\frac{\$240,000 - \$106,000}{\$800,000} \times 100$

= 16.75%

4.10 D

X	2,000 × 1 hour	2,000
Y	800 × 1.5 hours	1,200
Z	1,400 × 1.75	2,450
		5,650

4.11 A

4.12 B Efficiency ratio = $\frac{\text{Standard hours produced}}{\text{Actual hours worked}} \times 100$

= $\frac{10,800}{11,400} \times 100$

= 94.7%

www.AMaterialHub.com

4.13 C Capacity ratio $= \frac{\text{Actual hours worked}}{\text{Budgeted hours}} \times 100$

$= \frac{11,400}{12,000} \times 100$

$= 95.0\%$

4.14 A Activity ratio $= \frac{\text{Standard hours produced}}{\text{Budgeted hours}} \times 100$

$= \frac{10,800}{12,000} \times 100$

$= 90.0\%$

4.15 C

4.16 C Return on investment $= \frac{\text{Profit before tax}}{\text{Capital employed}} \times 100$

$= \frac{40,000}{340,000} \times 100$

$= 11.8\%$

4.17 C Options A, B and D are all profit centres, as the managers would be responsible for both revenues and costs. Only the manager in option C is responsible for costs only.

4.18 C

ACCA examining team comments

The purpose of establishing cost centres within a business is so that those costs that cannot be directly allocated to a cost unit (ie the overheads of the business) can be controlled. A cost centre may be a production or service location, function, activity or items(s) of machinery.

The correct answer is Option C because an administration department, a group of production machines and a materials store could all be cost centres. The output from a manufacturing process, included in Options A and D, would not be a cost centre: it is the quantity of a cost unit. A significant proportion of students selected these options. Option B, which was the most popular option, although including only examples of cost centres, did not include the group of production machines.

4.19 A

ACCA examining team comments

The production volume ratio compares the standard (expected) hours for the actual production in a period with the budgeted hours for that period. A ratio of less than 100% (as in this question) indicates that the standard hours for the actual production are less than the budgeted hours. Therefore, statement (3) is false and it follows that Options B and C are both incorrect.

The efficiency ratio compares the standard (expected) hours for the actual production in a period with the actual hours worked in that period. A ratio of more than 100% (as in this question) indicates that the standard hours for the actual production are more than the actual hours worked. Therefore statement (2) is true and it follows that Option C is incorrect for this reason also.

It follows from the above that if standard hours were less than budgeted hours but more than actual hours then budgeted hours were more than actual hours. Therefore, statement (1) is false and it follows that Option D is also incorrect and Option A is the correct answer.

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

4.20 D

ACCA examining team comments

The correct answer is Option D. As labour hours worked in the period are above budget then the capacity ratio (actual hours ÷ budgeted hours) will be above 100%. If a total of 6,030 hours (5,670 + 360) were worked in a period at 97% efficiency then the standard hours of work were 5,849 (6,030 × 0.97). As this is above the budgeted hours of 5,670 then the production volume ratio (standard hours ÷ budgeted hours) is also above 100%. Alternatively, the capacity ratio can be calculated as 106.3% [(6,030 ÷ 5,670) × 100] and the production volume ratio as 103.1% [(5,849 ÷ 5,670) × 100] or [(0.97 efficiency × 1.063 capacity) × 100].

Whilst Option D was the most popular option chosen by students a significant proportion selected each of the other three options indicating a widespread lack of understanding of this topic.

A Material Hub

www.AMaterialHub.com

Source documents and coding

5.1 C

5.2 B

5.3 C

5.4 A The cash or settlement discount is not deducted until payment is made.

5.5 C

5.6 B

5.7 D

5.8 D The warehouse clerk is the person who can confirm receipt of the goods and therefore will raise the goods received note.

5.9 D The first two digits in the code refer to the cost centre and the last three digits are the type of expense. Thus for (14) maintenance and (460) depreciation of non-production equipment the code is 14460. The correct answer is D.

Option A has an incorrect cost centre code.

Options B and C have the wrong type of expense.

5.10 A For (10) machining department use of (410) indirect materials the code is 10410.

Option B has an incorrect expense type.

Options C and D have the incorrect cost centre code. The code indicates the cost centre **incurring** the cost, ie receiving the materials.

5.11 B When goods are returned a credit note should be supplied to the customer.

5.12 D The sale of chairs means it will be coded to a profit centre not a cost centre.

5.13 B The sale of the wardrobe means it will be coded to a profit centre not a cost centre.

5.14 C This is a sequential coding system.

5.15 C This is a block coding system.

5.16 B This is a hierarchical coding system.

5.17 A

5.18 B

5.19 D Inventory + orders – committed for use = 7,500 + 3,000 – 1,250 = 9,250.

5.20 C Recording employee time is a function of a job card or a time sheet.

5.21 B A jobcard is not used for agreeing a labour rate.

5.22 A

5.23 A

5.24 C The delivery note is provided by the supplier, the goods received note is the important document from the point of view of the purchasing cycle.

5.25 D Timesheets are not used for authorising holidays, but could be used for authorising overtime payments.

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

5.26 C

ACCA examining team comments

Of the three statements listed in the question only statement (1) is correct (Option C). The purpose of a materials requisition is to authorise the transfer of materials from stores for use in production.

Statement (2) is incorrect because a purchase order is a document which is sent to a supplier by the purchasing department. The statement describes a purchase requisition not a purchase order. Statement (3) is also incorrect. A goods received note is an internal document and is thus not sent to a supplier to confirm receipt of materials. Instead, a signed copy of the delivery note performs this function for a supplier. Copies of the goods received note are passed to various parts of the business purchasing the materials (accounts, stores, purchasing).

All four options in this question have been selected by a significant proportion of candidates which indicates widespread weakness in this area. Candidates need to understand the function of the various documents used in the materials control cycle.

A Material Hub

www.AMaterialHub.com

Materials and labour costs

6.1 D

	Units
Sales (500 + 600 + 540)	1,640
Less: opening inventory	(120)
Add: closing inventory	150
Order quantity	1,670

6.2 B

6.3 B

	$
100 units @ $2.40	240.00
20 units @ $2.70	54.00
2 units @ $3	6.00
	300.00

6.4 D

	$
Basic wage 24 × 38 hours × $6.00	5,472
Overtime 24 × 4 hours × $9.00	864
	6,336
Labour cost per unit ($6,336/2,500)	$2.53

6.5 C

	$
25 units × $7.40	185.00
4 × $8.20	32.80
	217.80
Unit labour cost $217.80/29	$7.51

6.6 C

$$\text{Current number of units} = \frac{100 \times 42 \text{ hours}}{4 \text{ hours per unit}} = 1{,}050 \text{ units}$$

$$\text{New number of units} = \frac{100 \times 42 \text{ hours}}{3.5 \text{ hours per unit}} = 1{,}200 \text{ units}$$

Increase (1,200 – 1,050) = 150 units

6.7 C

	$
Gross pay: basic (40 hours × $6.80)	272.00
overtime (5 hours × $6.80 × 1.5)	51.00
	323.00
PAYE	(58.00)
Employee's benefit contributions	(31.00)
Net pay	234.00

6.8 D

	$
Gross pay: basic (40 hours × $6.80)	272.00
overtime (5 hours × $6.80 × 1.5)	51.00
Gross pay	323.00
Employer's benefit contributions	34.00
	357.00

6.9 A

6.10 A

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

6.11 A

	kg
Material required for production (3,800 × 4.5kg)	17,100
Less: opening inventory	(1,100)
Add: closing inventory (200 × 4.5kg)	900
	16,900 kg

6.12 C

	$
Direct production workers basic hours (2,300 + 500 – 100) × $7.20	19,440

6.13 D

		$
Indirect workers:	(760 – 90) × $7.60	5,092
	90 × $7.60 × 1.5	1,026
Direct workers:	overtime premium (250 × (8.00 × 0.5))	1,000
Idle time hours	(80 × $8.00)	640
		7,758

6.14 C

6.15 D

6.16 B

	$
Direct production workers – basic (740 – 50) × $8.40	5,796

6.17 C

		$
Indirect workers:	basic (200 × $6)	1,200
	overtime premium (40 × $6/3)	80
Direct workers:	overtime premium (110 × $8.40/3)	308
Idle time	(50 × $8.40)	420
		2,008

6.18 B The entries for the return of direct material to stores are the **reverse** of those made when the material is first issued to production. The **work in progress account is credited** to 'remove' the cost of the material from the production costs. The **stores account is debited** to increase the value of inventory. Therefore the correct answer is B.

If you selected Option A you identified the correct accounts but your entries were reversed.

Option C represents the entries for the return of indirect materials to stores. Option D represents the entries for the transfer of the cost of completed production to finished goods inventory.

6.19 C The cost of indirect materials issued is **credited to the stores account** and 'collected' in the overhead control account **pending its absorption into work in progress**. Therefore the correct answer is C.

Option A represents the entries for the issue to production of **direct materials**.

If you selected Option B you identified the correct accounts but **your entries were reversed**.

Option D is not correct. The issue of materials should not be charged direct to cost of sales. The cost of materials issued should first be analysed as direct or indirect and charged to work in progress or the overhead control account accordingly.

www.AMaterialHub.com

6.20 A With LIFO, if newer inventories cost more to buy from suppliers than older inventories, the costs of material issued and used will be higher. It follows that the cost of sales will be higher and the profit lower.

Closing inventories with LIFO will be priced at the purchase price of earlier items that were received into inventory. In a period of rising prices, this means that closing inventories will be valued at old, out-of-date and lower prices. Therefore the correct answer is A.

If you chose Option B you were correct about the profits but your reasoning concerning the inventory values was wrong.

6.21 A Under FIFO, the items in inventory will be valued at the most recent purchase prices. Since inventory turnover is high the inventory prices are presumably close to current prices. Therefore the correct answer is A.

Option C applies if inventory is very old or LIFO is used. Option B relates to LIFO, and Option D relates to the average price method.

Workings for both questions 6.22 and 6.23

		FIFO			*LIFO*		
		Units	\$/unit	*Value* \$	Units	\$/unit	*Value* \$
Purchase	1/1	4,000	2.50	10,000	4,000	2.50	10,000
	31/1	1,000	2.00	2,000	1,000	2.00	2,000
		5,000		12,000	5,000		12,000
Sales	15/2	(3,000)	2.50	(7,500)	(1,000)	2.00	(2,000)
					(2,000)	2.50	(5,000)
		2,000		4,500	2,000		5,000
Purchase	28/2	1,500	2.50	3,750	1,500	2.50	3,750
		3,500		8,250	3,500		8,750
Sales	14/3	(500)	2.50	(1,250)	(500)	2.50	(1,250)
		3,000		7,000	3,000		7,500

6.22 C **See workings above**. If you selected the wrong option then check your workings carefully against the above table.

6.23 C **See workings above**. If you selected the wrong option then check your workings carefully against the above table.

6.24 B

Date	*Received*	*Issued*	*Balance*	*Total inventory value* \$	*Unit cost* \$
1 June			100	500	5.00
3 June	300			1,440	4.80
			400	1,940	4.85 *
5 June		220	180	(1,067)	4.85
				873	4.85
12 June	170			884	5.20
			350	1,757	5.02 *
24 June		300		(1,506)	5.02
Closing inventory			50	251	5.02

* A new weighted average price is calculated every time there are receipts into inventory.

From the above records, it can be seen that the cost of material issued on 5 June was \$1,067. Therefore the correct answer is B.

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

6.25 B Periodic weighted average (per unit) = $\frac{\text{Cost of opening inventory + total cost of receipts}}{\text{Units of opening inventory + total units received}}$

Periodic weighted average $= \frac{(300 \times \$5) + 1{,}200 + 1{,}040 + 392}{300 + 250 + 200 + 80}$

$= \frac{4{,}132}{830} = \$4.98$ per unit

Total inventory cost = \$4.98 × (300 + 250 – 400 + 200 + 80) = \$2,141

6.26 B Present cost per unit = \$2,550/500 units = \$5.10 per unit

Proposed system

	Number of employees	*Number of units*	*Rate per unit*	*Total cost*
			\$	\$
First 40 units	12	40	4.10	1,968
More than 40 units	12	5	4.70	282
Total labour cost				2,250

Number of units = 12 × 45 = 540
Labour cost per unit = 2,250/540 = \$4.17
Change in unit labour cost = \$5.10 – \$4.17 = \$0.93 decrease.

6.27 C Current system

	Number of employees	*Number of hours*	*Rate per hour*	*Total cost*
			\$	\$
Basic pay	50	35	5.50	9,625
Overtime	50	4	7.50	1,500
Total labour cost				11,125

Number of units (50 × 39 hours/3) = 650 units

Cost per unit = \$17.12

Proposed system

	Number of employees	*Number of hours*	*Rate per hour*	*Total cost*
			\$	\$
Total labour cost	50	35	5.50	9,625

Number of units (50 × 35 hours/2.5) = 700 units
Cost per unit = \$13.75
Difference = \$17.12 – \$13.75 = \$3.37 decrease

6.28 B **Piecework system**

	Number of employees	*Number of units*	*Rate per unit*	*Total cost*
			\$	\$
First 50 units	25	50	3.50	4,375
More than 50 units	25	10	4.00	1,000
Total labour cost				5,375

Number of units = 25 × 60 = 1,500

Labour cost per unit = 5,375/1,500 = \$3.58

www.AMaterialHub.com

New system

	Number of employees	*Number of hours per employee*	*Rate per hour*	*Total cost*
			$	*$*
Basic wage	25	36	5.00	4,500
Overtime	25	2	7.40	370
Total labour cost				4,870

Labour cost per unit = 4,870/1,500 = $3.25

Change in labour cost = $3.58 – $3.25 = $0.33 decrease

6.29 A Depreciation is an indirect cost because it does not relate directly to the number of units produced.

Items (ii) and (iii) can be traced directly to specific cost units therefore they are direct expenses.

6.30 D

ACCA examining team comments

Confusion as to what a periodic weighted average means was clearly demonstrated by the candidate responses, with only a few selecting the correct answer, Option D. The periodic weighted average method of materials pricing calculates a single issue price for each material each accounting period by combining the opening balance of the material and all receipts during the period. Each price is weighted according to the quantity at that price. In this case the calculation is [(276kg × $6.2/kg) + (630kg × $5.8/kg)] ÷ (276 + 630kg) = $5.922 per kg. The value of the total issues for the period is $2,345 [(181 + 215kg) × $5.922/kg].

Many candidates used the wrong basis for calculating the average price (Options B and C). Option B used the issue value that would result from calculating and using the cumulative weighted average, rather than the periodic weighted average, pricing method. The cumulative weighted average method requires the calculation of a revised weighted average price after each purchase rather than a single weighted average price each period.

Applying the cumulative method to the data in this question, the price of $6.20 per kg would have been applied to the issue on Day 5 and then a new weighted average price would be calculated after the purchase on Day 8 (combining the remainder of the opening inventory and the new purchase) and applied to the issue on Day 15.

Option C was based, incorrectly, on a simple average, rather than a weighted average, of the prices per kg ie

[($6.2 + $5.8) ÷ 2] × (181 + 215kg) = $2,376.

A minority of candidates selected Option A which was simply based on using the latest price, $5.80 per kg, for all of the issues during the period.

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

6.31 A

ACCA examining team comments

Usage of Material M in the period is the product of the production quantity of Product P and the amount of Material M required per unit of production. To calculate the production quantity the sales budget for Product P needs to be adjusted for the budgeted change in inventory of the product. The closing inventory of Product P (ie needing to be produced) is added to the sales requirement and the opening inventory (already in inventory at the start of the period) is deducted. Thus the budgeted production quantity of Product P is 6,800 units (6,400 + 3,000 – 2,600) which multiplied by the required amount of Material M of 0.26kg per unit of Product P is a total usage of 1,768kg (Option A).

The three incorrect options in this question have all been demonstrated to be popular with candidates. Option B makes the mistake of subtracting the increase in the inventory of Product P from (rather than adding it to) budgeted sales [ie (6,400 – 3,000 + 2,600 units) × 0.26 kg/unit = 1,560kg]. Option D calculates the purchase quantity of Material M, instead of the usage, by in addition incorporating the budgeted change in the Material M inventory into the calculation (usage 1,768kg + closing inventory 480kg – opening inventory 540kg = 1,708kg). Option C attempts to calculate purchases but adjusts incorrectly for the budgeted change in the Material M inventory (1,768 – 480 + 540 = 1,828kg).

6.32 D

ACCA examining team comments

Indirect labour is expenditure on labour which is not charged directly to cost units. Instead it is charged initially to cost centres and then absorbed into cost units, along with other indirect costs, as overhead. As direct workers in a factory are employed directly on the manufacture of products (cost units) it is generally possible to identify their wages as direct costs to individual products. There are, however, exceptions as it is not always fair or feasible to do this.

Each of the items in this question are examples of payments to direct workers which would be charged as overhead. For example, it would be unfair to penalise those cost units that are scheduled for production in overtime hours if the overtime is required to meet a general increase in sales demand. Equally it would be unfair to charge the cost of idle time to those cost units that are being produced on a machine when it breaks down. Also, time spent training on the operation of new equipment would not be able to be related directly to output of saleable product.

6.33 A

ACCA examining team comments

The amount of material M5 that will be used in the period depends upon how much of product P3 is to be produced and how much of the material is required per unit. Both of these figures are given in the question and, therefore, the planned changes in the product P3 and material M5 inventories are irrelevant. The answer is 6,000 units × 0.4 litres per unit = 2,400 litres.

Options B, C and D were all selected by a significant proportion of students. Both B & C adjusted the figure in Option A by the 150 litres planned change in the material M5 inventory. Option B calculated the purchases required of material M5 in the period (2,400 + 150 = 2,550 litres) rather than the usage. Option C (2,400 – 150 = 2,250 litres) would have calculated the purchases if the material M5 inventory change had been a decrease rather than an increase.

Finally, Option D adjusted the planned production for the change in the product P3 inventory [(6,000 – 200 units) × 0.4 litres per unit = 2,320 litres]. This would have been a correct adjustment if the 6,000 units figure given in the question had been the planned sales units rather than the planned production.

www.AMaterialHub.com

Overhead costs

7.1 A Over-absorbed overhead means that the overhead charged to production was too high therefore there must be a **credit to income statement**. The debit entry is made in the **overhead control account.** Therefore the correct answer is A.

If you selected Option B you identified the correct accounts but your **entries were reversed**. These entries represent those that would be made for **under-absorbed** overhead.

Options C and D are incorrect because the only overhead charge made to work in progress (WIP) is the overhead **absorbed into production based on the predetermined rate**. Under or over absorption does not affect WIP.

7.2 A

	$
Overhead absorbed	81,000
Overhead incurred	85,000
Under-absorbed overhead	4,000

This means that the overhead charged to production was too low therefore there must be a **debit to income statement**. The credit entry is made in the **overhead control account**.

Option B demonstrates the entries for **over-absorbed overhead**.

Options C and D are incorrect because under or over absorption of overhead does not affect work in progress (WIP). The only overhead charge made to WIP is the **overhead absorbed based on the predetermined rate.**

7.3 C Total reapportionment to Cost Centre Y

	$
60% × $42,000	25,200
45% × $57,600	25,920
	51,120

7.4 A

7.5 B

7.6 B Rent and rates = $40,000/5,000 sq m × 1,000 sq m
= $8,000

7.7 C

7.8 D

	$
Assembly costs	52,400
Reapportion stores (15,200 × 140/(140 + 60))	10,640
Reapportion maintenance (18,590 × 400/(400 + 250))	11,440
	74,480

7.9 B $\text{OAR} = \frac{\$245,600}{80,000}$
= $3.07 per machine hour

7.10 A $\text{OAR} = \frac{\$185,400}{88,000}$
= $2.11 per labour hour

7.11 D

		$
Assembly	3 × $2.66	7.98
Packaging	2 × $1.75	3.50
		11.48

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

7.12 D

		$
Direct materials		4.20
Direct labour		4.65
Assembly	($4.80 × ½)	2.40
Packaging	($3.60 × ¼)	0.90
		12.15

7.13 D Some expenses may be direct expenses of a product or job. Overheads are indirect expenses.

7.14 D

Gant		$
Manufacturing	6 × $1.47	8.82
Finishing	2 × $3.04	6.08
		14.90

7.15 D Assembly OAR = $104,300/50,000 = $2.09 per machine hour
Packaging OAR = $64,500/30,000 = $2.15 per labour hour

7.16 D

ACCA examining team comments

An overhead absorption rate is a means of attributing overheads (indirect costs) to different products (cost units) using a measure of activity, for example the actual direct labour hours or the actual machine hours worked on each product. Generally, absorption rates will be calculated in advance of an accounting period (predetermined) and then applied throughout the period. As a consequence, overhead absorbed during a period into the cost of products manufactured may differ from overhead actually incurred. This is over or under absorption: an adjustment is required in the determination of profit or loss.

Overheads in the production cost centre were under absorbed by $3,955 in the period (Option D) because the actual overhead expenditure of $54,670 exceeded the amount absorbed (2,070 actual machine hours × $24.50 per machine hour = $50,715) by that amount. A small majority of candidates believed incorrectly that over/under absorption resulted from the comparison of actual overhead expenditure with the budgeted overhead expenditure (Options A and B). Relatively few candidates believed that over/under absorption resulted from the comparison of overhead absorbed with the budgeted overhead expenditure (Option C).

www.AMaterialHub.com

Job, batch and process costing

8.1 D Statement A is correct. Job costs are identified with a particular job, whereas process costs (of units produced and work in progress) are **averages**, based on equivalent units of production.

Statement B is correct. The direct cost of a job to date, excluding any direct expenses, can be ascertained from the documents mentioned.

Statement C is correct, because without data about units completed and units still in process, losses and equivalent units of production cannot be calculated.

8.2 A Job costing is a costing method applied where work is **undertaken to customers' special requirements.** Option B describes process costing, C describes marginal costing and D describes absorption costing.

8.3 A Statement (i) is correct. The materials requisition note **specifies the job number to be charged** with the cost of the materials issued.

Statement (ii) is incorrect. A job cost will contain actual costs for material and labour, and non-production overheads are often added as a percentage of total production cost. However, **production overheads are usually charged to jobs using a pre-determined overhead absorption rate** because it is not possible to identify the actual overhead cost of each job.

Therefore the correct answer is A.

8.4 D

	Dept A $	*Dept B* $	*Total* $
Direct materials	5,000	3,000	8,000
Direct labour ($4/$5 per hour)	1,600	1,000	2,600
Production overhead ($4 per hour)	1,600	800	2,400
Absorption production cost			13,000
Other overheads			2,600
Cost of the job			15,600

If you selected Option A you forgot to add administration overhead.

If you selected Option B you forgot to add the production overhead.

If you selected Option C you used a labour rate of $4 per hour for department B.

8.5 C Overhead $= \frac{984}{(984+140+580)} \times \$126{,}000$

$= \frac{984}{1{,}704} \times \$126{,}000$

$= \$72{,}761$

Option A is the overhead that should be added to Job AA10.

Option B is the overhead that should be added to Job BB15.

Option D is the total overhead for the period, but some of this cost should be charged to the other two jobs.

8.6 C

	Job BB15 $
Opening WIP	42,790
Labour for period	3,500
Overheads ($\frac{140}{1{,}704} \times 126{,}000$)	10,352
Total costs	56,642

If you selected Option A you forgot to add on opening WIP.

If you selected Option B you forgot to add on overheads.

If you selected Option D you added the overhead for CC20 instead.

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

8.7 C

Job number	*WIP*
AA10	$
Opening WIP	26,800
Material added	17,275
Labour for the period	14,500
Overhead ($\frac{580}{1,704}$ × 126,000)	42,887
	101,462

Option A is the direct cost of job AA10, with no addition for overhead.

Option B is the opening WIP plus the overhead for job AA10 only.

Option D omits the labour cost.

8.8 C

Total labour cost = $12,500 + $23,000 + $4,500 = $40,000

Overhead absorption rate = $\frac{\$140,000}{\$40,000} \times 100\%$ = 350% of direct labour cost

Closing work in progress valuation

	Job 1		*Job 2*	*Total*
	$		$	$
Costs given in question	38,150		52,025	90,175
Overhead absorbed ($12,500 × 350%)	43,750	($23,000 × 350%)	80,500	124,250
				214,425

Option A is the costs given in the question, with no overhead absorbed. If you selected Option B you calculated the correct amount for overhead absorbed, but forgot to add the costs given in the question. If you selected Option D you added all of the overhead to the jobs in progress, but some of the overhead must be absorbed by the completed job 3.

8.9 C

	$
Opening WIP	46,000
Labour for period	4,500
Overhead absorbed ($4,500 × 350%)	15,750
Total production cost	66,250
Unit cost per circuit board = $66,250 ÷ 2,400	$27.60

Option B is the cost per unit without the inclusion of any overhead absorbed. If you selected Option A you excluded the opening WIP cost.

8.10 C

Since wages are paid on a piecework basis they are a variable cost which will increase in line with the number of binders. The machine set-up cost and design costs are fixed costs for each batch which will not be affected by the number of binders in the batch.

For a batch of 300 binders:

	$
Direct materials (30 × 3)	90.00
Direct wages (10 × 3)	30.00
Machine set up	3.00
Design and artwork	15.00
Production and selling overhead (30 × 20%)	6.00
Total cost	144.00

If you selected Option A you treated all of the costs as fixed costs.
If you selected Option B you absorbed on 20% of materials costs.
If you selected Option D you treated all of the costs as variable costs.

www.AMaterialHub.com

8.11 B

		$
Salary costs:	senior consultant (86 × $20)	1,720
	junior time (220 × $15)	3,300
Overhead absorbed (306 hours × $12.50)		3,825
Total cost		8,845

If you selected Option A you did not include any absorbed overhead in your total cost. Option C is the result if you confused senior consultant and junior time hours, and if you selected Option D you used 682 senior consultant hours rather than 86.

8.12 B An equivalent unit calculation is used in process costing to value any **incomplete units** within **work in progress and losses**.

Option A describes the output from any process, where all completed units are **identical**.

Option C describes a cost unit, and D describes a **standard hour**.

8.13 C

Cost per unit in closing inventory	= $(4.50 + 1.25 + 2.50)	= $8.25
Number of units in closing inventory	= 13,500 – 11,750	= 1,750 units
∴ Value of closing inventory	= 1,750 units × $8.25	= $14,437.50

Option A applies a unit rate of $3.75, ie omitting the cost of the raw material transferred into the process. Option B applies a unit rate of $7, omitting the additional material added. Option D applies a unit rate of $14.50, ie all of the unit rates supplied in the question. The work in progress should be valued at the **rate per incomplete unit** in respect of labour and overheads.

8.14 C Work in progress = 300 litres input – 250 litres to finished goods
= 50 litres

Equivalent litres for each cost element are as follows.

	Material		*Conversion costs*	
	%	*Equiv. litres*	*%*	*Equiv. litres*
50 litres in progress	100	50	50	25

Option A is incorrect because it assumes that the units in progress are only 50 per cent complete with respect to materials. **Option B** has transposed the information concerning the two cost elements. If you selected **Option D** you calculated the correct number of litres in progress but you did not take account of their degree of completion.

8.15 C **Calculate the cost per equivalent unit**

Input	*Cost* $	*Equivalent production in units*	*Cost per unit* $
Materials	9,000	500	18
Labour	11,520	480	24
			42

Calculate total cost of output

Cost of completed units = $42 × 400 units = $16,800

If you selected **Option B** you did not allow for the fact that the work in progress was incomplete. **Option D** is the total process cost for the period, some of which must be allocated to the work in progress. **Option A** results from treating both labour and materials as having equivalent units of 480 units.

8.16 C 340 litres represents 90% of the input. 340/0.9 = 378 litres to the nearest litre.

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

8.17 C

	Total Kgs	*Materials Kgs*	*Conversion costs Kgs*
Output	150	150 (100%)	150 (100%)
WIP	400	300 (75%)	200 (50%)
	550	450	350

8.18 B

Raw materials per unit	= \$12,800/(3,600 + 400)	= \$3.20
Conversion costs per unit	= \$18,430/(3,600 + (70% × 400))	= \$4.75
Total production cost per unit	= \$3.20 + \$4.75	= \$7.95

8.19 B If the percentage completion of WIP is understated, when corrected, it will have to be increased, increasing the total value of WIP. Costs will be shared between more units so cost per unit will decrease.

8.20 D

	Total kgs
Output	950
Loss (5%)	50
Input	1,000

The total cost of the inputs is \$30,000 + \$6,000 = \$36,000

Cost per kg = 36,000/950 = \$37.89

8.21 B

	Total Units
Output	425
Loss (15%)	75
Input	500

The total cost of the inputs is \$27,800

Cost per unit = \$27,800/425 units = \$65.41

8.22 C Option A is a definition of job costing. Option D is a definition of process costing. Option B does not define any particular costing method – it is a mixture of process and batch costing. Option C is the definition of batch costing.

A Material Hub

www.AMaterialHub.com

8.23 B Overhead absorption rate for production departments:

$$\text{Welding} = \frac{\$6{,}000}{1{,}200} = \$5 \text{ per labour hour}$$

$$\text{Assembly} = \frac{\$8{,}000}{1{,}000} = \$8 \text{ per labour hour}$$

Total cost – Batch no 8008

		$	$
Direct material			10,000
Direct labour	100 × $7 =	700	
	250 × $10 =	2,500	
			3,200
Direct expense			600
Prime cost			13,800
Overheads	100 × 5 =	500	
	250 × 8 =	2,000	
			2,500
Production cost			16,300
Selling and administrative cost (20% of production cost)			3,260
Total cost			19,560

$$\text{Cost per unit} = \frac{\$19{,}560}{250} = \$78.24$$

8.24 C Option C would be suited to batch costing. The other three options are all suitable for process costing.

8.25 C

ACCA examining team comments

Very few candidates selected the correct Option C, at $17.67 calculated as follows:

Process Account

	kg	*cost per kg*	$		kg	$	*cost per kg*
Material	2,700	9	24,300	Output	2,430	42,940	17.67
Conversion			18,640	Normal loss	270	0	
	2,700		42,940		2,700	42,940	

The majority of candidates split the cost between the output and normal loss in error as shown below:

Process Account

	kg	*cost per kg*	$		kg	$	*cost per kg*
Material	2,700	9	24,300	Output	2,430	38,646	15.90
Conversion			18,640	Normal loss	270	4,294	
	2,700		42,940		2,700	42,940	

Based on the performance of candidates in these questions, it can be observed that there were two major reasons for incorrect choices being made. The first is that there was a lack of awareness/understanding of fundamental issues in the syllabus such as the use of spreadsheets. The second is that the questions were not read carefully enough, which led to confused thinking.

Candidates preparing for future sittings are strongly encouraged to ensure that they have developed a clear understanding of the key points of each area of the syllabus and that they read carefully and think logically when attempting questions.

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

The basics of using spreadsheets

9.1 C There is no point in devising a spreadsheet if you are not prepared to let it work for you, so answers A and B are not appropriate.

9.2 C Answer B adds across the monthly net profit figures. Answer A subtracts the costs listed from fee income in the year-to-date column. Answer D is effectively the same calculation as answer A. Answer C is wrong: Excel requires an '=' sign to show that it is a formula.

9.3 A Answer B is incorrect because the formula overlooks the fact that operations in brackets are performed first. Answer C would give the correct number, but does not make best use of the spreadsheet because the cell would not be formatted to include a % sign. Answer D contains an incorrect formula. Answer A contains the correct formula and the correct cell format.

9.4 D Putting a value in the cell, such as 2860, would mean that the cell was not updated to reflect later changes to the spreadsheet.

9.5 C Options A and D would create a circular reference. Option B would not calculate 10% of the subtotal of staff costs. Option C would calculate 10% of the subtotal.

9.6 A The correct formula is =D28+D18. Although D18+D28 looks the same, because it has no = sign it is not treated as a formula. Both of the other options count sub totals as well as the cost items.

9.7 B Formulae, text and numbers can be entered onto a spreadsheet.

9.8 A Cell C11 contains a total so AVERAGE is not a suitable function. Option D will create a circular reference.

9.9 B Multisheet spreadsheets are not a formatting option.

9.10 B The formula bar displays the location of the active cell and the formula in the active cell.

9.11 B =SUM(E4:E8)

This formula will add up the values of XY in the column above to give a total.

9.12 B I and III only

=C4*117.5% adds 17.5% to the value in C4

9.13 D Both of the AVERAGE formulae (Options A and B) will give the same answer because the AVERAGE function ignores blank cells. Option C is also a correct calculation of the average of a 12 month period. Option D will return a #VALUE! error.

9.14 B

9.15 A B and C are incorrect as if there is too much text for the size of the cell, it will spill into adjacent cells if they are empty, or will be hidden by the contents of the adjacent cell. If a nonsensical formula is entered into a cell, a different response will be given. For example, if your formula results in a value being divided by 0, #DIV/0! will appear.

9.16 C

9.17 A

9.18 D

9.19 D All three are ways in which numbers can be formatted in spreadsheets.

9.20 A The multiplication will occur first before the subtraction of the value in D1.

9.21 A =B2*0.175. This formula multiplies the value in cell B2 by 0.175 (17.5%).

9.22 B #REF! will be displayed if a cell contains a formula that includes an invalid cell reference.

9.23 A Absolute cell referencing.

9.24 B Relative cell referencing.

9.25 A The default printing option in Excel is to print with a portrait orientation on A4 paper.

www.AMaterialHub.com

9.26 D =IF(E70>1600,(0.05*E70),0)

9.27 B Placing brackets around B43 to C45 will correct the error – without the brackets, the total cost of the material used will be calculated incorrectly.

9.28 D A and B are incorrect as they calculate the price at 5%, rather than deducting the discount from the price. C is incorrect as the discount is applied to orders below 1000 units by using the > sign incorrectly.

9.29 C A and B are incorrect as they ignore the discount that this order qualifies for. D is incorrect as it applies the price as though it were a price per unit when, in fact, the price given is per hundred units.

9.30 D

ACCA examining team comments

Relative cell references are cell references that are simple column and row references (for example C6). A relative cell reference changes when a spreadsheet formula is copied from one cell to another. For example, if the formula =SUM(C6:C8) in cell C9 of a spreadsheet is copied to cell D9 of the same spreadsheet then the formula in cell D9 becomes =SUM(D6:D8). Statement (2) is therefore true.

If automatic amendment to a copied spreadsheet formula is not required then absolute referencing must be used in the formula. $C$6 [see statement (1)] is an example of an absolute cell reference: a dollar sign $ is inserted before each column reference and before each row reference to make a whole formula absolute ie such a formula does not change when it is copied to another cell. For example, =SUM($C$6:$C$9) would remain unchanged wherever it is copied. Statement (1) is therefore not true. Absolute referencing can also be applied partially to make either only the column reference or only the row reference absolute.

The correct answer is Option D. Only a small majority of candidates correctly identified that statement (1) is not true (Options B and D). Also, only a small majority of candidates correctly identified that statement (2) is true (Options A & D). Option C, chosen by more candidates than either Option A or Option B, was completely incorrect.

9.31 A

ACCA examining team comments

The correct answer is A, to select the whole range of data excluding the description headings in rows 1 and 2. The data is connected as each average output level relates to an individual direct worker code so for example, DW06 produced an average output of 24.6 units per hour.

Then once the correct range of A3:B7 is selected, the data needs to be sorted by column B as descending (largest to smallest). Thus listing the most productive worker at the top as DW15 producing an average output of 26.2 units per hour.

	A	B
1	Direct worker	Average output
2	(reference)	(units per hour)
3	DW15	26.2
4	DW06	24.6
5	DW21	23.3
6	DW17	22.9
7	DW22	22.4

Most candidates selected D which would have selected the correct data but sorted from smallest to largest Others chose C which selects the average output column but by sorting this column it organised it descending but incorrectly. Starting with 24.6 incorrectly but this isn't the highest.

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

9.32 A

ACCA examining team comments

The majority of candidates selected C by mistake only choosing statement 2 as being correct. The correct answer was in fact A in this question, that both statements were correct.

The three multiple-choice questions illustrated in this report reveal a number of misunderstandings, confusion or a lack of knowledge amongst candidates regarding the particular topics being examined. In many cases this may be symptomatic of a more widespread problem which can only be overcome by a rigorous study program and by practicing objective test questions.

Candidates preparing for future examinations should try to ensure that they develop a clear understanding of the different areas of the syllabus, read questions carefully and think logically when answering them.

A Material Hub

www.AMaterialHub.com

Using spreadsheets to present information

10.1 D No computer system knows exactly what you intended so can not make 100% accurate connections.

10.2 B Spreadsheets can contain more than one worksheet, these are known as multi-sheet or 3D spreadsheets.

10.3 B

10.4 A A simple bar chart will show this information, a component bar chart will not work as there are no components of a total to be displayed, a pie chart is inappropriate as it is not intended to show a proportion of a total. Comparing different ranges is not easily shown on a scatter graph.

10.5 D A sort, based on column G, should be performed.

10.6 B A line graph is the best way of illustrating a trend over time.

10.7 D Whilst only one figure needs to be re-entered: the new labour rate in C20, the figures in the other cells will all change to reflect the new rate.

10.8 C B11 and B14 would have to be amended to the new value of 2.5. The values in D11 and D14 would then change as a result, as would the total, D16. The rate per hour referred to in cells C11 and C14 are unaffected.

10.9 C A smaller font size and a wider cell would allow more text to be included in the cell. Increasing the row height will have no effect on the amount of text that can be included on one line.

10.10 C A spreadsheet would not be used for cost coding.

10.11 C Peter's data would be best depicted in a pie chart as this will clearly show the production costs for each of the products in the previous year.

10.12 D If materials costs are 18% of the total, then the total costs must be 100/18 × 63,000 = 350,000. Direct labour costs must therefore be 25% × 350,000 = $87,500.

10.13 D Bar charts are useful for demonstrating and comparing amounts or numbers of items.

10.14 A Spreadsheets are commonly used by management accountants to produce management accounts, not financial accounts.

10.15 B Spreadsheets are not used for word processing.

10.16 B The net profit is the gross profit less expenses so the formula =C5-C6 can be used to get this figure. Remember, the formula must always start with an equals sign.

10.17 B The SUM function in Excel is used to calculate totals. Formula =SUM(E4:E8) will give the total XY value.

10.18 C A spreadsheet is unlikely to be used for writing a memo.

10.19 D Putting a value in the cell, such as 2860, would mean that the cell was not updated to reflect later changes to the spreadsheet.

10.20 B In Excel, placing the $ sign in front of a cell reference makes that reference absolute. When you move or copy a formula absolute cell references do not change.

10.21 A Pie chart.

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Mixed bank I

11.1 B

11.2 C Data is entered into a cell.

11.3 D Passwords can be set to protect a cell, a worksheet or a workbook.

11.4 B This is the best definition of an office.

11.5 B Prime entry records exist to reduce the amount of detail recorded in the ledgers.

11.6 B The assembly department would be directly involved in production and therefore is not a service cost centre.

11.7 B A scatter diagram will show the way in which the two variables vary with each other. The x axis of the diagram would represent the independent variable (level of output) and the y axis would represent the dependent variable (production cost).

11.8 D

		$
Indirect workers –	38 hours × $5 × 10	1,900
	6 hours × $7.50 × 10	450
Direct workers –	overtime premium 6 hours × $2.50 × 20	300
		2,650

11.9 C Splitting screen allows different parts of a worksheet to be viewed at the same time. Worksheets can be split horizontally or vertically.

11.10 D LIFO will price closing inventory using the values of the earliest items received.

11.11 D The cost per unit will vary from period to period, and will decrease as activity rises. This is because part of the period cost is fixed and will therefore decrease per unit as the level of activity increases.

11.12 B

	$
Cost of opening inventory (500 × $5.10)	2,550
Cost of purchases (150 × $5.60) + (204 × $5.25)	1,911
Total cost	4,461

Total units (opening inventory + purchases)	= 500 + 150 + 204	= 854
Periodic weighted average	= $4,461/854	= $5.22
Closing inventory (units)	= 500 + 150 – 325 + 204 – 175	= 354
Closing inventory (value)	= $5.22 × 354	= $1,848

11.13 C B2:C6 is the correct range as the total should be excluded.

11.14 B Codes do not need to be complex or a mix of numbers and letters, but they should be consistent.

11.15 B

	$
Direct material P (500 litres × $4.50)	2,250
Direct material Q (750 – 70 litres × $5.50)	3,740
Total cost	5,990

11.16 D Periodic reconciliations are a feature of interlocking accounts.

11.17 A Material used in production = 6,200 × 0.8kg = 4,960kg

But inventory has been reduced by 380kg, so material purchased

= 4,960 – 380 = 4,580kg

11.18 C Only materials requisitions and goods received notes would be used for this purpose.

www.AMaterialHub.com

11.19 C A car repairer will have separate jobs and so job costing would be appropriate.

11.20 D Cleaning materials should be coded as indirect materials.

11.21 C Changes in raw material or expenditure on variable manufacturing costs in excess of budget would not affect reported profit under absorption costing relative to marginal costing.

Over-absorption of fixed production overhead would not affect the total amount of costs charged, but only they are charged.

11.22 D Option A would calculate the gross sales price, Option D calculates the sales tax of 17.5% of the net price.

11.23 C This option would calculate the sales tax, not the gross sales price.

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Mixed bank II

12.1 B Bar chart.

12.2 A Inflexibility can be a disadvantage particularly in a changing environment.

12.3 C Real-time systems are updated immediately, so are always up to date.

12.4 D Looking at profit per product line stocked would mean the range of goods can be evaluated and decisions made as to whether to continue to stock them.

12.5 C Small consumables such as staples are often treated as indirect costs.

12.6 D

12.7 B Multisheet (3D) spreadsheets.

12.8 C

12.9 C A materials requisition is used.

12.10 A Gross profit is $10,000 – $6,000 = $4,000.

Gross profit/Sales = 4,000/10,000 = 40%

12.11 B

Date	*Received* Units	*Issued* Units	*Balance* Units	*Total inventory value* $	*Unit cost* $
Opening inventory			250	750	3.00
5 July	100			305	3.05
			350	1,055	3.01
9 July		50		(151)	3.01
			300	904	3.01
14 July	100			308	3.08
			400	1,212	3.03
26 July		200		(606)	3.03
Closing inventory value			200	606	3.03

12.12 D (630 hours ÷ 0.9) × $12 per hour = $8,400

12.13 B The process supervisor should be coded as indirect labour.

12.14 C Of all the options this is the best description of a cost unit.

12.15 B Maintenance staff would be an indirect labour cost.

12.16 C Budgeted overheads/budgeted machine hours = 24,760/450 = $55.02

12.17 D A profit centre is a part of the business which has both revenues and costs, but does not make investment decisions.

12.18 D Purchases = (number of units produced × 5kg) + Increase in inventory

Purchases = 3,000 × 5kg + 250kg = 12,250kg

12.19 D An interlocking bookkeeping system is where separate accounts are kept for cost accounting and financial accounting with regular reconciliations between the two.

12.20 D All of these are uses for multi-sheet (3D) spreadsheets.

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

A Material Hub

Mock Exams

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Foundations in Accountancy
MA1
Management Information

Mock Exam 1
(Specimen Exam)

A Material Hub

Questions	
Time allowed	2 hours
ALL FIFTY questions are compulsory and MUST be answered	

DO NOT OPEN THIS EXAM UNTIL YOU ARE READY TO START UNDER EXAMINATION CONDITIONS

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

1 Which of the following may be a cost centre?

A One of the hotels owned by a leisure company
B The accountancy department in a business
C The direct material cost of a product
D The total depreciation expense of a business **(2 marks)**

---

2 All of a company's workers are paid the same hourly rate.

The following spreadsheet is to be used to calculate wages earned by different workers each week. A formula is entered in cell B4 and then a fill command is used to copy this formula into cells C4 to G4.

	A	B	C	D	E	F	G
1	Wage rate per hour ($)	12					
2	Worker	P	Q	R	S	T	U
3	Hours worked	40	28	38	39	40	27
4	Wages earned ($)						
5							
6							

Which of the following formulae should be entered into cell B4 prior to using the fill command to make sure that the correct formulae is used for cells C4 to G4?

A =B1*B3
B =$B$1*B3
C =B1*$B$3
D =$B$1*$B*$3 **(2 marks)**

---

3 There was no work-in-progress in a manufacturing process at the start of a period. 18,000 units of a product commenced processing in the period during which completed output was 16,100 units. The work-in-progress was 75% complete for conversion costs which were $4.60 per equivalent unit. There were no losses or gains in the process.

What amount was included in the closing work-in-progress for conversion costs?

A $6,555
B $8,740
C $11,653
D $18,515 **(2 marks)**

---

4 Which of the following statements is **TRUE**?

A Information consists of raw facts that have not been processed
B Data consists of information
C Data consists of processed information
D Information consists of data which has been processed in a predefined way **(2 marks)**

---

5 For which of the following tasks would a computer spreadsheet be most useful?

A Cost coding structure
B Product listing
C Staff appraisal
D Cost analysis **(2 marks)**

---

www.AMaterialHub.com

6 Receipts and issues of a raw material for a period were:

	units	*$ per unit*	*cumulative total $*
Day 1 balance	160	3.70	592
Day 3 receipt	230	3.60	1,420
Day 5 issue	110		
Day 8 issue	150		

Using the LIFO inventory pricing method, what is the total cost of the issue on Day 8?

A $540
B $543
C $545
D $555 **(2 marks)**

---

7 Product X is manufactured by Y Co. Direct materials cost $6.10 and prime costs total $9.60 per unit of product. Production overheads are absorbed at a rate of $13.40 per machine hour. Two units of product X are manufactured per machine hour.

Using absorption costing, what is the total production cost per unit of product X?

A $16.30
B $22.40
C $23.00
D $29.10 **(2 marks)**

---

8 Which of the following is a major advantage of the use of computer spreadsheets in management accounting?

A Formulas are consistent in that they usually appear as numbers
B They can be printed and hard copies filed
C They can be used to record the cost coding structure
D What-if analysis can be carried out easily and quickly **(2 marks)**

---

9 Product X requires 1.8kg of a raw material per finished unit. The material has a weight loss of 10% in preparation for manufacture. Inventory of the material is currently 420kg but needs to be increased to 500kg. 2,000 units of Product X are to be manufactured.

How many kg of the raw material need to be purchased to satisfy the above requirements?

A 3,880
B 3,920
C 4,040
D 4,080 **(2 marks)**

---

10 At the end of a period the percentage completion of the work-in-progress in a continuous manufacturing process was over estimated.

What effect would correction of the error have on the cost per equivalent unit and the total cost of output completed in the period?

	Unit cost	*Cost of output*
A	Decrease	Decrease
B	Decrease	Increase
C	Increase	Decrease
D	Increase	Increase

(2 marks)

---

11 What is the purpose of prime entry records?

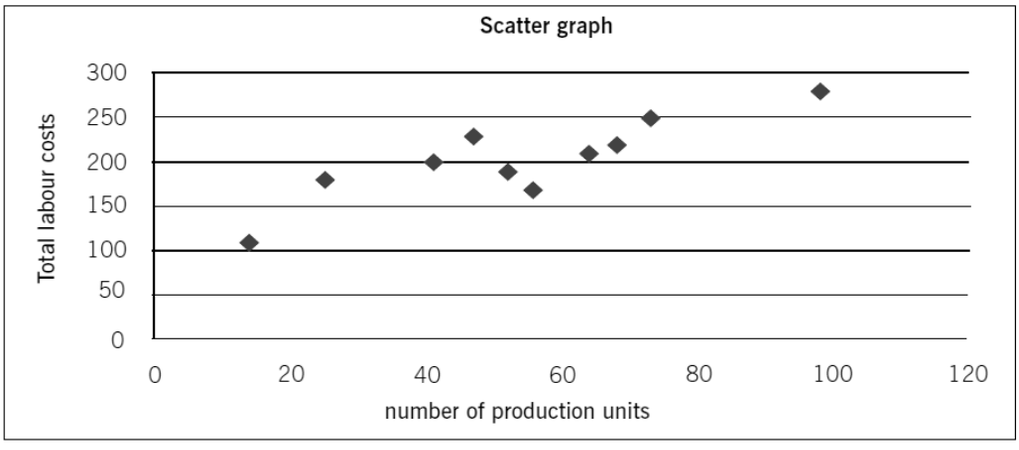
A Assist the preparation of a trial balance
B Prevent unnecessary detail in the ledgers
C Provide a check on the double-entry bookkeeping
D Provide a list of outstanding payments **(2 marks)**

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

12 The following scatter graph plots nine observed sets of data from a factory.



Which term would **BEST** describe the behaviour of total labour cost?

A Fixed cost
B Stepped – fixed cost
C Semi-variable cost
D Variable cost **(2 marks)**

13 A production operative is paid $11.00 per hour for a basic 35-hour week. Overtime is paid at 40% over the basic rate. The operative worked for 38 hours in week 9. Income tax deducted was $76.40 and benefit contribution payments were:

Employer $40
Employee 10% of gross pay

What was the net pay of the operative in week 9?

A $271.68
B $311.68
C $316.30
D $319.29 **(2 marks)**

14 No losses or gains occur in a manufacturing process. There was no work-in-progress at the start of a period during which 9,600 litres of a raw material were input to the process. 8,700 litres of finished product were output from the process in the period. The stage of completion of the work-in-progress was:

Materials 100%
Conversion costs 60%

What were the equivalent units of production in the period?

	Materials	*Conversion costs*
A	8,700	8,700
B	8,700	9,060
C	9,600	9,240
D	9,600	9,600

(2 marks)

15 Using marginal costing, what is the basis for valuing inventory goods in a manufactured business?

A Direct + indirect production costs
B Prime costs + total variable costs
C Prime costs + variable production overheads
D Production costs + variable non-production costs **(2 marks)**

www.AMaterialHub.com

16 Which is a time sheet used for?

A To calculate pay only
B To charge cost centres for work done only
C To record attendance time
D To calculate pay and to charge cost centres for work done **(2 marks)**

17 Which of the following documents will **MOST** help a sales manager to monitor the effectiveness of a sales team?

A A monthly report comparing sales targets with actual results
B The sales department's organisational chart
C A monthly report analysing the reasons for customer complaints
D The completion of appraisal interview forms **(2 marks)**

18 The following financial figures relate to Jolly Co for a year:

	20X2
	$
Sales	50,000
Cost of sales	(10,000)
Gross profit	40,000
Expenses	(15,000)
Net profit	25,000
Capital employed	100,000

What is the asset turnover rate for 20X2?

A 0.8 times
B 0.4 times
C 2 times
D 0.5 times **(2 marks)**

19 The following spreadsheet shows a company's budgeted income statement for the coming period.

	A	B	C	D	E
1	Budgeted Income Statement				
2	Period 2				
3		Division A	Division B	Division C	Total
4	Sales Revenue	5,000	6,000	8,000	19,000
5	Variable costs	1,500	1,800	2,400	5,700
6	Contribution	3,500	4,200	5,600	13,300
7	Fixed cost	2,000	3,000	4,000	9,000
8	Profit	1,500	1,200	1,600	4,300
9					
10					

Which of the following formulae is correct for calculating the value of cell E8?

A =Sum(B8:D8)
B Sum(B8:D8)
C =Sum (E4:E7)
D Sum (E4:E7) **(2 marks)**

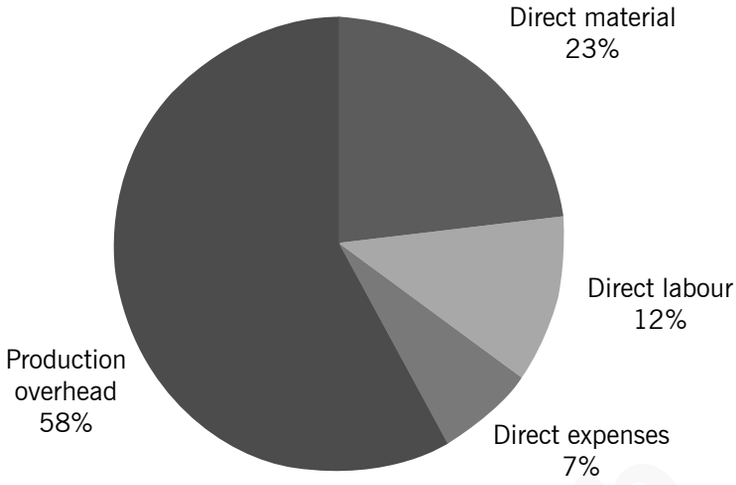
20 Which activity is **LEAST** likely to be the responsibility of the accounting function of a large organisation?

A Calculation of wages
B Control of trade receivables
C Dispatch of customer orders
D Payment of trade payables **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

21 A spreadsheet includes the following pie chart to analyse a company's total manufacturing cost for a period. The company's production overhead in the period was $124,700.



What are the total direct costs?

A $43,645
B $52,374
C $53,750
D $90,300 **(2 marks)**

---

22 A business has the following results

	$
Sales	100,000
Cost of sales	(20,000)
Gross profit	80,000
Expenses	(30,000)
Net profit	50,000

What is the net profit margin for the business?

A 50%
B 80%
C 62.5%
D 200% **(2 marks)**

---

23 What is the effect of using brackets in a spreadsheet formula?

A Division and multiplications are calculated before additions and subtractions
B Additions and subtractions are calculated before divisions and multiplications
C The contents of the brackets are calculated first
D The contents of the brackets are calculated last **(2 marks)**

---

24 A differential piecework payment scheme applies to direct workers in a production cost centre, subject to a guaranteed minimum wage of $50 per day. The differential rates for output each day are:

up to 100 units	$0.50 per unit
excess over 100 units	$0.60 per unit

A worker produced the following over a three-day period:

Day 1	100 units
Day 2	90 units
Day 3	110 units

(2 marks)

www.AMaterialHub.com

What is the worker's total wages for the three days?

A $151
B $156
C $161
D $166 **(2 marks)**

---

25 What is the purpose of an organisation chart?

A To demonstrate formal relationships and communication flows
B To demonstrate the filling and coding systems used
C To map where each department and function is located
D To set out production schedules for a period **(2 marks)**

---

26 A manufacturer absorbs production overheads into the cost of jobs as a percentage of actual direct labour cost. Two jobs were worked on during a period:

	Job 1	*Job 2*
	$	$
Opening work-in-progress	5,269	–
Direct materials in the period	10,726	4,652
Direct labour in the period	4,360	2,940

Production overheads of $9,855 were incurred in the period. Job 2 was completed in the period.

What is the value of work in progress at the end of the period?

A $20,972
B $24,941
C $26,241
D $20,355 **(2 marks)**

---

27 A Management Accountant wishes to present the following spreadsheet information in a chart.

	Direct cost	*Production overheads*	*Non-production overheads*	*Total cost*
Factory 1	80	30	30	140
Factory 2	200	50	40	290
Factory 3	70	20	40	130

She is considering using the following charts:

(i) Scatter diagram
(ii) Line chart
(iii) Stacked (compound) bar chart

Which chart(s) would be most appropriate?

A (i) and (iii)
B (ii)
C (iii)
D (i) and (ii) only **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

28 The following indirect costs were incurred in a factory in a period:

Rental of premises	$80,000
Utilities	$25,000

There are two cost centres, A and B, in the factory which between them occupy the 20,000 square metres (sq m) of floor space (cost centre A, 8,000 sq m; cost centre B, 12,000 sq m).

What is the total indirect cost apportionment to cost centre B in the period if floor space is used as the basis of apportionment?

A $42,000
B $52,500
C $63,000
D $105,000 **(2 marks)**

---

29 You have been asked to write a report outlining the qualities of good information.

Which of the following would you **NOT** include in the report?

A The information should be complete
B The information should be communicated via an appropriate channel
C The information should be understandable
D The information should be communicated to everyone in the organisation **(2 marks)**

---

30 In an interlocking accounting system what would be the entry for the issue of indirect material?

A Debit Raw material inventory	Credit Work in progress
B Debit Raw material inventory	Credit Production overhead
C Debit Work in progress	Credit Raw material inventory
D Debit Production overhead	Credit Raw material inventory **(2 marks)**

---

31 A coding system uses a combination of letters and numbers to classify costs. The first two digits of each code represent the cost centre, the third and fourth digits represent the type of expense and the fifth and sixth digits represent the detail of the expense.

Relevant codes for a particular expense are:

	code
Selling expense	24
Northern division	ND
Commission	SC

What is the correct code for the above expense?

A SC24ND
B NDSC24
C ND24SC
D 24SCND **(2 marks)**

---

32 Which of the following are reasons for formatting data in a spreadsheet?

(1) To get data into the correct order for analysis
(2) To make labels visually interesting
(3) To make numbers more descriptive of what they represent
(4) To make the data appear as plain text

A 1 and 3 only
B 2 and 3 only
C 2 and 4
D 1, 2 and 3 **(2 marks)**

---

www.AMaterialHub.com

33 Direct operatives in a factory are paid on a time rate basis for a 35-hour week.

If productivity can be improved what will happen to direct labour costs per unit of output?

A Decrease
B Increase
C No change
D Not possible to determine from the information provided **(2 marks)**

---

34 Which of the following statements concerning spreadsheet cells are correct?

(1) A formula in a particular cell may calculate numbers for several cells
(2) Clicking on a particular cell, and then entering a number or text, will enter data into that single cell
(3) Each cell can contain a number, a label or a formula
(4) Press Shift and Enter to select the cell below in the same column

A 1, 2 and 4
B 1, 3 and 4
C 2 and 3
D 3 and 4 only **(2 marks)**

---

35 Which of the following statements concerning the recording and analysis of sales are **TRUE**?

(1) The sales figure that should be taken from an invoice is net of both trade discount and sales tax
(2) Sales may be analysed in a number of different ways for management accounting purposes

A Both 1 and 2
B 1 only
C 2 only
D Neither 1 nor 2 **(2 marks)**

---

36 Which of the following are features of useful management information?

(1) Communicated to the right person
(2) Provided whatever the cost
(3) Sufficiently accurate for its cost

A (1) only
B (1) and (3) only
C (2) and (3) only
D (1), (2) and (3) **(2 marks)**

---

37 Which item would most likely be treated as an indirect cost by a furniture manufacturer?

A Fabric to cover the seat of a chair
B Metal used for the legs of a chair
C Staples to fit the fabric to the seat of a chair
D Wood used to make the frame of a chair **(2 marks)**

---

38 Which of the following is **TRUE** about the effect of different methods of pricing raw materials from inventory in a period of consistently rising prices?

(1) Production costs will be higher using FIFO rather than LIFO
(2) Closing inventory values will be lower periodic weighted average rather than cumulative weighted average

A 1 only
B 2 only
C Both statements
D Neither statement **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

39 In an inventory control system, what is normally meant by free inventory?

A Inventory which is available for new orders from customers
B Inventory which is available for promotional offers
C Inventory which is in transit from supplier to warehouse
D Inventory which is in transit from warehouse to customer **(2 marks)**

40 What is the charging of an overhead cost directly to a cost centre known as?

A Overhead absorption
B Overhead allocation
C Overhead apportionment
D Overhead assignment **(2 marks)**

41 Which of the following states the responsibility of the manager of a profit centre?

A Responsibility for revenues but not costs
B Responsibility for costs but not revenues
C Responsibility for revenues and costs
D Responsibility for revenues, costs **(2 marks)**

42 Which of the following defines cost classification?

A The grouping of costs according to their common characteristics
B The allotment of items of cost to cost centres
C The sum of all costs incurred
D The use by several companies of the same costing methods **(2 marks)**

43 Which of the following are correct descriptions applied to computer spreadsheets?

(1) An entire page of rows and columns is called a workbook
(2) Each row is identified by a letter
(3) Data is organised in rows and columns
(4) The intersection of each row and column defines a cell

A 1 and 2 only
B 2 and 4 only
C 3 and 4 only
D 1, 2, 3 and 4 **(2 marks)**

44 Production labour costs incurred during a period included the following items:

(1)	Salary of factory manager	$2,400
(2)	Training of direct workers	$1,660
(3)	Normal idle time	$840
(4)	Overtime premiums of direct workers	$2,760
(5)	Overtime hours of direct workers at basic rate	$9,200

What total amount would usually be charged to production overhead for the above items?

A $4,060
B $4,900
C $7,660
D $16,860 **(2 marks)**

www.AMaterialHub.com

45 Which of the following are features of an efficient and effective coding system?

(1) Each item should have a unique code
(2) Each code should contain a combination of letters and numbers
(3) Each code should completely disguise the item being coded
(4) Codes should not be uniform in length and structure

A 1 only
B 1 and 2 only
C 1, 3 and 4
D 2, 3 and 4 **(2 marks)**

---

46 Which of the following is normally treated as a direct labour cost?

A Controllable idle time
B Uncontrollable idle time
C Overtime premium due to a temporary backlog in production
D Overtime premium at the specific request of a customer **(2 marks)**

---

47 25,000 units of a company's single product are produced in a period during which 28,000 units are sold. Opening inventory was 7,000 units. Unit costs of the product are:

	$ per unit
Direct costs	16.20
Fixed production overhead	7.60
Fixed non-production overhead	2.90

What is the difference in profit between absorption and marginal costing?

A $22,800
B $30,400
C $31,500
D $42,000 **(2 marks)**

---

48 A sales representative earns a basic salary of $10,000 per annum, a guaranteed end-of-year bonus of $5,000 and 5% commission on the value of sales.

What cost classification is appropriate for the sales representative's salary?

A Direct Cost
B Product cost
C Semi-fixed cost
D Prime cost **(2 marks)**

---

49 Consider the following tasks:

(1) Setting selling prices for products and services
(2) Analysing departmental expenditure for control purposes
(3) Calculating the quantity of raw materials in store
(4) Calculating wages for employees working on special shifts

Which tasks are likely to be carried out by a trainee accountant?

A 1 and 2 only
B 1, 3 and 4 only
C 2, 3 and 4 only
D 1, 2, 3 and 4 **(2 marks)**

AMaterialHub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

50 TRS CONSULTANTS Co
31 Oxford Avenue
Milton Mewbury
Lincolnshire

Invoice number: 9911

Date: 25 February 20X1

Customer:

Jacqueline Smith
ACCA
2 Central Quay
Glasgow
G3 8BW

Item:

Accountancy training	$1,500.00

In the integrated computerised accounts of TRS Consultants Co, which of the following is correct?

A The bank account will be credited
B The sales account will be debited
C Trade payable control account will be debited
D Trade receivable control account will be debited **(2 marks)**

A Material Hub

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

A Material Hub

Answers to Specimen Exam

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

1 B Expenses and costs cannot be cost centres and a hotel is likely to be broken down into several cost centres.

2 B

3 A (18,000 – 16,100) × 0.75 = 1,425 equivalent units

1,425 × $4.60 = $6,555

4 D Information is processed data.

5 D

6 B ((230 – 110) × $3.60) + (150 – (230 – 110)) × $3.70 = $543

7 A $9.60 + ($13.40/2) = $16.30 (Prime cost includes direct material costs)

8 D

9 D

Due to 10% loss 2kg are require per unit of product × (2kg – (0.1 × 2kg))		= 1.8kg
2,000 units to be produced	= 2,000 × 2	= 4,000kg
Inventory to be increased by	(500 – 420)	= 80kg
Total to purchase	= 4,000 + 8	= 4,080kg

10 D Correcting the error means less units were produced, therefore cost per unit increases. This means the cost of output will also increase.

11 B

12 C At low output there is still a cost, suggesting a fixed charge as well as a variable element as costs increase, in total, with output.

13 B

		$
Basic pay	(35 × 11)	385.00
Overtime	(3 × 11 × 1.4)	46.20
Gross pay		431.20
Income tax		(76.40)
Benefit contribution	(0.1 × 431.20)	(43.12)
Net pay		311.68

14 C

	Material cost		*Conversion costs*	
Finished goods	8,700		8,700	
WIP	900	100% complete	540	(900 × 0.6) as 60% complete
Total	9,600		9,240	

15 C

16 D Time sheets have more than one purpose

17 A

18 D Asset turnover = (Sales/Capital employed)

Asset turnover = (50,000/100,000) = 0.5

19 A The space in Option C means the formula would not work.

20 C Customer orders are more likely to be dispatched from a warehouse.

21 D 124,700/0.58 = 215,000

215,000 × (0.23 + 0.12 + 0.07) = 90,300

www.AMaterialHub.com

22 A Net profit margin = (Net profit/Sales)

Net profit margin = 50,000/100,000 = 0.5 or 50%

23 C

24 B

		$
Day 1	(100 × 0.5) = $50	50
Day 2	(90 × 0.5) = $45 but $50 minimum	50
Day 3	(100 × 0.5) + (10 × 0.6)	56
Total		156

25 A

26 C Apportion the production overhead by direct labour cost

Overhead for Job 1

$9,855 × 4,360/(4,360 + 2,940) = $5,886

Cost of Job 1

$5,886 + $5,269 + $10,726 + $4,360 = $26,241

27 C Only the compound bar chart will show this information in a meaningful way.

28 C

		$
Rent	(12,000/20,000) × 80,000	48,000
Utilities	(12,000/20,000) × 25,000	15,000
Total		63,000

29 D

30 D The issue of indirect material should be debited to production overhead.

31 C

32 B

33 A If productivity improves, more products are produced in the same time and therefore direct labour costs per unit of output will decrease.

34 C A formula in a cell will only calculate a value for that cell. Pressing shift and enter together will select the cell above in the same column.

35 A Both statements are true.

36 B

37 C

38 B Under FIFO the older and cheaper units are used in production first so production costs are lower than under LIFO.

Under periodic weighted average method, since issues to production are not considered, this will give a lower value of inventory in a period of rising material prices.

39 A

40 B

41 C

42 A

43 C Rows are identified by numbers.

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

44 C Overtime at the basic rate would not be charged to production overheads. All other items would.

(2,400 + 1,660 + 840 + 2,760) = $7,660

45 A Codes do not have to be a combination of letters and numbers (although it may be useful to aid memory) and codes should not disguise the item. Codes should be uniform in length to help prevent errors in coding.

46 D

47 A

48 C This is a cost with a fixed and variable element and so is a semi-fixed cost.

49 C A trainee accountant would not set a selling price.

50 D The issuing of a sales invoice will lead to the accounting double entry

Debit	Receivables
Credit	Sales

A Material Hub

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

A Material Hub

Mock Exam 2

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

Foundations in Accountancy
MA1
Management Information

Mock Exam 2

A Material Hub

Questions	
Time allowed	2 hours
ALL FIFTY questions are compulsory and MUST be answered	

DO NOT OPEN THIS EXAM UNTIL YOU ARE READY TO START UNDER EXAMINATION CONDITIONS

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

1 What is a cost unit?

A The cost per hour of operating a machine
B The cost per unit of electricity consumed
C A unit of product or service in relation to which costs are ascertained
D A measure of work output in a standard hour **(2 marks)**

---

2 Gross wages incurred in department 1 in June were $54,000. The wages analysis shows the following summary breakdown of the gross pay.

	Paid to direct labour	*Paid to indirect labour*
	$	$
Ordinary time	25,185	11,900
Overtime: basic pay	5,440	3,500
premium	1,360	875
Shift allowance	2,700	1,360
Sick pay	1,380	300
	36,065	17,935

What is the direct wages cost for department 1 in June?

A $25,185
B $30,625
C $34,685
D $36,065 **(2 marks)**

---

3 Why is the process of cost apportionment carried out?

A Costs may be controlled
B Cost units gather overheads as they pass through cost centres
C Whole items of cost can be charged to cost centres
D Common costs are shared among cost centres **(2 marks)**

---

4 For which of the following would a production line manager be responsible?

A Labour hours worked and raw material prices
B Labour hours worked and raw material usage
C Labour rates and raw material prices
D Labour rates and raw material usage **(2 marks)**

---

5 Which of the following items are contained in a typical job cost?

(i) Actual material cost
(ii) Actual manufacturing overheads
(iii) Absorbed manufacturing overheads
(iv) Actual labour cost

A (iii) and (iv) only
B (i), (ii) and (iv) only
C (i), (iii) and (iv) only
D (i) and (iv) only **(2 marks)**

---

6 Which of the following statements does **NOT** apply to real time systems?

A Output can be simultaneous with input
B Updates are via batch processing
C Online input, queries and processing are possible
D Continually changing data is received **(2 marks)**

---

www.AMaterialHub.com

7 Which of the following options is not a number format available in Excel?

A Currency
B Accounting
C General
D Fixed **(2 marks)**

8

	A	B	C	D
1	Unit selling price	$65	Annual volume	10,000
2				
3	Seasonal variations			
4	Quarter 1	-20%		
5	Quarter 2	-35%		
6	Quarter 3	10%		
7	Quarter 4	45%		
8				
9	**Sales budgets**	Seasonal variations (units)	Quarterly volume	Quarterly turnover
10	Quarter 1		2,500	
11	Quarter 2		3,000	
12	Quarter 3		2,000	
13	Quarter 4		2,500	
14				

In the above spreadsheet the cell D10 shows the turnover in Quarter 1.

Which of the following would be a suitable formula for this cell?

A =D1*B1
B =C10-B10
C =C10*B1
D =(C10+B10)*B1 **(2 marks)**

9 The following information is contained in a spreadsheet.

	A	B	C	D
1	Product	List price (net)	Sales tax	Gross
2	line	$	$	$
3				
4	Buster	294.00	51.45	345.45
5	Crusty	362.50	63.44	425.94
6	Dibble	88.20	15.44	103.64
7				

A trainee accountant wants to produce a bar chart containing the sales tax and gross sales price information.

Which range of cells needs to be selected to do this?

A B4:C6
B B4:D6
C C4:D4
D C4:D6 **(2 marks)**

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

10 In a manufacturing process, 8,800kg of a raw material were input in a particular period. There are no losses or gains from the process. 7,700kg of finished output are completed in the period. There was no opening work in progress. The work-in progress at the end of the period had the following stage of completion.

Materials	100%
Conversion costs	45%

What were the equivalent units of production in the period?

	Materials	*Conversion costs*
A	7,700	7,700
B	7,700	8,195
C	8,800	8,800
D	8,800	8,195

(2 marks)

---

11 Employee H works a basic 37-hour week and is employed on product manufacture. He is paid at a rate of $11 per hour for the basic hours with a premium of 30% for any overtime hours. Employee H worked 5 overtime hours in Week 7 to satisfy sales demand.

What amount, out of the total gross wages for Employee H in Week 7, should be charged as direct labour cost?

A $407.00
B $462.00
C $478.50
D $423.50

(2 marks)

---

12 What type of cost is a production supervisor salary, where one supervisor is needed for every ten production workers?

A Variable cost
B Fixed cost
C Semi-variable cost
D Stepped fixed cost

(2 marks)

---

13 Which of the following statements concerning the difference between management accounts and financial accounts is incorrect?

A Financial accounts are governed by strict accounting rules and regulations, management accounts are not

B There is a legal requirement for management accounts

C Management accounts are often required for individual divisions and/or products whereas financial accounts usually cover the whole company

D Management accounts are mainly for internal purposes whereas financial accounts are mainly for external purposes

(2 marks)

---

14 Which of the following options shows three key purposes of management accounting?

A Planning, control and decision making
B Publication, control and decision making
C Decision making, negotiating and resourcing
D Planning, negotiation and resourcing

(2 marks)

---

15 Which of the following is **NOT** true of good management information?

A Must be as accurate as required for its purpose
B Must be computerised
C Must be cost-effective
D Must be relevant

(2 marks)

---

www.AMaterialHub.com

16 Which of the following would be data rather than information?

A Salesman's commission as a percentage of total sales
B Total sales per product as a percentage of total sales
C Sales increase/decrease per product in the month
D Total sales value per day **(2 marks)**

17 Which of the following options is **NOT** a reason for having a policy manual for an organisation?

A To eliminate thought and flexibility
B To help new employees understand policies and procedures
C To record health and safety procedures
D To set out authorisation policies **(2 marks)**

18 How would facts and figures that have been processed, analysed and communicated to another party be properly described?

A Information
B Data
C Neither Information nor Data
D Both Information and Data **(2 marks)**

19 Which of the following is internal information within a purchasing function or department?

A Supplier's price list
B Purchase invoices
C Purchase requisitions
D Delivery notes **(2 marks)**

20 When deciding on an appropriate channel or format for communication, which factors should be considered?

(i) Cost
(ii) Speed of delivery
(iii) Complexity
(iv) Number of recipients

A (i) and (ii) only
B (ii) and (iv) only
C (ii), (iii) and (iv) only
D (i), (ii), (iii) and (iv) **(2 marks)**

Questions 21–23 refer to the spreadsheet shown below

	A	B	C	D
1	Unit selling price	$65	Annual volume	10,000
2				
3	Seasonal variations			
4	Quarter 1	-20%		
5	Quarter 2	-35%		
6	Quarter 3	10%		
7	Quarter 4	45%		
8				
9	**Sales budgets**	Seasonal variations (units)	Quarterly volume	Quarterly turnover
10	Quarter 1			
11	Quarter 2			
12	Quarter 3			
13	Quarter 4			
14				

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

21 The cell B10 shows the seasonal variation in units for quarter 1.

Which of the following would be a suitable formula for this cell?

A =$D$1/4*B4
B =(D1/4)*B4
C =$D$1/4*B1
D =D1/4*$B$4 **(2 marks)**

---

22 The cell C10 shows the sales volume in units for Quarter 1.

Which of the following would be a suitable formula for this cell?

A =$D$4/1+B10
B =D1/4+$B$10
C =D1+B10
D =($D$1/4)+B10 **(2 marks)**

---

23 The cell D10 shows the turnover in Quarter 1.

Which of the following would be a suitable formula for this cell?

A =D1*$B$1
B =C10-B10
C =C10*$B$1
D =(C10+B10)*$B$1 **(2 marks)**

---

24 Which of the following is **NOT** normally a function of a purchasing department?

A Negotiating prices with suppliers
B Raising purchase orders
C Recording goods received into inventory
D Ensuring only authorised purchases are made **(2 marks)**

---

25 What is the double entry for the sale of goods on credit?

A	Debit	Sales
	Credit	Payables
B	Debit	Payables
	Credit	Sales
C	Debit	Sales
	Credit	Receivables
D	Debit	Receivables
	Credit	Sales

(2 marks)

---

26 A telephone bill has been received with a line rental of $25 per month, and a charge per call of 5c.

Which is the best description of this telephone cost?

A A fixed cost
B A variable cost
C A stepped–fixed cost
D A mixed cost **(2 marks)**

---

27 A company has 3,050 litres of a raw material in inventory. It has a further 2,275 litres on order from its supplier. 750 litres will be needed for a special job that has already been agreed with the customer.

What is the free inventory?

A 1,525 litres
B 3,050 litres
C 4,575 litres
D 6,075 litres **(2 marks)**

---

www.AMaterialHub.com

28 Which of the following departments is a production cost centre in a company producing milk in cartons?

A Stores
B Accounts
C Packaging
D Maintenance **(2 marks)**

---

29 A manager has responsibility for costs incurred, revenues earned and investment in non-current assets in one area of a business.

What is the manager responsible for?

A A cost centre
B A revenue centre
C A profit centre
D An investment centre **(2 marks)**

---

30 A company purchases and sells a range of bathroom accessories through a number of outlets throughout a country. Management are considering the removal of some product lines.

Which of the following is most likely to be useful for this purpose?

A Sales by area of the country
B Sales by product line
C Contribution by area of the country
D Contribution by product line **(2 marks)**

---

31 Bloomsbury Co sell men's clothes through three different stores in London.

Bloomsbury use a seven character account coding convention – comprising the three digit store location, followed by underscore, followed by the three digit product type. An extract from Bloomsbury's coding list shows the following:

110 Sales: Holborn store
120 Sales: Kings Cross store
130 Sales: Waterloo store
001 Sales: jumpers
002 Sales: shirts
003 Sales: trousers

Which of the following is the code for sales of trousers at Holborn?

A 110_001
B 110_003
C 120_003
D 130_003 **(2 marks)**

---

32 Which of the following documents contains details of a payment being made?

A Goods received note
B Despatch note
C Sales invoice
D Remittance advice **(2 marks)**

---

33 A factory employs 25 direct production workers and 10 indirect staff. The standard working week is 40 hours. All staff are paid at the basic rate of $8 per hour with overtime paid at time and a half.

Last week all employees worked for 45 hours to meet general production requirements.

What is the direct labour charge for the week?

A $320
B $8,000
C $9,000
D $9,500 **(2 marks)**

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

34 What would be the most appropriate basis for apportioning the insurance costs of plant and machinery to departments within a factory?

A Floor space (m^2) occupied by each department
B Number of employees in each department
C Number of machines in each department
D Value of machines in each department **(2 marks)**

35 Which of the following is **NOT** a purpose of a jobcard?

A Providing information on the whereabouts of employees
B Authorising overtime payments
C Assisting coding of labour costs
D Ensuring time is recorded accurately **(2 marks)**

36 Which documents should be used to check sales invoices against?

A Purchase requisition and goods received note
B Advice note and delivery note
C Goods received note and order form
D Sales order and despatch note **(2 marks)**

37 A manufacturing company has 20 employees, each paid a basic rate of $5 an hour. A standard working week is 35 hours; overtime is paid at time and a quarter. Last week all employees worked 37 hours, producing 3,000 units.

What is the total unit labour cost?

A $1.23/unit
B $1.25/unit
C $0.06/unit
D $1.54/unit **(2 marks)**

38 Which of the following are the elements of gross pay?

A Cash paid to employees
B Cash paid to employees plus income tax plus employer's benefit contribution
C Cash paid to employees plus income tax plus employee's benefit contribution
D Cash paid to employees plus income tax plus employee's and employer's benefit contribution **(2 marks)**

39 A manufacturing company operates a piecework wage system. Each employee is paid $6.00 per unit for the first 30 units they produce each week and $7.00 per unit for units in excess of this amount. There are 50 employees.

Assuming each employee produces 37 units per week, what is the total unit labour cost?

A $6.00
B $6.05
C $6.19
D $7.00 **(2 marks)**

40 Under absorption costing, which of the following overheads will most likely use allocation?

A Rent
B Department supervisor's salary
C Insurance
D Electricity **(2 marks)**

www.AMaterialHub.com

41 Each finished unit of Product X contains 1.4 litres of Material Y. 10% of material Y used is lost in processing. Sales and production of Product X in a period were 21,000 and 20,200 units respectively.

What was the usage of Material Y in the period?

A 31,108 litres
B 31,422 litres
C 32,667 litres
D 28,280 litres

(2 marks)

---

42 What is the double-entry, in an interlocking accounting system, for the purchase of raw materials on credit?

	Debit	*Credit*
A	Raw materials inventory	Trade payables
B	Trade payables	Raw materials inventory
C	Raw materials inventory	Cost ledger control
D	Cost ledger control	Raw materials inventory

(2 marks)

---

43 The inventory record for Component C2 for a month shows:

Day	*Movement*	*kg*	*$ per kg*
1	Balance	86	11.20
12	Receipt	200	11.90
14	Issue	174	
18	Receipt	200	12.00

The periodic weighted average method is used to price the issue of materials. Each average price is rounded to the nearest $0.01.

What is the cost of the issue in the month?

A $2,070.60
B $2,034.06
C $2,056.68
D $2,079.30

(2 marks)

---

44 The Wages Control Account for a period in the integrated accounting system of a business is:

	$		$
Wages payable	85,000	Work in progress	80,000
Tax	25,000	Production overhead	30,000
	110,000		110,000

What is the direct labour cost for the period?

A $30,000
B $80,000
C $85,000
D $110,000

(2 marks)

BPP LEARNING MEDIA

www.AMaterialHub.com

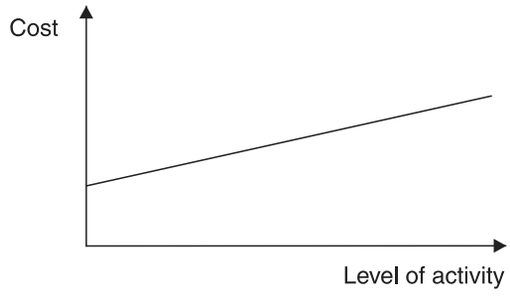
www.AMaterialHub.com

45 Which of the following statements is NOT true about Excel spreadsheets?

A Spreadsheets can be used to perform what if analysis
B Changing a value in cell C5 will automatically update cells with formulae referring to C5
C If a cell displays ####, then the cell it not wide enough to display the full contents
D Default printing options include printing gridlines **(2 marks)**

---

46 The following is a graph of cost against level of activity



To which of the following costs does the graph correspond?

A Telephone bills made up of a standing charge and a variable charge
B Bonus payment to employees when production reaches a certain level
C Salesman's commissions payable per unit up to a maximum amount of commission
D Bulk discounts on purchases, the discount being given on all units purchased **(2 marks)**

---

47 Which of the following is a profit centre manager responsible for?

A Costs only
B Costs and revenues only
C Cost, revenues and investment
D None of the above **(2 marks)**

---

48 A company uses process costing. At the start of the year there were no unfinished products, but at the end of January of the 4,000 products that were started there were 250 which were only 70% complete. There were no losses in the period and the process costs were $2,355.

What is the value of the finished output shown in the process account?

A $2,208
B $2,465
C $2,250
D $2,355 **(2 marks)**

---

49 Which of the following statements about predetermined overhead absorption rates are true?

(i) Using a predetermined absorption rate avoids fluctuations in unit costs caused by abnormally high or low overhead expenditure or activity levels.

(ii) Using a predetermined absorption rate offers the administrative convenience of being able to record full production costs sooner.

(iii) Using a predetermined absorption rate avoids problems of under/over absorption of overheads because a constant overhead rate is available.

A (i) and (ii) only
B (i) and (iii) only
C (ii) and (iii) only
D All of them **(2 marks)**

---

www.AMaterialHub.com

50 Which of the following would be classed as indirect labour?

A Plumbers in a construction company
B A stores assistant in a factory store
C A senior consultant in a firm of management consultants
D Machine operators in a company manufacturing washing machines **(2 marks)**

A Material Hub

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

A Material Hub

Answers to Mock Exam 2

www.AMaterialHub.com

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

1 C

2 B The only direct costs are the wages paid to direct workers for ordinary time, plus the basic pay for overtime.

$25,185 + $5,440 = $30,625.

If you selected Option A you forgot to include the basic pay for overtime of direct workers, which is always classified as a direct labour cost.

If you selected Option C you have included overtime premium and shift allowances, which are usually treated as indirect costs. However, if overtime and shiftwork are incurred specifically for a particular cost unit, then they are classified as direct costs of that cost unit. There is no mention of such a situation here.

Option D includes sick pay, which is classified as an indirect labour cost.

3 D Costs are controlled using budgets and other management information, therefore Option A is not correct. Option B describes overhead cost absorption and Option C describes cost allocation.

4 B A production line manager would be responsible for labour efficiency and usage rather than rates and prices. A production manager would not be responsible for purchases and therefore cannot be responsible for raw material prices.

5 C Actual manufacturing overheads for a job cannot be determined, so are not included in job costing. The others are all included.

6 B Transactions are input and processed immediately, not in batches.

7 D Fixed is not a number format in Excel, fixing decimals can be done using the number, accounting or currency formats.

8 C This formula will multiply the quarterly volume in units from cell C10 by the unit selling price in cell B1.

9 D The range of cells containing the information for the chart is C4:D6.

10 D

	Material cost		*Conversion costs*	
Finished goods	7,700		7,700	
WIP	1,100	100% complete	495	(1,100 × 0.45) as 45% complete
Total	8,800		8,195	

11 B 42 hours × $11 per hour = $462.00

Option C charges the overtime premium as a direct labour cost {[(37 hours × $11 per hour) + (5 hours × $11 per hour × 1.3)] = $478.50}.

Option A ignores the cost of the overtime hours completely in the direct labour cost (37 hours × $11 per hour = $407.00).

Option D includes the overtime premium, instead of the overtime hours at basic rate, in the direct labour cost {[(37 hours × $11 per hour) + (5 hours × $11 per hour 0.3)] = $423.50}.

12 D This is a step cost as costs only increase when more than 10 employees are added.

13 B There is a legal requirement for financial accounts but not for management accounts.

The other three statements are all valid differences between management and financial accounts.

14 A Management accounting helps managers plan, control and make decisions.

15 B In some situations, good management information could be hand-written rather than computerised eg a note from a telephone conversation.

Accuracy, cost effectiveness and relevance are all qualities required in good management information.

www.AMaterialHub.com

16 D The other three options have been processed in the same way to provide meaningful information, whereas total sales value per day is the basic data that will require further processing.

17 A A policy manual does not aim to eliminate thought and flexibility – it provides guidelines to be followed.

The other three options are all reasons for having a policy manual.

18 A Information is data that has been processed and communicated to another party.

19 C Requisition forms are produced internally by the company detailing the purchases they want made.

All of the other three options would be produced externally, by the supplier.

20 D All of the factors of cost, speed of delivery, complexity of the message to be conveyed and the number of recipients of the message should be considered in determining the appropriate communication format.

21 A =$D$1/4*B4

This formula will divide the annual turnover by 4 and multiply the result by the seasonal variation. The $ signs show that the cell reference for D1 is absolute so the reference will stay the same when the formula is copied into the cells below.

22 D =($D$1/4)+B10

This formula will divide the annual turnover by 4 and add the result to the seasonal variation found in cell B10. The $ signs show that the cell reference for D1 is absolute so the reference will stay the same when the formula is copied into the cells below. Brackets are needed so that Excel does the multiplication before the addition.

23 C =C10*$B$1

This formula will multiply the quarterly volume in units from cell C10 by the unit selling price in cell B1. The $ signs show that the cell reference for B1 is absolute so the reference will stay the same when the formula is copied into the cells below.

24 C Recording goods received into inventory would be a function of the stores department.

Options A, B, and D are useful functions of the purchasing department.

25 D A sale of goods on credit is recorded as:

Debit: Receivables
Credit: Sales

26 D The line rental is a fixed cost and the per call charge is a variable cost, making the overall bill a mixed (or semi-variable) cost.

27 C 3,050 + 2,275 – 750 = 4,575 litres

28 C All production units will have to flow through packaging to be ready for sale. They do not have to flow through any of the other departments, making these service centres.

29 D The manager has responsibility for investment as well as costs and revenues – this is therefore an investment centre.

30 D The company will want to consider contribution (sales revenue less variable costs) per product line as this is what will be lost if the product line is removed.

31 B

Sale by Holborn store	110
Sale of trousers	003
Correct code	110_003

32 D A remittance advice contains details of a payment being made.

BPP LEARNING MEDIA
www.AMaterialHub.com

www.AMaterialHub.com

33 C

Direct production workers basic pay	$
25 workers × 40 hours × $8 per hour	8,000
Direct production workers overtime	
25 workers × 5 hours × $8 per hour	1,000
Direct labour charge	9,000

The overtime premium cost is an indirect cost. The indirect workers basic pay is also an indirect cost.

34 D Number of machines could be used, but as the insurance premiums payable are driven by the value of the items being insured, the value of the machines is the most appropriate basis.

35 A Jobcards are not used for monitoring the current whereabouts of employees as they are signed and authorised after completing the job, by which time the information relates to the past.

36 D The sales invoice should be checked to the sales order to confirm only prices agreed on the order are being used, and to the delivery note to ensure the items being invoiced are the items that have been delivered to the customer.

37 B

Basic pay	$
20 employees × $5 per hour × 35 hours	3,500
Overtime	
20 employees × $5 per hour × 1.25 × 2 hours	250
Total labour cost	3,750
Total units	3,000
Labour cost per unit	1.25

38 C Employer's benefit contributions are part of total labour cost, but not part of gross pay.

39 C

First 30 units	$
30 units × $6 per unit	180
Next 7 units	
7 units × $7 per unit	49
Total labour cost	229
Total units	37
Labour cost per unit (229/37)	6.19

40 B Overheads are allocated where they relate to only one department/cost centre. This is most likely to be the case for a department supervisor's salary.

41 B 20,200 units × 1.4 litres/unit ÷ 0.9 = 31,422 litres.

Option C was based on the sales, rather than the production, quantity (21,000 units × 1.4 litres/unit ÷ 0.9 = 32,667 litres).

Option A multiplied the 1.4 litres by a factor of 1.1 (ie added 10% to the amount required per finished unit) rather than divided by 0.9 (20,200 units × 1.4 litres/unit × 1.1 = 31,108 litres).

Option D made no allowance for wastage thus assuming that the 1.4 litres was the required material input per unit rather than the amount required in each unit of output (20,200 units × 1.4 litres/unit = 28,280 litres.

42 C The entry in the raw materials inventory account is a debit because the entry in the inventory account is for a purchase of materials.

In an interlocking accounting system, the cost will include the detailed inventory accounts (as opposed to a purchases account in the financial accounts) along with details of sales and expenses. These financial accounting aspects of transactions are posted to a cost ledger control account in order for the cost accounts to balance.

43 C [(86kg × $11.2/kg) + (200kg × $11.9/kg) + (200kg × $12/kg)] ÷ (86 + 200 + 200kg) = $11.82/kg (to the nearest $0.01).

The cost of the issue is $2,056.68 (174kg × $11.82/kg).

44 B The charge to work in progress is the direct labour cost, because it can be allocated to individual products.

www.AMaterialHub.com

45 D Default printing options in Excel do not include printing gridlines.

46 A The depicted cost has a basic fixed element which is payable even at zero activity. A variable element is then added at a constant rate as activity increases. Therefore the correct answer is A.

47 B A profit centre manager will be responsible for costs and revenues only.

48 C

Equivalent units of closing WIP	175	(250 × 0.7)
Products completed	3,750	(4,000 – 250)
Total equivalent units	3,925	
Cost per equivalent unit	$0.60	(2,355/3,925)
Value of finished output	$2,250	(0.6 × 3,750)

49 A Statement (i) is correct because a constant unit absorption rate is used throughout the period. Statement (ii) is correct because 'actual' overhead costs, based on actual overhead expenditure and actual activity for the period, cannot be determined until after the end of the period. Statement (iii) is incorrect because under/over absorption of overheads is caused by the use of predetermined overhead absorption rates.

50 B The stores assistant's wages cannot be charged directly to a product, therefore the stores assistant is part of the indirect labour force.

A Material Hub

BPP LEARNING MEDIA

www.AMaterialHub.com

www.AMaterialHub.com

A Material Hub

www.AMaterialHub.com

A Material Hub

www.AMaterialHub.com

www.AMaterialHub.com

A Material Hub

www.AMaterialHub.com

A Material Hub

www.AMaterialHub.com

www.AMaterialHub.com

A Material Hub

www.AMaterialHub.com

A Material Hub

www.AMaterialHub.com

www.AMaterialHub.com

A Material Hub

www.AMaterialHub.com

A Material Hub

www.AMaterialHub.com

www.AMaterialHub.com

A Material Hub

www.AMaterialHub.com

A Material Hub

www.AMaterialHub.com

www.AMaterialHub.com

A Material Hub

www.AMaterialHub.com

A Material Hub

www.AMaterialHub.com

www.AMaterialHub.com

REVIEW FORM

Name: _____ **Address**: _____

_____

Date: _____ _____

How have you used this Practice & Revision Kit?
(Tick one box only)

- ☐ On its own (book only)
- ☐ On a BPP in-centre course _____
- ☐ On a BPP online course
- ☐ On a course with another college
- ☐ Other _____

Why did you decide to purchase this Practice & Revision Kit? *(Tick one box only)*

- ☐ Have used complementary Interactive Text
- ☐ Have used BPP Texts in the past
- ☐ Recommendation by friend/colleague
- ☐ Recommendation by a lecturer at college
- ☐ Saw advertising
- ☐ Other _____

During the past six months do you recall seeing/receiving any of the following?
(Tick as many boxes as are relevant)

- ☐ Our advertisement in *ACCA Student Accountant*
- ☐ Our advertisement in *Teach Accounting*
- ☐ Other advertisement _____
- ☐ Our brochure with a letter through the post
- ☐ ACCA E-Gain email
- ☐ BPP email
- ☐ Our website www.bpp.com

Which (if any) aspects of our advertising do you find useful?
(Tick as many boxes as are relevant)

- ☐ Prices and publication dates of new editions
- ☐ Information on Practice & Revision Kit content
- ☐ Facility to order books
- ☐ None of the above

Have you used the companion Interactive Text for this subject? ☐ Yes ☐ No

Your ratings, comments and suggestions would be appreciated on the following areas

	Very useful	*Useful*	*Not useful*
Introductory section (How to use this Practice & Revision Kit)	☐	☐	☐
'*Do You Know*' *checklists*	☐	☐	☐
'*Did You Know*' *checklists*	☐	☐	☐
Possible pitfalls	☐	☐	☐
Questions	☐	☐	☐
Answers	☐	☐	☐
Mock exams	☐	☐	☐
Structure and presentation	☐	☐	☐
Icons	☐	☐	☐

	Excellent	*Good*	*Adequate*	*Poor*
Overall opinion of this Kit	☐	☐	☐	☐

Do you intend to continue using BPP products? ☐ Yes ☐ No

Please note any further comments and suggestions/errors on the reverse of this page.
The author of this edition can be emailed at: learningmedia@bpp.com

www.AMaterialHub.com

REVIEW FORM (continued)

Please note any further comments and suggestions/errors below

A Material Hub